Kirloskar Pneumatic (KIRLPNU)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-08-02.

Call: Jan 2023

(no extractable text — likely a scanned image PDF)

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

Call: Jan 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Jul 2024

(no extractable text — likely a scanned image PDF)

Call: Oct 2024

(no extractable text — likely a scanned image PDF)

Call: Feb 2025

Kirloskar Pneumatic Company Limited
A Kirloskar Group Company
Regd. Office: Plot No. 1 , Hadapsar Industrial Estate, Hadapsar,
Pune , Maharashtra 41101 3
Tel: +91 (20) 26727000
Fax: +91 (20) 26870297
Email: sec@kirloskar.com | Website: www. kirloskarpneumatic .com
CIN: L29120PN1974PLC110307
Ref.: SEC&LEG/ 21

February 3 , 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001
Scrip Code – 505283 National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G,
Bandra- Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol : KIRLPNU

Dear Sir / Madam,

Sub.: Transcript of the Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of earlier communication vide letter
SEC&LEG/11 dated January 23 , 2025 ; we inform that
the Conference Call for Investors and Analysts was held on Tues day, January 28, 2025 at 5:00 p.m. (IST) to discuss on the Una udited Financial Results of the Company for the quarter ended December 31 , 202 4.

The Transcript of the Conference Call is enclosed and is available on the website of the Company viz. www.kirloskarpneumatic.com

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Kirloskar Pneumatic Company Limited

Jitendra R. Shah
Company Secretary
Membership No. 17243

“Kirloskar Pneumatic Company Limited
Q3 FY '25 Earning Conference Call”
January 28 , 202 5

MANAGEMENT : MR. K. SRINIVASAN – MANAGING DIRECTOR –
KIRLOSKAR PNEUMATIC COMPANY LIMITED
MR. RAMESH BIRAJDAR – CHIEF FINANCIAL OFFICER
– KIRLOSKAR PNEUMATIC COMPANY LIMITED
MR. JITENDRA SHAH – COMPANY SECRETARY –
KIRLOSKAR PNEUMATIC COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Pneumatic Company Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.
I now hand the conference over to Mr. Amit Shah. Thank you, and over to you.
Amit Shah: Thank you, Mike. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to 3Q FY '25 Post Results Conference Call of Kirloskar Pneumatic Company Limited. To discuss the results, we have the senior management team of the Compa ny, represented by Mr. K. Srinivasan, Managing Director of the Company; and Mr. Ramesh Birajdar, Chief Financial Officer of the Company.
I'll request Mr. K. Srinivasan to give us the opening remarks, post which we can open the floor for Q&A. Over to you s ir.
K. Srinivasan: Good evening, let me start by wishing you all a very happy new year 2025. Much as we all like to live in happy, interesting times, may I hope that the year brings peace, progress, prosperity and most importantly, predictability to ever ything that we do. Thank you all for joining the call today. I have with me Mr. Ramesh Birajdar, Chief Financial Officer; and Mr. Jitendra Shah, Company Secretary.
Before proceeding with the business updates, I will ask Jitendra to read out the disclaimer statement, please. Jitendra?
Jitendra Shah: Thank you, sir. Good evening to all. The presentation uploaded on the website of the Company and discussion on the financial results during the earnings call may contain statements relating to future business de velopments and economic performance that could constitute forward-looking statements. While these forward -looking statements represent the Company's judgment and future expectations , a number of factors could cause actual developments and results to differ materially from expectations. The Company undertakes no obligation to publicly revise any forward -looking statements to reflect future events or circumstances. Further, investors are reques ted to exercise their own judgment in assessing various risks associated with the Company and also the effectiveness of the measures which taken by the Company in tackling them as indicated during the discussion. Thank you.
K. Srinivasan: Thanks, Jitendra. So now let me go to the material part of the discussion. Q3 historically is a sharp quarter with holidays and block closures that we have during Diwali. Added to this, we had this year's challenges coming from an unusually long period of slow project exec ution and commissioning. The implementation of change -- the impending change in the government in the U.S. brought an uncertainty, particularly in the energy space. Getting all this, the continuing strong demand in key sectors of the Indian economy, food, dairy, pharma, mining, fertilizer and chemical, etcetera, kept us busy with continuing strong order inflow and execution.

Sales in Q3 was at INR 340 crores as against INR 308 crores of the previous year, a growth of about 10%. Most of the growth came from domestic market. Export sales for the quarter was at INR52 crores, same as that of the previous year. Order booking was strong and this leaves an order book of INR 1,879 crores as on 1st January '25. This as compared to the INR 1,475 crores of 1st April '24 is an increase of 27% compared to last year. This, in a way, is a good pipeline of orders in hand that will allow us to meet the planned growth for the current year as well as the year F '26.
A notable feature in the order booking for Q

3 has been the strong order intake for newer products like the Tezcatlipoca centrifugal compressors, Calana boosters, Aria compressors,
Khione packages. The Jarilo for biogas has made its mark, but the industry itself is still to resolve the biogas generation challenges. We are continuing on our efforts to build in-house manufacturing capabilities, both at Nashik and at Sasw ad.
The capex execution in this regard will be on budget. We have done about INR 52 crores. We will do about INR 100 crores for the full year. The company completed the share purchase by acquiring 55.26% equity stake in M/ s Systems & Components (India) Private Limited. We are consequently putting out our first consolidated financial only with 25 days from this. The joint working between the 2 teams

has start ed, and we expect to better address the process
refrigeration market across key industries.
The company also entered into an exclusive selling arrangement with UMPE SL, a Voltas
subsidiary, who are leaders in supplying machines to the textile industry, and this agreement
would allow us to increase our sale of Tezcatlipoca Centrifugal Compressors and other compressors to the textile industry.
The net working capital was at INR 297 crores, an increase
of INR12 crores over the beginning of the year. This is lar gely coming out of several major
packages waiting to be shipped during Q4. We expect that the net working capital which is now around 17% will go down to about 15% of sales by 31st March '25. The free cash generation from operations of YTD is strong at INR 119 crores, and this supports the enhanced
interim dividend announced.
Let's now discuss the results by product lines for the quarter. The air compressor business was flat with low offtake from most segments coming out of a general slowing down of the
economy, except cement, pharma, carbon black and mining, which all continue to do well. The
silver lining has also been a stellar performance of the Tezcatlipoca Centrifugal Compressor. We have significant orders on hand, and we will start investing to scale up production in the
coming year. We expect this to help us in F '26.
Refrigeration, Compressor and Systems. The Refrigeration Compression segment continued to
shine with strong order inflow from dairy, food processing, pharma and packages from the
chemical and fertilizer industry. The sale of Khione Refrigeration package scaled up with strong order inflow. This we expect to continue even going forward. With the Systems &
Components being in the family, our visibility and presence in the space will continue to go up
even further, and we expect to have a better position in the refrigeration market going forward.

Process gas compression systems. This space saw the most uncertainty coming from a myraid
of reasons, gas availability, pricing, biogas generation challenges, oil price and so as project
execution delays, deferment, etcetera. Yet in all this, we remain strong and rooted. We shipped
out record number of Calana albeit at a near zero margin, shipped gas packages to Indian
customers and kept the over 1,0 00 filling stations serviced and running. We picked up CNG
package orders for export, marking a shift from the traditional gas packages that we were all
along shipping to the Middle East, MENA region. We believe there is a change in the MENA
region landsca pe with more of CNG packages going forward.
While we won orders and shipped a few biogas packages with the new Jarilo range of
compressors, we see that this space will go through a period of quiet as the biogas generation
challenge is yet to be satisfactorily resolved. Scaling up of demand and shipment of Jarilo will happen only after this is resolved. We'll continue to participate actively in the hydrogen space
with a range of offerings, includi ng the PDC diaphragm compressor compressors.
We are

in the process of executing the first package, a combination of KPCL and PDC
compressors f or a special project in Southern India, and this we will complete in the first
quarter of F '26. Exports is expected to cross INR 100 crores this year, and a lot of it will be
driven by the new CNG package orders that we're shipping out to the MENA region.
Outlook for Q4 and F '25. There is uncertainty and a halting progress in several sectors coming from array of reasons, weakening rupee, oil price, gas availability, uncertainty around several
green initiatives, et cetera. However, we see all this benefiting us in multiple ways. Being in
most cases, the only domestic producer end-to -end, the strong order inflow in a way reflects a
better conversion ratio c oming from our competitiveness.
We expect to deliver a strong Q4 based on major packages under execution and continue to grow strongly in F '26. The continuing trust to enhance our competitiveness and capabilities,
both in our R&D efforts and in in -house manufacture will only buttress our position further.
The various capex projects that we have undertaken and plan to take up further in F ' 26 will
help us maintaining our growth momentum. At KPCL, one of our strengths has been our
strong engineering capabilities coming from the near 200-odd engineers who work across the company. We are now working to enhance this by adding new capabilities in deep tech,
borrowing on AI and robotics. We expect this to further enhance our offerings to our
customers and allow us to accelerate our growth trajectory, achieving our first target of being a
INR2,000 crores Company next year.
I'll now request Ramesh our CFO, to take you through the financial numbers. Ramesh?
Ramesh Birajdar: Thank you, sir. Good evening, and thank you for joining the call. I hope you have had the opportunity to view the results recently released on the BSE and NSE website s after the
conclusion of the Board meeting. Furthermore, we have uploaded the presentation spotlighting
the trends observed in the Q3 results on the company's website to assist those who may not
have had the opportunity to view the results to allow me to share a summ ary of Q3 FY '25
outcomes.

Sales for the Q3 FY '25 was INR 340.03 crores against INR 308.56 crores of Q3 FY '24. Sales for the Q3 showed a growth by 10% over the previous year Q3 FY '24. Other income for nine months improved 23% to INR 16.54 crores compared to INR13.47 crores in the previous year. Total income YTD ended December '24 was at INR 1,062.51 crores compared to INR 846.13 crores in previous year. The raw material to sales ratio for Q3 remains nearly unchanged compared to Q3 FY '24 in the percentage te rms, 51.80% in Q3 FY '25 against 51.90% in Q3 FY '24. However, YTD percentage of raw material to sales has improved by 1.7% in 9 months of FY '25 due to product mix, better selection of orders and execution of large packages in Q2. Staff cost, that is emp loyee -related expenses stands at INR 44 crores in Q3 FY '25, that is 12.90% of the total income against INR 40 crores in Q3 FY '24 is 12.80% of total income. Increase in staff cost due to the salary corr ection in the form of increments , initiation of the operations at the forging plant in Nashik and hiring of additional manpower in FY '25 to achieve the growth of the Company.

Company has maintained the status as a debt free Company, and I would like to state that Company has a net cash position of INR 296 crores as on 1st January 2025. Lower depreciation in nine months of FY '25 compared to nine months of FY '24 is due to impairment of Road Railer assets in FY '24 and reduction and depreciation of lease assets, which are fully depreciated now.

Other expenses are mix of fixed and variable cost and INR 202.80 crores in nine months of FY against INR159.31 crores in previous year. Inc

rease in these expenses are mainly the surge in execution of the packages, enhanced level of service business and expanding activities in o ur Nashik plant.

Year -to-date performance for the first nine months of the current year shows an improvement in the EBITDA margin reaching 18.6% of the total income to INR 198 crores compared to 14.7% of total income to INR 126 crores i n the previous year. In the ongoing fiscal year, year -to-date profit before tax, YTD PBT has reached to INR 175.91 crores constituting 16.6% of total income against 11.5% to INR 124.26 crores in FY '24.

Net profit after tax for initial nine months of the current fiscal year is INR 130.41 crores that is 12.3% of total income in comparison to previous year INR 97.17 crores, that is 8.6% of the total income. The Company issued 93, 600 equity shares during the period ending on December 31, '24 under its Employee Stock Option Scheme by 120,800 equity shares issued in the previous year during the same period. As a result, the paid-up share capital increased to INR12.97 crores compared to INR 12.95 crores at the begin of the year.

Year -to-date earnings per share in the current year has shown a growth by 78%, reaching INR12 per share, while INR 11.30 per share was earning in the previous year FY '24. In line with our D ividend Policy, the Board of Directors has approved an interim dividend of 175% on the face value of INR 2 per share, that is INR 3.50 per share, while in the last year INR 2.50 per share for the same period.

With about 94% of revenue coming from the compression segment, it remains only reportable segment, the segment earned a profit of 12.80% in the current qua rter, while higher than the previous year, which was at 18.9%. The compression segment is consistently sustaining the profitability in the range of 18% to 20%.

As of January 1, 2025, company holds an order book of over INR 1,879 crores marking a 27% growth compared to INR 1,475 crores at the beginning of the year. This represents the highest order book recorded in the first nine months of any financial year. The segment assets experienced [INR59 crore surge compared to previous year. This is primarily in the inventory and in order to arrive at a capital employed for the segment current liabilities were reduced accordingly. As you may know that the Company recently acquired Systems & Components (India) Private Limited, a company situated at Village Patgaon near Murbad in Maharashtra. Following this acquisition, C ompany has published its consolidated income statement for the first time reflecting the financial performance of both entities. Comparable details for the consolidated business will be provided after completion of a full reporting cycle of one year.

Now this forum is open for questions from investors.

Moderator: Thank you. We have the first question from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Sir, wanted to understand the offtake which was this quarter. I mean when we consider the order booking kind of order book, which was the last quarter and it has been good order booking, which has happened also in the last 6 months. But the order revenue recognition for this quarter was low.

So was there any client specific challenge or a package specific challenge where you have prepared those package, but it is yet to take off -- some color on that will be helpful. And you mentioned that Q4 should see better, is it that one should see a better Q4 for compensating that? That was the first question.

K. Srinivasan: Yes. So the audio has not been very clear, but I broadly understood your question. See, a couple of large packages in refrigeration as well as in proc ess gas that will go out in January itself will compensate. Like I think we've been telling several times that our bu

siness still tends to be a little lumpy.

Consequently, it is poor to judge our results quarter -on-quarter. We have this challenge with some quarters, everything goes well. Some quarters, a couple of packages do not get shipped for various reasons, site not being ready, payment is not done, whatever, and they go in the next quarter. So this sort of, in a way, disrupts the numbers.

We will ha ve a record Q4. And I think we will stay to what we committed saying that we will have an over 20% plus growth for the full year. I don't want to give a better number than that. It will be definitely well above 20%.

Mihir Manohar: Second question was on the other expenses side. When I see other expenses, they are up 27% on a Y -o-Y basis, close to INR 71 crores of other expenses versus INR 55 crores, INR 56 crores on a Y -o-Y basis. I mean what is it that other expenses have gone up? I understand it is flat on a Q-o-Q basis. Because that is something which has resulted into the compression segment margins correcting by 20 to 20 basis points. So what has resulted in the other expenses going up?

Ramesh Birajdar : This is -- in the Q2, we have executed the large packages and that is the cost we incur red. Apart from this, we have the subcontracting charges in the year because of the large package execution and also we are executing the O&M business where increasing the top line as well at the same time, we are incu rring subcontract fee charges for the O&M business.

K. Srinivasan: I think like you know, we maintain and operate about 1,000 compression packages in the stations across India. And they are managed through third-party contractors who are actually providing labor to man and run them. And so as the scale goes up, that will continue to go up.

Mihir Manohar: Okay, sure. Correct. And last question was on the Systems & Components side. What is the thought process of acquiring this? Is it for facilities? Is it for customers? How should one see the synergies going for this?

K. Srinivasan: Okay. Systems & Components is a Company that supplies refrigeration packages. We call it cooling systems for chemical , pharma industry primarily. We do not make package systems for this industry. We make our KCC compressors and sell them as a bare shaft compressor. And the OEs buy them and make packages. Systems there once upon a time, they are a very old Company. They've been around for more than 40-odd years. They too had bought K C-series compressors and done packaging.

Off late in the last 20, 25 years, they have been using compressors imported from China and other places to make packages and sell to this industry segment. Acquiring that would allow us to access one, alternate so urces of compressors to get an idea of competitiveness, also to address this market, which is currently not being operated by us at all. And with our Khione range of compressors, this will be another good outlet for us to reach out packages using Khione for the pharma and the chemical industry.

Moderator: We have the next question from the line of Sanjay a S from Ampersand.

Sanjaya S: A couple of things. I just want to know about your order book pipeline. I understand that your order book is sharply up on a year -on-year basis. But compared to the first 6 months, this was a bit of a flatness and all the macro things that you have talked about. Can you just give us a sense of how order book will look like?

K. Srinivasan: See, the flatness has not been in the or der booking. It has been in the sales execution. And that, in a way, also reflects in the kind of inventory. I know you had a chance to look at our numbers, you'll see our inventory has gone up significantly, which means there's a lot of our packages are w aiting shipment. So really, the sales will get evened out after the Q4 numbers come out when the execut

ion gets completed.

See, we do not have any stage billing of any of our packages. We do not do it like a project. We sell them as packages. Everything i s built, tested and shipped out of the factory and invoiced in one book. So there is no stage completion kind of a thing. So this business will remain lumpy. And these would be exceptional quarters when a couple of things go and a couple of things don't go. We had the second quarter when a lot of the packages went third quarter, we had hardly any major package going. Fourth quarter will be a whole lot of packages going out. So you will see that on a year basis, we would even out.

Sanjaya S: Understood. My question was regarding the pipeline of order book. So will you -- are you seeing that strength in booking new orders again in current quarter? Because I understood that execution was an issue in Q3 and that will get compensated in Q4. But I'm just trying to see the demand side also and if you can give us some sense on that.

K. Srinivasan: Yes. So like we keep saying we operate in large areas. One is the air compressor, second is the refrigeration compression systems and the third is the gas compression syste ms. In the air compression systems, the general industry definitely has not been spending as much on capex as earlier. But there have been niches which have been doing exceptionally well, and that is where we have had a good order book.

On the second, as far as the refrigeration business is concerned, it is doing exceptionally well. If you look at all the capex spends that have been happening in India, they are primarily into food, food processing, dairy, chemical. They're all sectors doing well. Our refri geration side order flow is exceptionally good. It is far, far higher than anything that we have ever had before.

The third segment is you look at it on the process gas side. Now the process gas side is seeing the maximum amount of difficulties coming from a multiple set of reasons. One is the gas availability and price. There is an on and off talk between various institutions and bodies saying, will they promote natural gas? Will they promote more of LNG and a whole lot of other things, which has slow ed down the number of CNG stations that have been commissioned. People are doing with boosters. We do take some booster orders, but not too many of them because that doesn't make money. So the process gas side is definitely not doing as well as we normally expected. Added to that, the biogas is definitely not seeing the kind of traction that we see and the order finalization on hydrogen is also definitely not happening at the p ace that is expected.

But overall, I would say our general order intake in Q3 w as good. And we expect actually this to continue in Q4. So we are not seeing any kind of a massive slowdown or anything. Our order intake continues to be robust. That's why we keep saying we are quite confident of doing 20 plus for next year as well.

Sanja ya S: Understood. And last question that I just want to understand from you that you are doing this capex and you also said that one of your key new products where you are seeing strong demand, you will be further expanding capacity. So can you just tell us what exactly -- how much really the capacity expansions have been planned and where really are they going? And what do they do to your productivity and your margin outlook?

K. Srinivasan: Yes. So we have so far shared that we have invested in the fabrication area and the forging area. There are quite a few other areas that we will announce as soon as these plants are commissioned. So there are quite a few areas where we are investing. These would be to enhance our in- house manufacturing capability. In-house manufacturing capability doe

s two

things to us. One, it allows you to reduce your RM cost to sales. Two, it allows you to speed up execution and make you more competitive in the market. S o we will continue to enhance our investment in these areas.

Also, these capacities are not the traditional investment somebody would see outside in a fabrication plant or a forging plant or the new ones that we are putting up. They are all done with a ve ry specific uniqueness about them, either they are driven by circularity or they are driven by zero carbon emission, a whole lot of other things, which actually gives us a competitive advantage in the manufacture in -house. So this would help us in two ways , speed up delivery as well as improve our competitiveness.

Now the question you asked is capacity utilization. I would say a lot of this is make kind of a thing. It increases our capability. It also allows you to do better turnaround of products or order s. We do it quicker so we can do more. Generally, our capacity utilization would be between 60% to 75% in most areas. So we still have headroom for the growth that we have planned for next year.

Moderator: We have the next question from the line of Amit fr om PL Capital.

Amit: My first question is on the process gas side where you highlighted that the different kind of challenges which we are facing currently. I wanted to understand your view, the kind of growth which we are expecting 20% this year and 20% next year. Is it a right understanding that largely despite the slowdown

in gas, are we expecting major growth in air and the
refrigeration systems only? And some color on when the gas market for you is going to come back?
K. Srinivasan: So the process gas growth in this year as well as next year, we do not expect it to go to 20%. We expect it to be sub 20%. And even that is going to be to an extent, driven by the CNG packages that we are now exporting, and they seem to have surprisingly good traction. So we are doing more of it and that in the MENA region, and that is a good news for us. The big growth, like I mentioned, is really coming out of the refrigeration as well as hopefully from the air side going forward with Tezcatlipoca picking up. So these two would, in a way, compensate whatever little fall that we will have from the 20% target on the process gas.
Do we think this will be irreversible change? Not really because there are a couple of big, let's say, investment areas that the government and other s have committed for biogas, hydrogen, et cetera. These are all not really scaling up at the pace and at the expected level. And consequently, this is all affecting the overall process gas segment for us. We expect that there will be a lag. It will not be a complete washout. There is a lag. It will take probably a year more than we expect, but they will come back.

So we are quite positive about it. We have our products in place. We have fairly good installation for people to refer to, and we believe that it will come back. Maybe we will have a year when the percentage that we always keep saying 40% to 45% for process gas may go down to the lower level of 40-ish and the refrigeration, which we talk of 30% to 35% may go to nearing 40%.
Amit: Right. Are we ex ploring more geographies for CNG gas packages?
K. Srinivasan: I would say cautiously, no for the moment. We are busy with what we have, and I think we will do first this year, we will stay with the area that we have opened up and use the traction that we'r e getting from the areas where we have established. We will not go out and do new things in the market.
Amit: Right. My next question is on the MOU, the partnership with -- for the Tezcatlipoca. Are the Voltas subsidiary is going to act as a distributor? A nd what is the business potential for Tezcatlipoca through that partnership?
K. Srinivasan: See

, the textile machinery business is actually significantly run through this C ompany, the Voltas subsidiary. They have been selling -- representing very large com panies other than us as well in the textile industry. They have two models. One is they stock and sell like a standard compressor for a screw compressor , they also would be an agent kind of a thing where they would book the orders and we would execute dire ctly, particularly when the large Tezcatlipoca is done.
So the model would be both. One is they acquire business for us. Second is they will hold the inventory and sell for us. They would do both. The opportunity size, we believe, is about INR100 crores i n the next 2 to 3 years.
Amit: Right. And possible to share what was the contribution of Tezcatlipoca in Q3 or first nine months?
K. Srinivasan: I wouldn't -- first nine months, I can tell you, we roughly did about INR 30 crores, less than INR30 crores. Order booking would be double that and the sale of about INR 30 crores or even less.
Amit: Sure. And then my last question, if you allow. In refrigeration compressors, the kind of growth which you have been explaining, is it broadly coming from t he same industries which you highlighted, food process, chemicals? And with respect to competition, is it the market which is growing and the demand side opportunities which are expanding? Or are we also gaining market share? Or are we substituting any imp orts which were coming in India? So could you -- possible for you to highlight in detail about this segment?
K. Srinivasan: Yes. The three reasons, let me put it like this. The biggest growth comes from the food, dairy, pharma industry as far as the refrig eration industry is concerned. The big packages are all going towards fertilizer , chemicals. As you all know, urea imports is likely to be, let's say, discouraged or stopped by end of '25. Consequently, several ammonia terminals are coming up, are being installed on both sides for India. So consequently, whenever there's an ammonia

terminal, there's a huge amount of refrigeration systems and we end up doing most of them. So there is a lot of activity in this.
Now the big thing, why we do win more is that a lmost all the refrigeration compressors today are imported. We are the only one who make all of them in India. So like I keep saying, even if

the activity level in many cases goes down, our win rates go up because being a local
manufacturer, we have tremen dous advantage in terms of execution, up key cost of the
projects, et cetera. So that's a big advantage, and it will only get enhanced as we start doing
more and more work in-house.
Moderator: We have the next from the line of Swechha Jain from ANS Wealth.
Swechha Jain: Sir, I just have 2 questions. This Voltas JV . Just wanted to understand if you could help us
understand in terms of the revenue potential, what kind of revenue potential are we looking at
this from this tie -up? And second thing, in terms of the order book, what is the execution time
line for this order book, sir?
K. Srinivasan: Okay. So on the first question, let me clarify, I think I didn't do in the first time. This
agreement that we have with the Voltas subsidiary is a selling arrangemen t. So this is not a
joint venture. UMPEL and Kirloskar Pneumatic have entered into an exclusive sales
agreement, which will allow them to market our compressors primarily to the textile industry and to stock and sell them for
specific areas, largely only f or the textile industry. The revenue
target for our product, we expect that they will do about INR 100 crores in the next 2 or 3
years.
Swechha Jain: Okay. And so then how would the sharing arrangement would be between us and them? I mean, we would be
givin g them a commission for sales and how would that happen, sir?
K. Srinivasan: Yes. If they stock and

sell, they get to make the final price. I f they are procuring order for us,
then they get a commission or a markup. Now these are exclusive agreements. So t hey are, let's
say, private agreements, and we would like to keep it that way.
Swechha Jain: Okay. And on the order book execution time line, sir?
K. Srinivasan: On the order book, see, we generally say that most of the standard products or the standard
lines of business, we call them as equipment, they go out in about 16 weeks on an average. The
large packages tend to take anywhere between 8 to 12 months. So if you look at this INR 18.7-
odd crores of order booking, most of them would go out by end of next year.
There would also be about INR 400-odd crores that may go to the first quarter or even second
quarter of the year after. But we also continuously keep booking those short equipment orders
that will get booked and executed within the same 4 quarters. So this gives you a rough
indication. We have a INR 14.5 crores of order bank, the next year sales should be at least that
plus 20% or so. That's how we always look at it.
Moderator: We have the next question from the line of Ruchita Kadge from I -Wealth. Please go ahead.

Ruchita Kadge: My question was mostly on the process gas side. So with this increase, basically, the
profitability of the CGD companies is coming down because of the lesser allocation given to
them. So do you think that the capex is getting impacted because of it?
K. Sri nivasan: And what you said is 100% correct. So that's what we said in the beginning in the opening
comments. The gas availability to the CGD companies have -- the domestic gas availability
has been reduced. Consequently, they are forced to buy more and mor e of the imported gas. As
you would all see, there has been a tremendous growth, over 22% by value growth of LNG
imports into India. And consequently, their final price that they put out on the CNG has gone
up, which means the attractiveness of CNG for con version of people to use it in the place of
diesel also diminishes.
So this industry is going through a bit of a change. Consequently, the people are no longer
investing or I wouldn't say no longer are investing unless keen to invest on pipeline and the
mother stations. Most of the people are trying to cover up for the time being using daughter
stations or the boosters as we call it, or Calana in our brand.
And that is why we're selling more and more of Calana's now. Is it profitable for us? No, it
hardly breaks even. Why are we doing it? We want to be present. We are the only large
Company doing and the customer wants us to be available.
But if you look at the total number of CNG stations that have been install ed in the Company,
you can see in the PNGRB website, we talk of 7,259 CNG stations established. I don't know how many are really running. Out
of that, more than 5,000 of them or at least about 5,000 of
them would be boosters, the Calana's. We don't put all Calana's there. This will be equivalent
to that. About 2,500 would be the mother stations, which is where we have a significant share
of the market. We are interested in doing more mother stations. We are not interested in the
other part.
Ruchita Kadge: Okay. So the mother station is profitable for us, sir?
K. Srinivasan: Mother station is profitable for everybody provided gas is available and the people have
invested in the pipeline.
Ruchita Kadge: Got it. But right now, we are not seeing much of mother s tations. We're seeing most of the
booster stations being installed.

K. Srinivasan: There are a few mother stations where pipelines are available. If you look at the distribution of CNG stations across India, the largest number of stations are in Gujarat, U ttar Pradesh, followed by other states. So Maharashtra plus maybe third or fourth. So it is there is a concen

tration where gas pipelines have historically been created. So the rest of the plays are all covered by the boosters.

So this is something where w e said we called out saying that look, process gas is going through a pivot, and we are mindful of it. And we said that in this business, consequently, our 20% growth is not going to happen for the next year. It is not going to happen this year either.

But the other segments are picking up very well, and that will eventually give us through this 20% plus growth.

Ruchita Kadge: Okay. And sir, currently, out of our order book, earlier process gas used to be around 45%, if I'm wrong -- correct me if I'm wrong. Currently, how much is process gas as a percentage of your order book?

K. Srinivasan: So like I said, process gas used to -- we always target 40% to 45%. It would be in the lower end, 40% or even slightly below 40%.

Ruchita Kadge: Okay. And refrigeration would be in a higher range currently?

K. Srinivasan: Correct. So they said 30% to 35%, it would probably be going up to almost 40%.

Ruchita Kadge: And sir, on the air compressor side, we're saying that we can grow at around 20%. So which are the areas where we think that the growth would come from or specific industry?

K. Srinivasan: So we said in the air compressor business, the sectors that are doing very well are cement, carbon black, graphite mining, metal, pharma, all of them are doing well, textil e, all of them are doing very well.

Ruchita Kadge: Okay. Okay. So you think majority of it should come from there?

K. Srinivasan: Yes. We are a very small player in the business. So we can actually grow much better because we will take market share as far as Tezcatlipoca is concerned. Otherwise, people have imported. Ours is the only India -made product, and we have a huge competitive advantage in this.

Ruchita Kadge: And sir, just one last question on the...

Moderator: Ms. Ruchita, we request you to kindly come back in the queue for follow -up questions. We have the next question from the line of Prolin Nandu from Edelweiss.

Prolin Nandu: So two questions, one on the top line and another on margin. So starting with top line, right? So you sound very confident on the 20% growth this year, next year and achieving your target of INR2,000 crores sales. But what we have seen in a typical capital goods industry is that some of these delays are actually destruction of orders, right, because you have to make the most of the cycle rather than -- it's not like a delay and next year also it will come. So how confident are we given the fact that, let's say, 1.5 years back, right , one of our key driver was C&G?

Now that seems to be no longer there. So is it -- is there enough room for us to grow X of the market as well? And can you share some data on market share as to how aggressively or strongly are we gaining market share, right? So just want to pick your brai n on the top line and our INR2,000 crores target.

K. Srinivasan: Okay. So first, let me say why are we confident of this 20-plus growth, not only for this year, next year and probably even going further from there. And I'll explain a couple of things. One

is, yes, if you go and look at the capital goods sector and you look at the company is marked out as bearish, a very bearish kind of a thing, we are mindful of it. While the overall manufacturing growth is about 9.6% last year, this year, it is being marke d out at about 5.4%. And for the capital goods sector, it will almost be 0 or negative. So we are mindful of what's happening. But what is the confidence that comes from? We have also realized that there is a pivot even in our own distribution. That's why I said our process gas, we have marked it down a little bit, 5% down, and we have

marked up our refrigeration 5% plus. and we're quite confident of getting these numbers.

So -- and also where is it coming from? One, it is not that we are waiting for the market growth to give us growth. We actually are taking market share. We're becoming more competitive, and we are replacing a lot of import -driven businesses. So compressors still are very largely imported. There are moves to make them in India, but still this is a work in progress. Our cycle

of business is two parts.
One, there is large capex -driven big packages. The other one is not so much capex driven. That is more efficiency driven. You buy an air compressor for a cement plant, it's almost like a process consumable. You probably do it every 3 or 4 years, and it keeps happening to even keep the plant running. Same is true in mining.
So a lot of our sales is not the traditional capex cycle where it happens once in 8-10 years. It is an operating expense that happens every two years or so. It's a maintenance kind of a business.
You have to have it to keep the plant running. And in the cement and mining area, the compressors go out in every maybe 3, 4, 5 years at the most. So we keep replacing them and they have to be done. So there a re -- and same is true textile.
Textile, we keep adding new compressors because the old ones can only run up to a point in time. So I think there is a certain level of renewal process that keeps the business running.
There is still capex being spent and there, our win rates are much higher and will only get better as we become even more competitive.
Also, what we didn't talk too much about in this, and I was actually waiting to talk more about at the end of the year is a huge R&D effort and the new products and new IP that have been back ing a new product that's coming out. We talked of a few. There are quite a few other surprises in the market that you will see as they come up. So we are reasonably confident t hat we'll have a good year -end.
And going forward, continue the trend of delive ring 20% plus growth for quite some time to come. Two things. One, everything is going well, we're doing well, that's pretty normal. I think the real challenge comes when things are not going to be all that great, then comes customers having to make special choices to do things that are locally available, more efficient and then we tend to win better. So I think we are quite confident, and I think the best proof would be to see us in April.

Prolin Nandu: Sure, sir. All the best for that. Very heartening to hear. Second question would be on margin, right? So one of the pivots that you mentioned was this more pushing the pedal on the refrigeration side and slightly lower on the gas side, right? And see, another way to also look at your business is that there i s a combination of products that you sell, packages that you sell and then also the projects t hat you go ahead and undertake.
So going ahead, let's say, in the next couple of years and together with some of these capex that you are doing, right, to bring down the raw material as a percentage of sales and in -house things. One is that the top line pivot in terms of mix, would it be margin accretive from your long-term guidance of 18%? Or would it be margin dilutive? And also, when would some of these efforts on backward integration start to -- we can see that then on the margin. And also, would there be some margin kicker because of some of the investments that you are making on the O&M side?
Ramesh Birajdar: I will answer this. If you see our investor presentation slide and the margin for FY '22 to FY '25 going from 15% to 21.8%. So we're consistently putting our efforts to improve the margins.
One the reason is we are selecting the orders because the ample business is available. But at the same time, we are taking care for th

e top line as well as for the bottom line.
Apart from this, we are developing the product that is in-house manufacturing capability in the Nashik as well as in the Saswad which will give the reduction in the manufacturing cost and that m anufacturing cost will push our top line because our commitment to the investors to maintain this margin between 18% to 20% will continue. And with this vertical integration or the backward integration, we'll maintain the margins a little bit more than tha t, but at the same time, we'll push the sales and we will achieve the top line.
K. Srinivasan: Let me add to what Ramesh said, you asked a question in terms of mix. See, what has happened is the process gas business is still available, not that it's dried up. And like I said, if you start doing more and more of booster business, and we said booster doesn't make much margin, almost makes nothing. So consequentl y, it will be margin accretive.
That's the reason we said let's not have too much of our growth as pirations stuck around process cat in the current phase of growth. We would rather do more of the refrigeration where we are able to choose a business which is still margin accretive. So overall, there's a bit of a modeling that we do to ensure that the company's margin stays above 18%.
The compression segment definitely above 18%, is about 20% and the company's margin going towards 18% plus. And that's a little bit of a modeling. We still have to look at -- we can probably do a little more business if you lose margin, and then that's what we would not like to do. That's what Ramesh has explained to you.
Prolin Nandu: Sure. Can I push one more question, if that's fine?
K. Srinivasan: Yes, go ahead.

Prolin Nandu: So just on the gap between compressor margin and company margin, right? Now I mean, while there is -- I assume that there is no longer a drag of R ailroad, but what is happening there, sir? I mean any chance or any interest to offload that business?
K. Srin ivasan: The Road Railer business has been closed. And it is no longer -- it is being still held at about -- roughly about INR 9 crores as asset held for sale. Now we have been trying to put it through various processes of selling. And today, great people would offer a scrap rate kind of a thing. I really don't have the heart to sell it as a scrap.
I can still recover that money, but I think I would rather get some respect for this product. Tremendous amount of effort has gone in, and I think we will probably get rid of that in the next quarters. But that's no longer a drag in our account. We're just holding it across.
Prolin Nandu: Okay. So then this gap should narrow, right, between the compressor margins and the overall company level margin. Is that fair? A nd if at all, what would be the drag for in case going forward, there would be a drag?
K. Srinivasan: There would not be a drag per se, but you see the overall margin of the Company would include at the EBIT level. Operating EBIT, there would be no drag. B ut if as a full company without the operating EBIT, then all our investments, etcetera, they may not give you an 18%, 19% return. We still hold almost about INR 300 crores of cash. We hold investments in businesses, etcetera, right?
Prolin Nandu: Yes. So th ese are -- I mean there's no business which is dragging, right? I mean, apart from...
K. Srinivasan: There is no business drag. There is only a corporate cost that will not go. That is not in the segment. But otherwise, there is no business drag left in the system.
Moderator: We have the next question from the line of Sahil Sanghvi from Monarch Networth Capital.
Sahil Sanghvi: Largely, my questions are answered. Just want to understand the proportion of compressors related to hydrogen and biogas, would that be very small in our order book right now? Or is it meaningful

?
K. Srinivasan: See, we have orders, which is not very big, but there are orders for biogas and the projects are not happening. The orders have been placed, and they are being still sort of, I wouldn't say put on hold, but they're sort of deferring it because the gas generation is not happening to pl an due to global story out there. I think in India, I think 80 biogas plants are set to have been commissioned.
Only 40 of them are nearly in any kind of operation. They are not , even most of them are not generating biogas at the planned level . So there i s a bit of a reluctance for new projects to take it forward. I think it's an evolving process. Only then will the clearances come for commissioning like I said, compressors. We're not worried about that, but it's about a few crores. It's not hundreds of cr ores. So that's quite okay with this.

On the hydrogen, we have only one order that we are executing. That also is not nearly 100% hydrogen. But that's an order that we have that we will get out of our system by first quarter. Otherwise, now the orders are finalized yet. But there is something like about INR 600 crores to INR700 crores worth of quotation out there for hydrogen compression packages. Maximum amount of quotations are out there, various stages of discussion.
Sahil Sanghvi: And that will close pr obably in the next year, is it?
K. Srinivasan: I really don't know because the numbers what we're talking of are disproportionately large for people to digest this level of hydrogen. So let's see where it goes.
Sahil Sanghvi: And we would have a good share in the hydrogen side, right? I mean, because we are doing a good portfolio on I mean product portfolio-wise and we are doing a lot of products.
K. Srinivasan: So as the packages get finalized, we will end up doing a lot of work in hydrogen space because we have the P DC tires and the recip compressors are made in -house by us. So the package together is a very proven competitive package and people will be happy to take a proven competitive package in a space, particularly where everything else is a little b it unknown. So we prefer at least this to be a known thing. We have huge opportunities. But like I said, this has to move from excitement to execution.
Moderator: We have the next question from the line of Dhavan shah from AlfAccurate Advisors.
Dhavan Shah : My question is on the order inflow side. So if I look at the 9-month FY '25 numbers, I think we ended up with INR 1,400 crores kind of the order flow till date, which is only 20% Y -o-Y growth. So based on your commentary, I think we are seeing green shoot s in the refrigeration segment and the other 2 are still going into the challenging times. So based on the, let's say, if we can end roughly INR 1,800 crores, INR 1,900 crores kind of the order flows this year, so on that basis, do you foresee alone refrigeration segment can give you 20% order inflow growth

for FY '26?
K. Srinivasan: I do not have the 100% all the numbers that we said in my, so I not be able to confirm that. But all I can tell you is next year, F '26, our ability to execute about INR2,000 crores of sales is covered by the orders that we are getting in. So that is the confidence that we keep saying that we will deliver 20 -plus percent growth.
Dhavan Shah: Right. But yes, that's correct. On the revenue side, I think we can do 20% growth. But in terms of the order flows based on the current pipeline and based on the current trajectory, do you foresee this 20% order inflow growth can also come in FY '26?
K. Srinivasan: I believe so. This year, we will -- see, as of today, the order book is about INR1,879 crores. We will probably end the year around the same number because we don't have a massive execution in Q4. There are also quite a few orders to be finalized. So if you're going to start the ne

xt year at around anywhere between INR 1,800 cr ores plus. I think for us to book another 20% on that should not be a difficulty.

Dhavan Shah: Okay. Okay. And I think you mentioned that there is some increase in the working capital, and that is mainly because of the delay in the shipment. So can you sha re the number, how much was the delayed from Q3 to Q4?
K. Srinivasan: I gave you the working capital that we are holding now is INR 297 crores. And we are planning a big Q4. I can't give you an exact number, but said this will definitely keep our overall sa les for the year well above 20%. So you will see a significant reduction in the net working capital. I got to be careful because a lot of what is in inventory would also get converted to, let's say, debtors receivable. But most of them, we also want the cu stomers to pay before they lift it. So we'll do both. We'll see how much it gets reduced.
Dhavan Shah: And so basically, I just wanted to understand this INR 340-odd crores top line number for Q3, is it fair to assume that if that order would have been dispatched in the third quarter, our revenue would have been similar to the second quarter, INR 430-odd crores?
K. Srinivasan: At least it should have been nearer to INR 400 crores. You always understand historically for every company in India, Q3 is smaller than Q2 because the number of working days and the activity in Q3 is significantly lower. There are block closures for Diwali, there are a holiday season. So for almost all manufacturing companies, Q3 is a smaller quarter compared to Q2.
Dhavan Shah: Understo od, sir. And in terms of gross margin given that in the overall order backlog, I think the Ref business has gone up in terms of the overall contribution. So how is the gross of Ref versus air business?
K. Srinivasan: See, we have been always saying that we don't segregate and tell you the margin between businesses. We do a little bit of modeling. Each business, by and large, gives about the same 18% plus. It is within this segment, if you do more of a booster, then the margins of P GS in that quarter will fa ll. If you do more of packages in some of these businesses, the margins go up. So it's a bit of a modeling. So you must -- for all your projections, you must take it that each segment, that is refrigeration, air conditioning and process gas all delivers ab out 18% plus.
Dhavan Shah: Understood. Understood. And this unallocable of roughly INR 50 crores, INR 60-odd crores annually, is there any chance of -- can it go down to maybe 1 year down the line or 2 years down the line? Because our earlier guidance was to reduce, if I'm not wrong. And that was like INR50 crores, INR 60-odd crores annually that happen since last many. So is there a chance of reduction? Unallocable expenditure INR 55 crores to INR 60-odd crores.
Ramesh Birajdar: We are trying to control that and further trying to reduce that. But as on date, it is difficult to answer your question.
K. Srinivasan: You take that the corporates have overall corporate expense, corporate office, corporate headquarters, everything. We control it, but it will not go to 0, then I'll not have a job.
Moderator: We have the next question from the line of Nishant Gupta from Minerva Global Capital. Please go ahead.

Nishant Gupta: Sir, one question on the capex side. So this year, you have provided the guidance. Going forwa rd what kind of normally developed capex that will be incurring?
K. Srinivasan: See we've been saying that our capex to sales ratio is between 1:3 to 1:4. We can even go to 1:5 in some cases. But you can take on an average 1:4. We are planning a growth, le t's say, at 20%. Our capex will be around INR 100 crores at least for the next year and it will even go up fur

ther from there.
Nishant Gupta: Got it. Sir, on the net working capital, since you mentioned at the beginning that it will normalize to the 15% of the sales. Going forward, since the refrigeration will pick up more, will this percentage change up or down? Or this is something which can be considered as a normalized?
K. Srinivasan: So 15% for an Indian company operating a mix of equipment and packages is a reasonably good net working capital. We can and we have a target internally to work to say how we go down to 12% and then to single digit. So these are a lot of things that has to happen where structurally, we must become more equipment driven. See, today, almost my entire sales is build to orde r, build directly to customers.
There is very, very little that goes to an intermediary in between. So I manufacture and I directly sell. I don't have anybody in between. There's no secondary happening. So all this means that I carry everything. I carry my inventory, I carry my -- I don't have a finished good, but I have a good that is in process or then I give it to the customer, it's the receivable.
So there is a bit of a challenge in the current structure. So anything which has to go significantly lower than 15% would then have to be structurally a modified business where we have mo re equipment, less packages, et cetera. It is an intent, but we'll work on it on a long - term basis. It can't happen overnight.
Nishant Gupta: Got it, sir. So just one small final question. On the AMC, what is the percentage contribution from the AMC recurring bit which you will?
K. Srinivasan: See, generally, we say services account for about 15% of our total sales. This includes spares and the AMC combined because most of our AMC includes labor and spares combined. So we generally say spares and service combined is about 15% of our sales. And this also makes about the same contribution as the regular business, about 18%.
Nishant Gupta: Got it. And just one clarification. So in the order book, you don't mention the service and the spare, you don't club that, right? That is separate that you'll be getting, right, from the projects to?
K. Srinivasan: INR1,879 includes O&M.
Moderator: We have the next question from the line of Amit from PL Capital.
Amit: My question is on the imports. You highlighted that most of our products are also kind of substituted to imports and in -house, locally made. I wanted to understand across 3 segments,

air compressors and refrigeration and gas, on industry -wide, what should be the import consumption in India? And what is our market where we are getting revenue purely because of the import substitutes? Any color on this would be very helpful.
K. Srinivasa n: This is almost an impossible question to answer, because what is imported in each of the segments is very, very difficult for us to say. They come as compressors, they come as a part of an equipment, they come in multiple forms. So, I think that would be -- it would be a very difficult guess. What is that we do as a business, w e have already shared with you.
Why are we getting more orders in some spaces, we believe because the others, even if it is, let's say, a company, a compressor company located in India, he would be probably importing the air end, probably importing quite a few things that eventually go into the compressor. So when he sells in India, though he builds in rupee in India, it is almost an imported equipment, just labeling done here.
So how do I say that? So I would say that our business is reasonable. We believe we are winning more because in the market, we become more competitive because we're making it here, whereas others are dependent to have a significant part of their value chain coming from outside. It may not be the entire compressor package. It could be the air end, it could be whatever

. And so that actually is the difference. So I think it's a complex question for me to give you a straight number answer for this.
Amit: But broa dly in the overall compressor market, what should be the import or any color if you have any understanding on Chinese import or any other import on the low -end?
K. Srinivasan: What I can give you is Chinese air end import for the air compressor business i s roughly about 30,000 compressors. And almost all the big names in compressor, they import their a ir ends. They import it from either their parents in Europe or they import from China, whatever they get it from. Even the parent would probably have most of it made in China anyway. So I think a lot of the parents whoever a big compressor company who sell in India, most of them import air ends.
Amit: And we are completely in -house in that?
K. Srinivasan: 100%. We already said the big packages where API complian t, we do have partners, we use air compressors, but that is a few numbers. We're talking of 15 numbers or 30 numbers.
Amit: Right. Lastly, if I can chip in on the Tezcatlipoca air compressor. The competition intensity is already the established players lik e Atlas, Ingersoll, Lv. So how are we planning to take the market share or some more color. So I understand that the product launch has been going pretty well for you. But any sense on competition there once you enter that market or already getting some se nse?
K. Srinivasan: So the test Tezcatlipoca, what we have launched is at the moment, we have 3 sizes that have

been launched and around that, there are several other models. So -- and in that range what we
have launched, it doesn't cover the entire model, we would probably be by far the most
efficient, most competitive and the Western class in India for an Indian customer.

The names that you mentioned, all of them import either the entire compressor or definitely the air end. So they have really, let's say , if we are dumb marketing guys, maybe in 5 years, they would all find it difficult to sell any. If we are reasonably good, we should be able to make it difficult for others to sell even in 1 or 2 years.

Moderator: That was the last question. I would now l ike to hand it over to the management for closing comments.

K. Srinivasan: Yes. So first of all, thank you all for taking this late call. I know there were other interesting opportunities before, so we had to take the 5:00 o clock slot. Thank you all for a ttending the call. I know these -- like I said in the beginning, the key word that we want to have as a d river for us is predictability.

We want to have our numbers even more predictable going forward. We have challenges that we mentioned always saying that quarterly numbers don't get it by a quarter, good or bad. We had a good quarter in Q2. We didn't have a good quarter in Q3. We hope to get back with a strong number in Q4. And going forward, let's work more strongly to deliver more predictable the num bers quarter -on-quarter. We are quite confident that we'll keep doing it. We are in a good business, and we'll see you all happy next quarter. Thank you.

Moderator: Thank you. On behalf of Kirloskar Pneumatic Company Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Ramesh Birajdar: Thank you.

Call: Apr 2025

Kirloskar Pneumatic Company Limited
A Kirloskar Group Company
Regd. Office: Plot No. 1, Hadapsar Industrial Estate, Hadapsar,
Pune, Maharashtra 411013
Tel: +91 (20) 26727000
Fax: +91 (20) 26870297 Email: sec@kirloskar.com | Website: www.kirloskarpneumatic.com
CIN: L29120PN1974PLC110307
Ref.: SEC&LEG/93
April 30, 2025

BSE Limited
Phiroze Jeejeebhoy Towers Dalal Street,
Mumbai 400 001
Scrip Code – 505283 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G, Bandra-Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: KIRLPNU
Dear Sir / Madam,
Sub.: Transcript of the Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obli gations and Disclosure Requirements) Regulations, 2015 and in continuation of earlier communication vide lett er SEC&LEG/71 dated April 18, 2025; we inform that the Conference Call for Investors and Analysts was held on Thursday, April 24, 20 25 at 4:00 p.m. (IST) to discuss on the Audited Financial Results of the Company for the quarter and year ended March 31, 2025. The Transcript of the Conference Call is enclosed and is available on the website of the Company viz. www.kirloskarpneumatic.com

You are requested to take the same on record.

Thanking you,
Yours faithfully, For Kirloskar Pneumatic Company Limited

Jitendra R. Shah
Company Secretary Membership No. 17243

"Kirloskar Pneumatic Company Limited Q4 & FY'25
Earnings Conference Call"

April 24, 2025

M
ANAGEMENT : MR. K. SRINIVASAN - MANAGING DIRECTOR ,
KIRLOSKAR PNEUMATIC COMPANY LIMITED
MR. RAMESH BIRAJDAR – CHIEF FINANCIAL OFFICER ,
KIRLOSKAR PNEUAMTIC COMPANY LIMITED
MR. JITENDRA SHAH – COMPANY SECRETARY ,
KIRLOSKAR PNEUAMTIC COMPANY LIMITED
MODERATORS : MR. AMIT SHAH – ANTIQUE STOCK BROKING

Moderator : Ladies and gentlemen, good day and welcome to Kirloskar Pneumatic Company Limited Q4 and FY' 25 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Shah from Antique Stock Broking. Thank you and over to you, sir.
Amit Shah: Yes, thank you, Manu. Good afternoon, everyone . On behalf of Antique Stock Broking Limited, I welcome you all to 4Q FY'25 Post-Result Earnings Call of Kirloskar Pneumatic Company Limited .
To discuss the results, we have the Senior Management Team of the Company , represented by Mr. K. Srinivasan – Managing Director of the Company ; Mr. Rames h Birajdar – CFO of the Company .
I would hand over the call to Mr. K. Srinivasan for his opening remark, post which we can open the floor for Q&A . Over to you, sir.
K. Srinivasan: Yes, so good evening to all of you. Let me start by wishing you all well on the occasion of the various New Years we celebrated last week, Ben gali, Punjabi, Assamese, Odia, Malayali and Tamil New Year. I also take a minute to pass to mark of respect in memory of the 26 innocents who lost their life yesterday . Let's continue with the call.
Before proceeding with the business update, I will ask Mr. Jitendra Shah, our Company Secretary, to read out the Disclaimer Statement . Jitendra, please.
Jitendra Shah: Thank you , sir.
The Presentation uploaded on the website of the Company and discussion on the financial results during the earnings call may cont ain statements relating to future business developments and economic performance that could constitute forward-looking statements. While these forward-looking statements represent the Company 's judgments and future expectations, a number of factors could c ause actual developments and results to differ materially from expectations. The Company undertakes no obligation to publicly revise any forward-looking statements to reflect future events or circumstances. Further, investors are requested to exercise their own judgments in assessing various risks associated with the Company and also the effectiveness of the measures which taken by the Company in tackling them as indicated during the discussions.

Thank you.
K. Srinivasan: Thanks, Jitendra. Now, I will proceed with the business updates.
The Financial Year F'25 was as near to plan as one could get. We achie ved both the topline and bottom -line plan in spite of the various uncertainties, thanks to the robust business model that allows for the various sectors and markets to compensate for each other. Domestic market was strong in food, dairy, pharma, fertilizer, and chemicals, and in some sectors of general engineering. Growth in oil and gas sector as well as all the new energy sectors was patchy. Our targeted and modest export aspiration was more than met with export at Rs. 124 crore, which is roughly about 10% of sales. New product sales of Tezcatlipoca centrifugal compressors, Khione screw compressors, Calana boosters, Jarilo biogas compressors, and Aria low -cost air compressors all picked up traction.
With the record filing of and award of 41 IPs during the year, the Company is accelerating in creating a more winning solution for its customers. Order booking remains strong, providing clear visibility for continued growth in F '26. I do understand that there are some concerns expressed about order booking, and I will address them later.
Sales for the year was Rs. 1

,629 crores as against Rs. 1,323 crores of the previous year, a growth of 23%. Growth came predominantly from the domestic market, exports too grew and grew by 80% from the very modest Rs. 69 crores of the previous year. We produced over 3,500 compressors during the year and this was a new record.
Order booking was strong and this leaves us with an order book as we start the year of Rs. 1,624 crores a s compared to Rs. 1,425 crores, Rs. 1,475 crores of the last year. This increase of 12% may be appearing less than our projected sales growth of at least 20%, but considering the fact that our average execution cycle as a whole has come down primarily beca use our switch between equipment sales and packet sales has changed 60 -40 in a positive direction. Consequently, this order book does represent adequate order backlog for meeting our growth aspirations. Also, the inquiry pipeline and the orders in hand would allow us to meet the planned growth not only of F '26, but also going forward.
We are continuing our effort to build in-house manufacturing capabilities both at Nashik and at Saswad . Towards this, facilities to manufacture the Tyche range of semi -hermeti c compressors and the lost foam casting, LFC range of cast iron, SG iron and steel castings for our

compressor parts have been commissioned. CAPEX execution for the year was near Rs. 100 crores. The acquisition of the 55.26% stake in S ystems & Component s (India) Private Limited during the year allows the Company to scale up its business in the pharma, chemical, and dairy sectors. These are early days. We did have only a quarter and a few days for this Company to be brought into our fold. There is strong work in progress to ensure that we have a significant jump in the top and bottom line during the next year.

The net working capital at Rs. 272 crores as against Rs. 300 crores, a decrease of about Rs. 28 crores over the beginning of the year. This is about 15% of the sale and is in line with our planned objective. Free cash generation from operation was strong at Rs. 280 crores, supporting an enhanced dividend to commemorate the 50th AGM of the Company . There is a bit of an explanation that would be required t o say why 50th AGM is quite different from our 74th year of operation that I think most of you would know.

Now let's discuss about our various product lines :

Air Compressors :

The air compressor business ended the year on a strong note with record dispatches of the Tezcatlipoca centrifugal compressors. The sale of large reciprocating compressor packages to the fertilizer and chemical plants added to the sales growth. Overall order intake was strong, indicating a clear growth in market share. The air compressor business continues to be 20% of our overall sales.

Refrigeration Compressor Systems and Compressor Systems :

This clearly was the start of the year as the refrigeration compression segment grew strongly on the back of col d chains and ice plants, dairy industry, food processing, pharma, chemicals, and fertilizer industries . This more than compensated for the marginal decline in the growth of the gas business. Bringing of S ystems & Components (India) Private Limited into our fold furthe r enhanced our offering to the growing market.

Process Gas Compression System :

The process gas space continues to throw up new opportunities and challenges. While the sale of gas packages was slow and steady, the sale of CNG packages and Calana booster for gas distribution was in fits and bursts. We had periods of good order inflow, bad execution, and vice versa. We continue to see a decline in commissioning of mother stations and a preference to put up daughter stations. This is clearly to comply with the coverage commitments that the gas companies have made and this is not a good sign for us. The booster compressor is a margina

l business and we are reluctant to pick up more orders beyond the point. However, the new energy business both in hydrogen and biogas are growing, but it is yet to pick up signi ficantly in terms of execution.

Sale of CNG packages to the MENA region is scaling up and this seems to be a new area of growth as countries in this area find it the quickest way to get energy to meet their growing economies. We continue to operate and maintain near 1,000 odd filling stations across 15 states, and the O&M business remains strong and growing.

Outlook for F '26:

The economic outlook continues to be uncertain, less so in India. The general slowdown across geographies does have a sobering impact on all new projects and investments. Yet in all this, we seem to be in a sweet spot with several things going in our favor. We have a slew of launches, mostly replacing imports. We have good products addressi ng the growing market segments like dairy, pharma, chemicals, and more in -house manufacturing that is continuously being set up, reducing both our cost and shortening delivery. The strong engineering capabilities to build customized solutions for very many applications and industries helps us to meet the growing customized requirements of various customers. A large value of active quotes and proposal out there, as well as the highest ever order book at the beginning of year, both help to meet our growing as pirations.

We are quite confident of reaching our first milestone of being above Rs. 2000 crores during this year.

Now I will request Ramesh Birajdar – our CFO, to take you through the financial aspects. Ramesh.

Ramesh Birajdar : Yes, thank you . Good evening.

The Presentation highlighting the trends observed in the Q4 as well as FY'25 results is now

available on the Company 's website. You can find it in the Investor Relations section. Additionally, we have released the financial result on the BS E and N SE websites following the conclusion of the board meeting held today . These filings contain detailed information a bout the Company 's performance.
Before discussing the specifics of financial performance, let me first highlight some of the year's significan t achievement. The Company recorded new order bookings exceeding Rs. 1,860 crore during FY '25. This is the highest order gaining in the history of the Company . The sales of Rs. 1,629 crore witnessing the growth by 23% over the last year. Export sales gone up from Rs. 69 crores in FY '24 to Rs. 124 crore in FY '25. PBT, that is profit before t ax showed a growth by 58% to the tune of Rs. 281 crore.
Reaffirmed AA - credit rating by CRISIL with positive outlook, dividend at the rate of 500% for FY '25, which is the highest in any financial year . Completed one acquisition successfully in FY '25, and as a commitment to ESG, all our three factories have started using the solar energy to the extent of 30% of the total consumption.
Now I will run through the Business Resu lt for Q4 and the year ended on 31st March 2025 :

Sales for Q4 F Y'25 were at Rs. 583 crores against Rs. 490 crores of Q4 F Y'24. The sales for Q4 also showed a growth by 19% over the previous year Q4 F Y'24. Other income for Q4 is almost same for both years Rs. 5.57 crore in FY '25 against Rs. 5.95 crore in FY '24. The total income for Q4 FY '25 was at Rs. 588 crore compared to Rs. 496 crore in the previous year. There is a minor change in the percentage of raw material to sales for Q4 FY '25 compared to Q4 FY '24, 56.36% in Q4 F Y'25 against 56.21% in Q4 F Y'24. However, the YTD percentage of raw material to sales has improved by 1.1% in F Y'25 due to better product mix, better selection of orders, execution of the la rge packages, and export sales.
The staff cost stands at Rs. 45.52 crore in Q4 FY '2

5, that is 7.75% of the total income against
Rs. 37.88 crore in Q4 FY '24, again the same percentage 7.74% of the total income. YTD, employe e-related cost stand at Rs. 177 crore, that is 10.72% of total income against Rs. 164 crore that is 12.21% of the total income in FY '24. Lower depreciation is in FY '25 compared to FY'24 is due to the impairment of RoadRailer assets in FY' 24, reduction in depreciation of the lease assets which are fully depreciated now.
YTD, other expens es are mix of fixed and variable costs and are at Rs. 302 crores in FY '25 against Rs. 244 crore in previous year. Increase in these expenses are mainly surge in execution of packages, higher export sales, enhanced level of service business, and expanding activities in our Nashik plant. The year -to-date performance for the year shows an improvement in the EBITDA margin reaching 19% of total income to Rs. 313 crore compared to 16.5% of total income to Rs. 222 crore in the previous year.
In the ongoing fiscal year, the year to date profit before tax that is PBT has reached Rs. 281 crore constituting 17% of total income against 13.25% to Rs. 178 crore in FY '24. Net profit after tax for the current fiscal year is Rs. 211 crore that is 12.8% of total income in comparison to previous year's Rs. 133 crore that is 9.9% of the total income.
Company has maintained status as a debt -free Company, and I would like to state that Company still has net cash position of Rs. 330 crore plus as on 1st April 2025. The Company issued 1 ,24,300 equity shares during the year FY '25. Last year, 1, 38,400 equity shares under its employee stock option program. As a result, the paid up share capital increased to Rs. 12.98 crore compared to Rs. 12.95 at the beginning of the year. YTD earning per share in the current year has shown growth by 58% reaching to Rs. 32.50 per share while Rs. 20.60 per share was at the previous year FY '24.
In line with our dividend policy, the Board of D irectors ha ve approved a final dividend at the rate of 325% on face value of Rs. 2, that is Rs. 6.50 per share. This is in addition to interim dividend at the rate of 175%, that is Rs. 3.50 per share. So the total dividend for FY '24 is 500%, that is Rs. 10, which is the highest in the history of t he Company .
With about 94% of the total revenue coming from the compression segment, it remains the only reportable segment. The segment earned profit of about 21.71% in the current year,

higher than the previous year when it was 19.8%. The compression segment is consistently sustaining the profitability within the range of 18% to 20%, and which is directionally will maintain in that range.
As of 1st April 2025, the order book amounted to Rs. 1,624 crore. Unallocable assets include the corporate assets and assets of t ransmission business and the Nashik plants to the tune of Rs.

763 crore. As you may know, the Company recently acquired the System s & Component s (India) Private Limited, situated in the village Patgaon near Murba d, Maharashtra. Following this ac quisition, the Company has published its consolidated income statement along with the balance sheet from the date of acquisition that is 4th December '24 to 31st March '25, reflecting the financials of both entities. Comparable details of consolidated busi ness will be provided after completion of a full reporting cycle of one year.

Now this forum is open for questions from our investors.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the li ne of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Yes, congratulations team for the strong set of numbers . My first question is, sir, you highlighted about the air compression, very strong growth and Tezcatlipoca received a phenomenal response, wanted to understand what was the abs

olute contribution or value from Tezcatlipoca on how it has grown versus last year. And second thing is any top 2, 3 industries where you highlight, definitely highlighted few sectors, any top 2, 3 sectors whe re the Tezcatlipoca is receiving strong response. And you highlighted about the market share gain. So any sense whether we gained, but to what extent we have gained the marke t share versus the competition?

K. Srinivasan: The ACD business itself is a pretty small business. It is only 20% of the Company 's total sales. Tezcatlipoca centrifugal compressors now account almost about 15% to 18% of the ACD business. So that is a big growth that we are seeing. This was not a product line 3 years back, so that's a big jump. So in terms of multiples, it is growing many times every year. So we will actually see how big it can be. Like we said in the beginning, it can be anywhere between a Rs. 300 to Rs. 500 crore opportunity in 3 to 5 years . We are the only people who make the entire centrifugal compressor in India, and that gives us a huge advantage. In terms of industries where this is being accepted, metal, all kinds of metal, carbon black, cement , so these are some of the big industries that are buying. Material co nveying industries like power plants etc. for conveying coal and all. So these are broadly, wherever large volume of air is being used at moderate pressure, this is picked up. And this is a very popular product now. We hope to see much bigger traction going forward.

Amit Anwani: Sure. Now coming to the gas segment you highlighted that the oil and gas remains patchy so any ballpark you want , are we expecting that the package orders will moderate and any color you want to give what was the contribution from package and CNG this year and how it will shape next year ?

K. Srinivasan: The package business is about half of our process gas business. The other half comes from the gas distribution, which is the CNG packages at the petrol stations and the boosters, as well as in the O&M, maintenance and operations of all these stations. It's about half and half, very roughly. And the package business is okay. It's not as patchy as the CNG station and the installation of the booster packages. Their orders are coming in. The installation is that a muted on and off. There's some urgency sometimes and then they say, no, no, the sites are not ready. So it is going a little up and down. The PNRB's approval of 18,000 stations , out of that they are supposed to about 2,000 odd st ations every year. I think if you look at most of their numbers that are putting out, they are still calling out somewhere between 1,500 to 1,800 stations is what they are looking to put out. Unfortunately, a significant number of them end up being booster stations. That is where the whole story changes completely.

Amit Anwani: So lastly on the order intake, if I can see roughly about Rs. 1,860 crores versus Rs. 1,770 crores . So just 3%, 4% growth this year in order inflow. So is it a right read through tha t this includes now the package orders might have increased and as you highlighted that the duration has gone up? Or can we understand that there was some slowdown in receiving the inflows?

K. Srinivasan: No, I think there is some error there. The order, full year order pickup was up by 23%. We were some 1,460 odd numbers. I am now giving you a number without, it could be 1,465, 1,462 whatever it is. And this year it's about 1,800 something. So it was up by almost 23% for the full year order booking. Now th e opening order bank as we start the year is 12% higher than the opening order bank that we started the previous year with. So booking for the year was 23% up, our execution obviously was much faster, quicker during the year and I give an explanation for t hat, that we are having now a significant change

in the breakup between equipment as a part of the total sale versus packages as a part of the total sale. As we go more towards the equipment as a part of the total sale, the execution cycle shortens. So we have now actually moved down on an average the execution cycle from about 7 months to about 5

months. So that means the order bank will automatically be lower.
Amit Anwani: Yes, thank you so much, sir. Thanks.
Moderator: Thank you. We have our next question from the line of Shubham Sehgal from SiMPL . Please go ahead.

Shubham Sehgal: So my first question was on the process gas segment. I mean, as you mentioned that like the slowdown is still very apparent and the stations are not coming up and we are supplying the daughter packages or the boosters. But do we see any improvement coming up in this year? Will we start to supply the mother packages or how do you foresee? And another one thing on our process gas segment, Relian ce had planned 500 compressed biogas plants and I think one of the plants showed some progress like earlier last month . So did we supply our compressor there and do we have any outlook on this?
K. Srinivasan: Yes, so first let me answer the gas distribution which is really the mother station and the daughter station. This business is not something that's going away. There is a slowdown but this goes up and down with the availability of gas and the pricing of gas that is available. So the plan to have overall in the country more than 96% of the geography covered by city gas and as the corollary you need to have also this along with the gas distribution for the industries and automobiles. So that is both goes together. Otherwise they won't be able t o make money. 18,000 stations have to come up and I think they still have to do something like about 12,000 to 14,000 stations. The exact numbers will be difficult to tell at the moment. So this keeps coming up, so it is not going away and we are still a very, very strong player in it. We continue to manage and run over 1,000 stations across the country. So that is on the PGS gas system . Now coming to the biogas business, yes, Reliance had announced 500 biogas plants. There is an overall Government of India scheme saying that there will be 5,000 biogas plants across the country in 5 years. We have several products for this. We have the Jarilo range of compressors which can take biogas as it is generated from 0.5 bar and take it up to 250 bar to fill cascades or to fill into vehicles directly. Or we can even compress it and put it into pipelines or conveying to various places. Now Reliance Project, we are an approved supplier of compressors. So there is a move by Reliance. Earlier they were offering the comple te package as an order out to a person who will set up the plant for generating biogas, for compressing it, and to bottle it. Today, they seem to be convinced that the equipment can be directly ordered on reputed manufacturers like Kirloskar. So we expect more orders to come directly from Reliance, and we are an approved supplier to Reliance for both the low -pressure and the high-pressure gas. We expect the biogas business would scale up, but it is not scaling up as fast as everybody would expect it to happen. And we had explained this reason earlier also. This slowdown is not because of intent, it is because of the science of generating continuous biogas from a variable biosource and still delivering the kind of requirement of gas that is stipulated.
That i s where the challenge is. And I think they will need this.
Shubham Sehgal: Okay, all right. And on margin expansion, I mean, like the initiatives we have been taking like our fabrication plant and other backward integration we are doing. So can we make mar gins to like, can we do over 20% in F Y'26 or it will take time to gradually reach there or we can maybe

like out to 20% like how is your outlook on margins?

K. Srinivasan: See, on the EBITDA margin, I think we have said directionally the Company will move towards 20%, we are already something like about 19%. The compression segment margin we said will be about 20 %, we are already at 21.7%. So we have moved directionally. Now Ramesh had explained several times that there is a trade -off between margin and volume. So we have to keep that in mind that we would like to get a 20% topline growth continuously and we would use margins prudently to trade off to see that the volume of top line does not diminish. Most of the businesses we work with are government, government related, and they are all tender based, and we would like to stay very competitive. So the in-house manufacturing gives us the capability to be cost competitive and allow us to work for customers who still buy on L1, but still also make re asonable margins as we go forward.
Shubham Sehgal: Okay, that seems fair. Just my last question. So I think last quarter we had mentioned that we reported like around Rs. 130 crore revenue for Tezcatlipoca for the whole 9 months. So if you can provide the number for it for the full year and do we have other compressors which are

kind of crossing the Rs. 100 crore mark and any other compressor other than Tezcatlipoca that we are getting on? We have very high scope so that it could reach good scale .
K. Srinivasan: Tezcatlipoca has not crossed Rs. 100 crores this year. We are still working to cross Rs. 100 crores during the current year. Booking orders, we expect to cross Rs. 100 crores during the current year . At the moment , it is not Rs. 100 crores . It is significantly lower than that, but we have booking orders and scaling up. A s far as the question of which are the compressor packages where we do more than Rs. 100 crores , the K G series of compressors, which is really ammonia reciprocating compressor, has been a well above Rs. 100 crores for many years now, and it continues to be the largest selling reciprocating compressor with ammonia, which is a natural refrigerant used in cold chains, ice plants across the country with a dominant position. All the CNG compressors also, the KG series of compressors, also have been over Rs. 100 crores for many years now.
Shubham Sehgal: Got it. That is all from my side. Thank you.
Moderator: Thank you. Before we move on, ladies and gentlemen, please restrict yourself to 2 questions per participants, as there are several participants. The next question is from the line of Mahesh Bendre from LI C Mutual Fund. Please go ahead.
Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, I just wanted to know your input on the order inflow for the full year. W ill we be able to see a 20% kind of growth in order inflow as well?
Ramesh Birajdar : If you see the order receipt in the year FY '25, we got almost Rs. 1,860 crore plus. And this is the highest order booking in any financial year. And in terms of the sales also, this is the highest sales ever in the Company . Going forward, which is switched from the packages to equipment, where the cycle time for the production and sale is l ower. And that is gaining benefit to achieve our aspirational sets.

Mahesh Bendre: Okay, so we have not witnessed any order inflow slackness i n the current quarter at least?
Ramesh Birajdar : No, there are many orders. There are inquiries also. We are working on that. And on that basis, we are saying that we'll achieve the aspiration al sales of Rs. 2,000 crore plus.
K Srinivasan : So I think there are quite a few questions on order book and order backlog. Let me explain it like this. We have said in the beginning that our business modeling of working on different segments and markets allows us

the comfort of managing order inflow, obviously trading off some margin between various segments. If the gas distribution segment sees a slowdown, we can pick up traction in the segment which is the refrigeration segment, which also offers us opportunities both in commercial and industrial, we do more on the commercial side as an optional thing where we can pick up more orders. So overall our position has been literally the same. We've been saying that we will meet the 20% growth. Our order intake supports this aspiration and there is patchy slowdown and patchy good things also happening. The refrigeration part which really runs into food, food processing, da iry. These are all doing exceptionally well for our pharma fertilizers, chemicals, all of them are doing exceptionally well. So on the whole, our order intake is adequate to meet our growth aspiration. That's the sum and substance that we would like to leave with you.
Mahesh Bendre: Sure sir, thank you so much sir. Thanks.
Moderator: Thank you. A reminder to all participants, please restrict yourself to 2 questions only. If you have a follow -up question, we request you to rejoin the queue. The next question is from the line of Manoj Bahety from Carnelian Asset Management. Please go ahead.
Manoj Bahety: Congratulations on good set of numbers. I specifically when I see I mean, Rs. 83 crore s of PAT this quarter. I mean, the number when we started this journey is maybe Rs. 22 crores . This was a full year PAT . So, kudos to the team for that almost the full year PAT has come in a single quarter. Definitely , there has been a progression which has happened. Largely, I wanted to understand on the order booking side. I mean, when I see the order book for this particular quarter now stands at Rs. 1,625 crores and you are also mentioning that Rs. 2,000 crores stand for visibility, you are still looking. So just wanted to get a sense and execution cycle has come down. But how can there be a change just in a single quarter that last quarter we were still looking at an order book to be sufficient enough for us to have the Rs. 2,000 crores. Now there is a change in that. So if you can provide some clarity around that, some color as to what will be the equipment order intake for this particular year , equipment order intake and project order intake out of the Rs. 1,860 crores of order inflow and also in the last year basis….

K. Srinivasan: I think we have gone through this and I will repeat again. Our order booking for the year was 23% higher than the previous year. Our order backlog as we start the year, as we call it, the order bank for execution during the year is 12% higher than the last year. So these are the two criteria benchmarks that you have to look at. Will a 12% higher order bank allow us to deliver 20% growth in the topline is the question that is to be answered. We believe we can for 2 reasons. One is compared to the last year, this year we will have a n even higher execution of equipment compared to package s. So we expect to execute more of the orders that we booked this year quite quickly. Consequently, we still are confident that we will deliver the 20% plus growth that we are planning for the year. Now, we will have to deliver quarter-on -quarter and as we go forward, we will be able to convince everybody that this is possible. Our modeling shows that we are booking enough orders. As of now, I am busy for the first quarter. I am quite busy for the package orders for the full year. We still have to see that the order of traction is good, and we believe it is good to complete the numbers that we have put out. We will talk about it every quarter.

Manoj Bahety: Sure sir, understood. How much would be the equipment order booking for this particular financial year of this Rs. 1,860 crores?

K. Srinivasan: The equipment orders get book

ed and executed during the same year. Out of the Rs. 1,465 crores of order bank that we start with, only about Rs. 400 odd crores would be equipment. More than Rs. 1,000 crores would be the packages, about Rs. 1,000 crores. I won't say exactly. Packages and maybe the AMC were there . So we should be okay . Our estimation is that we have enough orders to do the numbers.

Manoj Bahety: And second question was just about Tezcatlipoca compressor. I mean, over here, the business has done well for us over the last 3 years . Now close to 4% to 5% of our business is coming from this particular category . Just wanted to understand, and we are also getting market share . Just wanted to understand the dif ferentiation here and what is the product differentiation from a competition perspective or from an operating perspective. If you could throw some color over that, that would be really helpful. And how should one see this particular number building in over the last 3 years?

K. Srinivasan: Centrifugal compressor business in India is roughly about Rs. 300 crores . We expect it to be about Rs. 500 crores in the next 2 to 3 years. Current customer manufacturers will deliver these compressors are almost all imported. Some of them would be 100% imported. Some of them would have the airends and significant parts imported and just put together in India. In any case, they are significantly import dependent. They are expensive. And they are all based on supply chains with anywhere b etween 7000 kilometers and above, parts would come from China , parts would come from Europe , parts would come from the US. The compressor that we make is designed by us, manufactured entirely in a supply chain within 200 kilometers. I have 3 factories within which we do this. And whatever we have delivered has been delivering the lowest cost of utilization, the lowest lifetime cost of usage as we believe. Initially it is just a

demonstration. As customers buy an d use it, the repeat orders demonstrate that they find that it is far superior to anything that they've experienced so far. It's economical, it's efficient.

Manoj Bahety: Sure, that is it from my side.

Moderator: Thank you. We have our next question from t he line of Ashish Kumar from Ampersand Capital. Please go ahead.

Ashish Kumar: Thanks for the opportunity. So my first question is, you have already given guidance of Rs. 2,000 crores for next year. My question is more of a medium term, like beyond FY '26, do we see this 20% kind of revenue growth sustaining? And my second question is this change in this order book mix. Do you think it is structural and what does it mean for our margins from a medium term perspective? Thank you.

K. Srinivasan: Now coming to the medium term perspective, we have been saying that we are in an industry where delivering a 20% sustained growth over a longish period of time is possible. We are at a very early stage of this growth curve. We can deliver it. So what are the enablers that will give us the confidence that we can do it? One is our current market share . If you look at air compressors, we are now somewhere between 5% to 7%. If you look at our market share as a country in the refrigeration business, what compressors are made in India and the product addressed through the Indian manufacturer is very, very small. India is still the largest importer of compressors. If you look at the gas business, we are probably the only one who does most of the packaging and the work within India. And also we have the distribution compressors that we build ourselves 100%. So there are a lot of things going in our favor. Modeling is done in such a way that we increasingly do more and more manufacture within the country, which allows us two things . One is it allows us the speed of execution. Second is it allows us customization to meet specific require

ments of customers. Third is it allows us to be cost -
competitive. With all this, we have a huge opportunity out there. We are a small, small player in a huge developing market, predominantly served with imported inputs. The market itself is India, and I see this 20% growth for a significant period of time is a definite possibility. Now, what are the things we are doing to give us the right to play there? One, our R&D investment of trying to put in enough number of IPs is one big investment to build the capability. Two, we are setting up manufacturing, and these are not traditional old manufacturing. And we do have a casting plant that has been running for 60 years. But the new casting plant that we set up would be a lost foa m casting, which is probably there may be 2 or 3 plant s in India of such type. And even that, what we do is even more special. It's hydrocarbon free. It's got so many other features t hat make it even more competitive and even more environmentally friendly. So all we are trying to do is build capabilities that will allow us to deliver this 20% growth in an opportunity that is already there. We are not creating that opportunity. That is why we are not so worried about markets slowing down, going up etc. because our share of the total market even today is so small that even if the market does not grow and stays where it is for 1 year or 2 years, I still can continue to grow.

Ashish Kumar: Okay, understood. Comment on the margins ?

K. Srinivasan: Yes, so margins we keep saying and Ramesh explained it best. Capability to deliver superior margins exists, but depending on market conditions, we are willing to trade off margins for growth. So all we keep saying is directionally, Company 's margin be about 20% EBITDA and the compression segment already 21 % plus, we will keep it around 21%, 22 %, but we will focus on getting scale in volume.

Ashish Kumar: That's all from my side. Thanks.

Moderator: Thank you. We have our next question from the line of Mohit Jain from Chris PMS, please go ahead.

Mohit Jain: Thank you. My questions have been answered. You can move on to the next.

Moderator: Thank you. We have our next question from the line of Sahil Sanghvi from Monarch Network Capital. Please go ahead .

Sahil Sanghvi: First of all, congratulations . That is extremely amazing execution from your team . So very well done . My first question is, which are these new products that we expect to roll out in the next one year or so and when we expect some good response and good order bookings ?

K. Srinivasan: Okay, so thanks for this question because it's a nice subject to me to explain. See, if you look at the capital goods product that we bring to the market, general ly is first is a product acceptance, second is product scale up. So there are two parts to it. We need to get about 10% market before it starts scaling up. Tezcatlipoca took 2 years for it to get accepted by the market and then the rapid scale up starts. A nd then you really get to a cascading effect as customers buy and experience it. We had the similar experience in Khione with the variant that we thought we can sell a bare shaft compressor and eventually we realized for 2 years the sales was just so lukewarm that we shifted to packaging it and suddenly now it is picked up very well. So I will come and tell you what are the products that will scale up. Our definition of a new product is product launched within the last 3 years. So the Tezcatlipoca will scale up remarkably. The Khione packages will scale up. And here we have an outlet further added to our chain by having systems and components as one more potential customer internally. Then we have the products like the Jaril o which is announced. So that is a nother thing. The new product that we are hitting the market with this year is Tyche . Now Tyche is a sem

i -hermetic
compressor, probably the only semi -hermetic compressor made in India. Today, over a 1000 semi -hermetic compressors are being imported, primarily from Germany, Italy, and a little bit from China as well. These are technically a superior product. The Tyche would be comparable or better than what they get from imports, and obviously significantly better priced than the imported German or the Italian machines. Over a 1000 compressors come into this country. Now depends on how we position. Do we want to sell them as bare compressors or do we want to package them and offer it as a customer solution? This is something that we will learn as we

go forward. Initially , our interest would be to just sell the compressor, then it is a need to product against an import, but if you package it in offer then you end up partly competing with your own OEs. So there will be a mix. Our learning from the Khione has been that you have to go through this in a mixed way. We will do that. There are several other products, but a couple of them are not even announced. So I would wait till they are launched before I make the announcement. Like I said, 41 IPs both granted and filed is an indication that there is a lot many good things in the pipeline coming out .

Sahil Sanghvi: Right, sir. Tyche just a follow up question. Will go into which end user industries? Is it refrigerati on? Just understand ...

K. Srinivasan: Yes, it is refrigeration. So all commercial refrigeration starting from cold chains, the cold boxes, cold rooms in restaurants and other storage areas . It could be very, very small ones as well. So quite a few small things. This cannot go or this we are not made the smaller ones yet, which can go into re efer containers, milk delivery vans etc. But they are all in the pipeline. There are quite a few things. Happy things will come.

Sahil Sanghvi: Right, And secondly, si r, you said the refrigeration side of the business is very largely dominated by imports. So can you give a number to it as in how much percent of this market i s currently catered by imports?

K. Srinivasan: So almost all, 100% all the compressors were imported . So that's the first thing. Now what is the market? Is it only the compressor or the compression system? Because there is a condenser, there's a fan, there's the whole packaging that has to be done before it becomes a working tool. Now eventually that part of the work is partly being done in India with imported parts. At which part would we play is the question. So we generally tend to give packages, which is not just the bare compressor, but the condenser, the air handling system, the cooler , the whole thing. So if you cut it at different places , the market could be anywhere between Rs. 3,000 crores plus.

Sahil Sanghvi: Got it, sir. Got it, got it. And lastly, is it fair to assume that the equipment versus package ratio in our order book will be now something like 60- 40, which was vice versa before?

K. Srinivasan: Yes, that's the way we are. Some months plus minus, but directionally, we are 60-40 equipment -favor .

Sahil Sanghvi: And equipment is a 5-month processing sort of time?

K. Srinivasan: Equipment i s about 16 weeks on an average.

Sahil Sanghvi: Okay, thank you, thank you so much and all the best.

Moderator: Thank you. We have our next question from the line of Bharat Shah from ASK Invest ment Managers. Please go ahead.

Bharat Shah: Hi, Srin ivasan.

K. Srinivasan: Good evening.

Bharat Shah: Good evening to you. Just one question. We have a 65 -year-old Company now, almost. And if you look at it, say, even 5 years back, we were just about half the turnover that we have just achieved in the year gone by. Therefore, for a longish period of time, we have kind of lived modestly. But clearly, the last 5 years, things seem to have improved and accelerated even if it is on a very low base . But things have definitely improved and more data, faster clip . And there is a greater ambition to grow. There is a greater desire to engage with the outside world and achieve exports and explore more areas where we can find our feet and clearly our profitability also has improved. So what I wanted to understand is how much of these improvement both in the topline growth, margin improvement, the overall character of the business in terms of capital efficiency . How much of this improvement in last 5 years is because of internal resolve and energizing and engagement and how much it is improved due to the external opportunity becoming more favorable ?

K. Srinivasan: Thank you for a very good analysis and I must explain this in 2 parts. First part is the environment in which we are currently operating is hugely supporting growth compared to what we were earlier. I think that is the first thing. So credit should go to the external environment and opportunities that is now available for the Company to grow, which is significantly more, significantly bigger than what it was earli er. That's the first thing. The second half of the growth is the ability of the team to address those opportunities and accept those new challenges that have come up. There it has been a question of building capabilities, be it in the design, engineering, R&D sector , be it in a conscious decision to be, let's say, not in line with the traditional process of saying that everything should be outsourced, we do only minimum in -house etc. We are going exactly the opposite of what most common manufacturing companies have done. We have in -housed a lot of things. We have consciously decided to go more deeper into manufacturing which means we have looked back and said, which are those things that we and many companies did do in- house but gave away over a period of ti me, get back to very basic things like forging, fabrication, casting, and say, with the science, with the technology that is currently available, is this still the right solution to get it done by small scalers who are outside there doing it with very old techniques and methods etc.? So here is something I would say learning from the Chinese model, scale, competence, building the new signs around old processes and seeing how we can build products more efficiently. So that is a capability building exercise. The strategic call that all of us collectively take and do is to ensure that the business modeling is done with 3 tires of aspiration. One is growth is paramount. We need to grow because the market is there, opportunity is t here. Second is it has to be profitable growth. The third one is it should be cash accretive. We should generate enough free cash and that should fund all our aspirations. So everything has been

structured in a way, choice of markets, choice of mix between opportunities to take, call to say whether we should get into exports early enough or choose the markets we export. So all that has come out of a business modeling exercise that we have done to say that we are relatively agnostic to market variance. That is what I have been explaining. Look, you are not too worried when there is a big tariff war out there. You are not too worried when there is a bit of a slowdown out there because in most cases we have chosen segments and markets in a way that there is enough headroom for us to meet our current growth aspirations for quite some time. So that is the way we have modeled it. And we are quite confident that we will be able to live up to the expectations of investors and not disappoint them for quite some period of time.

Bharat Shah: I know that Srinivasan that you are the humble man and y ou do not want to draw

light to yourself , but how much, really speaking, the noticeable improvement in the last few years? Would you attribute to the energy within? And how much to the opportunity outside? I mean, is it 50 -50, 70-30, 80-20 to internal and external, what would be your... I know it's a bit of a random question, but I will be very keen to understand your mind because your internal energy of organization is something which is more durable. External opportunity, of course, has to be there in order to gain an upper hand, but it is still so small in terms of the size of the business that clearly that opportunity I think existed earlier as well.

K. Srinivasan: So Bharat Bhai let me answer like this. I think quite a few investors visited our plant sometime in March. I do not know how many yet been there. What I would say is it is a little bit of a judgmental question for me to answer. I think there is the energy in houses is measured by, let's say, the IP creations, measured by the employee engagement scores, which is an industry standard today, measured by my attrition rate being single digit among the lowest industries of this type. So the engagement and the cap abilities building that has happened is huge . So I would really leave it for time and judgment to see how we are able to deliver on a sustained basis because that's a very subjective question and difficult to answer. All I would say is there is opportunity out there, there is capability in how, and I think both of them work beautifully together.

Ramesh Birajdar : Bharat Bhai, I will add one more sentence because he's sitting in front of me and I am also here part of this growth story of the Company . One lead ership factor is also driving the Company from Rs. 800 crores to Rs. 1,600 crores because bringing the new product , bringing the manufacturing capability, driving for the new growth opportunities, sustaining all these things is, of course, it is a direction of intelligence. And direction of intelligence is coming from the leadership, both at MD level and both at the Chairman level.

Bharat Shah: As I said, I know Srinivasan is a humble man. So he will not like to attribute much light to himself, but you have answered. Thank you . One last thing, Srinivasan. From Rs. 1600 odd crores that we are today and given the large size of opportunity and our desire to seize that opportunity and give a good account of ourselves. In 5 years ' time, will we be Rs. 4,000 crore , Rs. 4,500 crore or Rs. 5,000 crore kind of a business? If we grow it 20%, we will be Rs. 4,000

crore. If we grow it 23% odd, we will be Rs. 5,000 crore. So where do you think we are likely to be?

K. Srinivasan: Let me answer this question in 2 parts. I t hink this 20% year-on -year is directionally doable with the capability in the market opportunity. Obviously, we do not factor in inorganics too much because it happens as it happens and we are a value buyer . So I think while growth is an aspiration that we continuously work on as one of our prime objective, we will not buy growth. So that is one important thing that we are all inculcating in ourselves saying that we would not buy growth because there is a lot of opportunities which are tempting but it is not the price or it does not bring the capability that the Company is looking for. So let us take it modest Rs. 4,000 crore is a good number to look at. We can go much bigger if the inorganic opportunities fructify . We do not talk about it, but we keep looking, which is appropriate for us.

Bharat Shah: Fantast ic. All the very best, anyways.

Moderator: Thank you. We have our next question from line of Vedant Sarda from Nirmal Bang Equities.

Please go ahead.
Vedant Sarda: Can you please just give me the components of other expenses which is at Rs. 244 crore s for FY'24 and Rs. 301 crores at FY'25?
K. Srinivasan: Y

es, please. Just give a minute. We will give you number. Because the other ones are also semi -variable. It varies with t he volume of our business. Ramesh will give you the exact items that go into it. You can take it as almost semi -variable because there is a lot of things that are related to the volume of business. Let's say outsourcing, our labor for all our O&M maintenan ce outside, all that comes under this. But we will give you the exact.
Ramesh Birajdar: But largely it is I P updation plus the maintenance cost, plus addition of the Nashik , power and fuel. And outsourcing is another part where it is mainly the contract costing . And of course, it is the maintenance of the O&M business through the contractors. It is all inclusive of this.
Vedant Sarda: Okay, so it could be driving according to the volumes.
K. Srinivasan: It is semi -variable. As the number of stations go up, you will see this going up.
Ramesh Birajdar: When our business is growing and at the same time, our cost is also growing because it is completely outsourcing.
Moderator: Thank you. We have our next question from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.
Dhavan Shah: Yes, thanks for the opportunity, sir. So my question is on the order inflow. I think in the last concall, you mentioned that there is some green shoots only from the refrigeration side while

the air and gas business are witnessing slowdown. So I think that is visible in the current quarter order inflow as well, which is around Rs. 300 odd crore and down by 25% odd on YoY basis. So I just wanted to understand what gives you the confidence that for FY '26 we can grow in terms of the order inflow by 20% odd?
K. Srinivasan: I think we answered this, but I will repeat again. So the order inflow, we should look at it not just only on the quarter, because one project order booking in a quarter would change the number, absolute number. But the composition of the order inflow gives us the confidence of what out of it. Almost 300, if you look at the total order book during the year of Rs. 1,860 crore , significant part actually got executed, which is unusual, which got executed also during the year , the equipment order etc. So what we do expect going forward is there will be booking and execution during the same year, which has been much less during the previous year. So that is one first thing. We do have as an overall order for the year, 23% higher booking compared to the previous year. There is a change in the mix between equipment and packages. That is a second step. Third is even as we speak, the start of the year, we are starting with a 12% higher order bank compared to the previ ous year. So I think to get to about 20%, I would take it as let's say 12 plus 50 so 18% is a given. You are not expecting anything big when we say we will do at least 20% growth.
Dhavan Shah: Understood, sir. That is all from my side. Thank you.
Moderator : Thank you. We have our next question from line of Kunal Sheth from B& K Securities. Please go ahead.
Kunal Sheth: Thank you for the opportunity sir. I am sorry for this question has already been answered. Just wanted to check sir, we have seen meaningful improvement in margin over the last few years. Would it be possible to list out key reasons that has been driving this margin and what part of these reasons are sustainable?
K. Srinivasan: So the margin growth had multiple steps. The Company 's margin growth, we kept saying from day one that we take out decretive activities. We had transmission as some of the reason. We had the Road Railer business as one of the reason. These are all being taken out. So on the Company side, the margin moving is driven largely by taking out the decretive activities. That has happened. On the positive side, we have a better product mix. We have a

cost control
coming out of in-house manufacturing, better design, better engineering etc. all that combined this help us . Is the market giving us better margin on the same product ? No, it is a competitive market. But what is also happening is our ability to come up with the newer products which are less material intensive more , engineering intens ive allows us to improve . Ramesh explained that our material cost for sales is down this year by about 1.1% , 1.2%. That is an indication of a better product mix that allows us to make better margin. So all this combined thing adds up to take our margins up towards. That is why I said in the beginning, we will take it directionally there, but we are not in a way saying that we will work only on margin and not to look at taking those L1 orders , we still need to take to keep the growth going.

Kunal Sheth: That was very useful. Thank you so much.
Moderator: Thank you. We have our next question from the line of Rohan V ora from Envision Capital. Please go ahead.
Rohan Vora: Hello, so thank you for the opportunity and congratulations on the number. So you already gave out the reason, I just missed that point. So you said that the CBG as a whole is getting implemented at a slower pace . So I just wanted to understand the reason for that and also wanted to understand the kind of competition that is there in that segment . And what is the per CBG plant, what is the amount of our supply that can be there at the potential level ? Thank you.
K. Srinivasan: It is a good question. We have dealt with it in an earlier call, but I will deal with it once again as a subject. Compressed biogas, India's stated objective is to have this generated and one consumed locally where it is filled into cascades. The second one is to mix it along with natural gas and consume it in the regular way, along with vehicle usage and other things , or city gas and they want to say that the compressed biogas would be mixed with natural gas to the extent of about 6% going up to 15% max. So that is a stated objective. We are less than 2% or 1% at the moment. So there is a big plan out there for compre ssed biogas. And it sort of substitutes a significant amount of gas that is currently being imported. So there are multiple reasons to support this. The challenges today remain that as you set up these biogas plants, generation of biogas is still a challenge because the bio-source is still not a very stable source except the red mark which is from the sugar mills, all other bio-source , urban waste, spent wash etc. are all sporadic, agri -waste, whole kinds of things are being tried and used. The generation of biogas in any many of these projects have been significantly below their expected plan. Consequently, the challenge is now on the gas generation. Once gas is generated, we can help with compressors for cleaning it either through wet scrubbing with membra ne, whatever it is, low pressure compressors, high pressure compressors. Compressor technology is available proven and available with us. It is also there with a few other imported compressor suppliers. But that is not the challenge today. The big challenge is the generation of stable, significant biogas. So that is why this is not scaling up. If you ask me, will it scale up very quickly? It will go through again the initial 10% story. If they crack the technology of getting stable biogas, compressing and distribution consumption is all proven processes. Are we positive about it? We are hugely positive. We have all the range of products for it. We are happily working w ith all the big companies which are working on this. And we are only hoping and praying that as they scale up, we will grow along with them. That is a short story.
Rohan Vora: And sir, just the ticket size for plant ballpark number if possible ?
K. Srinivas an: Sorr

y. So the plant size, depending on the kind of cleaning and capacity, whether it is a 5 TPR, 10 TPR, 25 TPR, whatever they have, the packages could vary somewhere between Rs. 13 lakhs to Rs. 2.5 crores.

Rohan Vora: Sure, sir. This is v ery helpful. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I would now like to hand the conference over to the management for closing comments. Over to you, sir.
K. Srinivasan: Okay, so thank you all very much for accepting to be in this call. I think on an overall basis my understanding is there is a bit of apprehension on the order intake. Let me assure you that is not the worry for us at the moment. We are quite well placed to deliver what we have promis ed. What we look ahead is to see that our execution cycles get even better with all the in-house manufacturing, new products hitting the market. We look forward to talking to all of you with a continuing good performance going forward. Thank you all very m uch.
Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

Kirloskar Pneumatic Company Limited
A Kirloskar Group Company
Regd. Office: Plot No. 1, Hadapsar Industrial Estate, Hadapsar,
Pune, Maharashtra 411013
Tel: +91 (20) 26727000
Fax: +91 (20) 26870297 Email: sec@kirloskar.com | Website: www.kirloskarpneumatic.com
CIN: L29120PN1974PLC110307
Ref.: SEC&LEG/208
July 30, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001
Scrip Code – 505283 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra-Kurla Complex, Bandra (E), Mumbai 400 051.
NSE Symbol: KIRLPNU
Dear Sir / Madam,
Sub.: Transcript of the Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obli gations and Disclosure Requirements) Regulations, 2015 and in continuation of earlier communication vide letter SEC&LEG/181 dated July 19, 2025 ; we inform that the Conference Call for Investors and Analysts was held on Wednesday, July 23, 2025 at 4:00 p.m. (IST) to discuss on the Unaudited Financial Results of the Company for the quarter ended June 30, 2025.

The Transcript of the Conference Call is enclosed and is available on the website of the Company viz. www.kirloskarpneumatic.com

You are requested to take the same on record.

Thanking you,
Yours faithfully, For Kirloskar Pneumatic Company Limited

Jitendra R. Shah
Company Secretary
Membership No. 17243

"Kirloskar Pneumatic Co mpany Limited Q1 FY '26
Earnings Conference Call"

July 23, 2025

MANAGEMENT : M R. K. SRINIVASAN - MANAGING DIRECTOR ,
KIRLOSKAR PNEUMATIC COMPANY LIMITED
MR. RAMESH BIRAJDAR – CHIEF FINANCIAL OFFICER ,
KIRLOSKAR PNEUAMTIC COMPANY LIMITED
MR. JITENDRA SHAH – COMPANY SECRETARY ,
KIRLOSKAR PNEUAMTIC COMPANY LIMITED
MODERATORS : M R. AMIT SHAH – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day and welcome to the Kirloskar Pneumatic Company Limited Q1 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.
Amit Shah: Thank you, Nidhi. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to 1Q FY '26 Post Earnings Call of Kirloskar Pneumatic Company Limited.
To discuss the Results, we have the Senior Management Team of the Company represented by Mr. K. Srinivasan – Managing Director of the Company, and Mr. Ramesh Birajdar – Chief Financial Officer of the Company.
I would request Mr. Srinivasan to give us the opening remarks, post which we can open the floor for Q&A. Over to you, sir.
K. Srinivasan: Thank you for joining the call today. I know many of you are disappointed with the results. And I owe it to all of you to explain the results a nd to assure you that things are not as bad as it looks.
On this call, I have with me Mr. Ramesh Birajdar – Chief Financial Officer, and Mr. Jitendra Shah – the Company Secretary.
Before we proceed with the business update, let me ask Mr. Jitendra Shah to read out the disclaimer statement. Jitendra?
Jitendra Shah: Thank you, sir.
The Presentation uploaded on the website of the Company and discussion on the financial results during the earnings call may contain statements relating to future business development and economic performance that could constitute forward-looking statements. While these forward-looking statements represent the Company's judgment and future expectations, a number of factors could cause actual developments and results to differ materially from expectations. The Company undertakes no obligation to publicly revise any forward-looking statements to reflect future events or circumstances.

Further, investors are requested to exercise their own judgment in assessing various risks associated with the Company and also the effectiveness of the measures which taken by the Company in tackling them as indicated during the discussion. Thank you.
K. Srinivasan: Thank you, Jitendra. Now let me proceed with the business updates.
Financial Year F '26 started on a sedate note with distractions on the various fronts. We had global challenges with tariffs, with wars, strike s, and changing political and trade policies. The whole landscape was confusing.
In all this rapidly transforming situation, we remain focused on executing the orders on hand, picking orders selectively that would allow us a definite execution cycle and working on the various projects to in-house manufacture as well as to bring new products to the market. And I will share some of this during this talk.
It was a period to demonstrate the steely resolve to build a robust business model that can handle the BANI world, Brittle, Anxious, Non-li near and Incomprehensib le. Historically, the financial year always starts slowly. And this year was even slower. Order finalization, inspection and clearances to dispatch were all impact ed due to site availability as well as other distractions.
However, this has still started to pick up. As we speak, we are seeing a larger number of dispatches leavin g our factories. We are confident that we will catch up on the planned numbers gradually, improving in Q2 and definitely coming to plan by Q3.
We have won several orders for Tezcatlipo

ca, and we expect this to be the first Rs. 100 crore order booking of a new product during this year. This is some kind of a record, and this gives us confidence that our new product s cale-up will all happen as planned.
Tezcatlipoca packages are started seeing strong traction, not only in the traditional areas of cold chains and ice plant, but also in industrial refrigeration packages. We will do at least several large packages of this even during this year.
We continue to work on in-house manufacture as well as in filing IPs for design and for new products, and this process continues right through.
CAPEX execution is continuing as planned with capability buildi ng as the key thrust. We will

complete the planned CAPEX of about Rs. 100 crores during this year. The lost foam casting plant at Nashik is under trial production, and th is will meet the intricate casting needs of the Tyche semi-hermetic compre ssor that we launched this quarte r. This is being built at Saswad. That is our plant near Pune.

We also commissioned the Janus range of specialty motors, and this will be built in the Saswad plant for use on the Tyche compressors and other specialty applications. The Company focused in these testing times to ensure that the capital is used efficiently.

The net working capital of the Company was below 12% of sales for the first time. The cash flow that we released during the 1st Quarter was over Rs. 100 crores. This clearly brings out that there was no push sales by us, and it was business as usual.

Now let us discuss the business by product line:

The clear star of the 1st Quarter was the Tezcatlipoca centrifugal compressors. We started winning not only big orders but repeat orders as well. We expect to hit the Rs. 100 crore mark during this year. Orders for the CO_2 compressors as well as orders from cement plants have kept the reciprocating compressor business running smoothly.

The sale of standard screw compressors were, however, muted in a wa y, reflecting the lower offtake to general engineering applications.

Refrigeration compressors and systems

While the interest in Kh ione screw compressors for dairy, chemical plants picked up, they also started now offering these larger packages for the petroleum and oil and gas space.

This is a major step forward, and we would see packages getting completed during this year.

Order finalization, package inspection and clearance for the large refrigeration packages as well as for deliveries of a few critical inputs from overseas suppliers were affected. We see this easing over the next two quarters.

The ammonia reciprocating compressor for the cold chains and ice plants were chugging along as usual with no big swin gs one way or the other. However, we expect that this will improve dramatically with the increased sale of Tyche compressors during the next quarters as the consumption market in the commercial refrigeration space continues to look good and will pick up even further going forward.

Process gas compression systems:

This segment is seeing a global churn of a very significant proportion, and we expect to benefit from this going forward. However, Q1 was perhaps the bottom of the curve in terms of sales and order booking. A couple of major orders continue to allude to us on account of this uncertainty. During the course of last quarter, we were on the verge of picking up some very large orders in this space, but they all held up on account of uncertainty in this political situation.

However, we see a huge demand for CNG packages from several geographies as the energy basket shifts to natural gas across the globe to meet growing energy needs quickly. There is an ongoing finalization of packages for biogas and hydrogen. We have picked up several orders in this space. We, however, see a low pace of exe

cution in this going forward as well.

Outlook for Q2 F '26

The uncertainty in the global economic landscape is expected to continue at least for the next quarter. This would mean slower finalization an d execution of orders. However, the structural changes that are underw ay are all positive to us. A signifi cant growth in natural gas usage across the globe, strong demand for refrigerati on in processing, storage and commercial space in India and the thrust in local manufacturing in key sectors all bode well for meeting our year's target as well as continuing on our aspirational journey of growth and margins.

While we did have a poor start in Q1 and several of you have informed us about your disappointment, let's assure you, structurally, nothing has got worse. Things are on a slow track for the 1st Quarter, may pick up in second gradually, and we should be back to our planned numbers definitely by Q3. The changes that have happened would only impact us positively as we go forward.

Now I am going to request Ramesh to take you through with the numbers. Ramesh?

Ramesh Birajdar: Good evening, everyone. The results of Q1 FY '26 have been posted on BSE and NSE website for your view. The presentation and detailed income statement showing these results have been also uploaded on our Company's website.

Let me now summarize the Q1 performance of FY '26:

The Q1 sales held at Rs. 272 crores, almost matching last year's level and setting the stage to accelerate the growth in the coming quarters.
Other income for Q1 FY '26 rose to Rs. 8.2 crores, up from Rs. 4.44 crores in Q1 FY '25, contributing to total income of Rs. 282.2 crores this quarter against Rs. 279.7 crores in Q1 FY '25. The increase in other incomes was driven by higher earnings on investment, dividend and other miscellaneous recoveries.
Material cost to sales in the current period stands at 47.2%, reflecting 1.7% improvement from Q1 of previous year was at 48.9%. This enhancement is attributed to more favorable product mix and in-house manufacturing of select components.
Employee-related expenses stood at Rs. 49 crores in the current quarter, up from Rs. 43.1 crore in Q1 of previous year. This increase reflects a modest salary revision implemented at the start of the year and addition of new manpower in Q1.

Financial charges are paid to banks for services not related to any borrowing. The Company has no loans, neither term loans, nor working capital loans, and it is a debt-free Company.
Depreciation for the current quarter stood at Rs. 7.2 crore, down from Rs. 7.8 crore in Q1 of previous year, reflecting a depreciation trend a ligned with the pattern of asset additions.
Other expenses comprising both fixed and variable costs stood at 21% of the sales in Q1 of the current year versus 20.8% in Q1 of previous year. Expenditure levels remained largely stable with no significant variat ion during the quarter.
EBITDA for Q1 rose to Rs. 44.1 crores, contribu ting to 15.7% to total income, margins were at 15.6%, that is Rs. 43.7 crores in Q1 of prior year.
Profit before tax for Q1 increased to Rs. 36.8 crores with margin of 13.1%, up from 12.8%, that is Rs. 35.9 crore in the same quarter last year, supported by improved operational efficiencies and disciplined cost management.
Profit after tax grew to Rs. 28.1 crores at the rate of 10%, while it was Rs. 26.9 crores in previous year at the rate of 9.6%. Company has issued 16,100 equity shares during Q1 under employee stock option scheme. Consequently, the paid-up share capital increased to Rs. 12.98 crores from Rs. 12.96 crores at the start of the year.
Basic earnings per share improved to Rs. 4.33 per share in Q1 compared to Rs. 4.15 in Q1 of previous year.
With over 89% of revenue coming from the Compression segment, it remains the only reportable segment as of now. The Company has maintained the segment profitability

at 19.1%
in Q1 in the current year as well as in the previous year, which is directionally in the range of 18% to 20%.
Capital employed in the Compression segment decreased by Rs. 98 crores to Rs. 235.6 crores compared to Rs. 336.6 crores at the beginning of the year.
New order booking during Q1 was close to Rs. 365 crores. As a result, the Company has order book of Rs. 1,725 crores as on 1st July '25, while Rs. 1,625 crores at the beginning of the year.
We were holding RoadRailer asset at a written down value of Rs. 5.9 crores for the disposal. We have since sold part of this at Rs. 1.95 crores and there is no further write-down or loss on account of RoadRailer assets. Wherever necessary, figures from the previous year have been regrouped, readjusted to al ign the current reporting.

We also published the consolidated income statement with our newly acquired Systems and Components (India) Private Limited and comparable financial results will be available only after completion of a full year in the reporting cycle.
Now, this forum is open for discussion with our esteemed investors.
K. Srinivasan: Thanks, Ramesh.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ashish Kumar from Ampersand Capital Investment Advisors. Please go ahead.
Ashish Kumar: I have two questions. First is, are we changing our aspirational target of Rs. 2,000 crores this year with similar kind of margins as last year? And second question is last year, Q2 was a very high base. We had around (+50%) sales growth and around 22% margin. So, how do we see Q2 of this year in terms of growth Y-o-Y?
K. Srinivasan: So, coming to the final year's target, we are not changing it as of now. We still believe we should get at least 18% plus growth over last year's number. That means we should be very near 2,000. We are not calling it down at all. Hopefully, we should see a scale up from Q2 onwards.

Now, coming to Q2, we believe that we should be at least doing near about Rs. 500 crores. So, that should take us very near to a 10% growth at Q2 level compared to the last year. Margins would also be more or less same.

You would have seen in the 1st Quarter, opera ting ratios have not really changed. Our EBIT margin, our cash generation. We have not changed anything in the business model. Except that the volume of sales and order booking have declined, nothing else has actually changed. So, we will try and catch up.

Moderator : Thank you. The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: Hi, sir. This is Amit Anwani from PL Capital. Thanks for the opportunity. First question, on the, you said delay in finaliza tion as well as Q1 being soft. So, it is possible for you to elaborate, is there any component supply chain restrictions, which is leading this disruption currently? And what gives us confidence that we will be able to recover gradually and be on plan in the next 6 months?

K. Srinivasan: Now, as far as the delay in execution, it is not coming out of any component that somebody imports and that's not come. That is not true. We continue to have challenges getting the Howden compressors, and that's not only Howden for us. It is also true with a lot of others who are importing compressor parts, etc., from Europe.

This has become some kind of a structural issue. It is not a denial as much as a delay. And they are challenged all of them. Whether it is us or any of our competitors who import from Europe, all of us are challenged by the companies in Europe going through a structural challenge in terms of their own supply chain.

So, this is something that the industry is battling. It is not a denial of anything, restrictions, etc. It is just a structural delay. So, whatever we planned fo

r Q1, most of it should go out in Q2 and Q3, we should be okay by that time.

Amit Anwani: And this is pertaining to gas and refrigeration both?

K. Srinivasan: At the moment, our refrigeration compressors alone come from Howden and that's U.K., Europe. Rest of them don't come from Europe. So, we are quite okay. We make them here. And this is also an opportunity.

I did mention in my opening call, that it also gives us the opportunity now to use in some application, not in everything, the Khione compressors, which is our own patented design. And probably we will start delivering smaller, le ss competitive, less, let's say, technically challenged projects using these compressors. And that also gives us a chance to scale up our internal manufacturing. We will see that happening in Q3, Q4.

Amit Anwani: Are there any plans to, like, mitigate this risk in the future since I think last year also, this happened with respect to supplies from Howden?

K. Srinivasan: That question is what I answered by saying that Khione is going to come in at the smaller end of the packages. It w ill gradually scale up.

Amit Anwani: Second question on Tezcatlipoca, you highligh ted that we will be using this in industrial packages also. So, the Rs. 100 crore target this year is only for products or including the packages? So, more clarity on what sizes in packages you are using? And you talked about refrigeration and oil and gas both. So, some color on Tezcatlipoca usage in packages.

K. Srinivasan: That is a pretty difficult question to answer. Let me answer like this. Tezcatlipoca is a centrifugal compressor primarily used for air compression. These are standard air compressors used by the metal industry, the textile industry and several engineering industries, which needs large volume of air at moderate pressures.

Now, this is scaling up. We are executing larger numbers now and we will probably book a Rs. 100 crore order this year. We may not execute all the Rs. 100 crore but a significant part of it will also get executed during the year. So , those are the standard air compressors.

Now coming to packages, refrigeration packages largely run with Howden compressors if it is for the oil and gas sector, petroleum complexes, ammonia terminals, etc. This is where the

challenge of deliveries or delayed deliveries will play a role. But packages that are built using Khione and others, which are built by us, will happen in an accelerated manner to compensate for our challenges in having the larger Howden packages going out.

As far as the gas packages are concerned, the larger packages, finalization has been the challenge. It is not a delivery issue. Finalization is a challenge because the oil sector is the one which is seeing the largest churn across the wo rld. You hear every day about what oil can come where, where it can go, where the refining ha ppens, etc. So, there is a large, let's say, political economic challenge around the oil s ector, and that is seeing a lot of churn.

This is where some of those big orders that we are supposed to get, some in India, some from
the MENA region are all getting deferred or put on hold. It is also true for execution. This is where the big challenge is, and that is why I said this, probably the cycle is bottoming out, but
we are really at the bottom as we talk of the 1st Quarter.
Amit Anwani: Sir, you highlighted about the huge demand for CNG for several geographies outside. And last
year, we did a very good export number of Rs . 124 crores. So, are we seeing the contribution
from export going up for FY '26? And if you could elaborate more on, will it be increased
CNG-related products for us in the global markets? Any color on this?
K. Srinivasan: So, I did mention in the opening comment that the oil and gas sector is seeing a big change.
And the large part of the change is since oil has become mo

re of a difficult commodity to
move around, set up refineries, taking time, etc., more of the energy basket across the globe is getting met on an immediate basis using natural gas.
Natural gas moves across sea as LNG. Otherwise, it moves in gas pipelines, and that is where
our compressors get to be used. This is a global phenomenon. We picked up significant orders
last year for exports. As we speak, we have orders further to execute. We are picking up new areas, new geographies, which are all asking for urgent requirement of CNG compressors. We
hope to benefit from this as we go forward.
Amit Anwani: Sir, my last question on Tyche compressors. Any revenue target for this year? And which user
industries you are getting traction, particularly for this compressor?
K. Srinivasan: Tyche is a semi-hermetic compressor. It replaces what is currently imported from Europe.
Today, all the commercial refrigeration space, which is the cold rooms in a restaurant, the ice
boxes, the display panels, a whole lot of things where commercial refrigeration is required are all met by the semi-hermetic compressors imported from Europe mostly, some from Japan.
They are not 100% imported.
We have launched the Tyche compressor completely made by us. There is no imported part in
it. The casting is a lost foam casting from our own foundry in Nashik. The motor is a Janus
motor built at our own plant in Saswad. They are all integral in one piece. That is why it is

called semi-hermetic. And th is compressor has been tested and launched in an alpha. That is a
small controlled area. We will scale up in Q2 onwards.
The size of this market in India could be anywhere up to 2,000 compressors, which are being
imported. So, that is a fairly large number. Pure compressor business could be anywhere between Rs. 300 crores to Rs. 500 crores. Packag es included, this will become a much larger
market and business.
Moderator : Thank you. The next question is from the line of Priyank Chheda from Vallum Capital. Please
go ahead.
Priyank Chheda: Hi, sir. Heartening to see the way you are build ing up the organization and one of that way is
to launch new products, expand the addressable size. So, my question is, what would be the
sales contribution that you would be targeting from the products that you would have launched
in last 2, 3 years or since you have joined? How that sales has reached in terms of any size number that you would like to call out going ahead? What would be that target? And what
would be as a percentage of sales or maybe if you want to call it out as, which will be from the
new product launches?
K. Srinivasan: Thank you for your question. I will reframe this a little bit so that it is more relevant to the
business context. The packages that we build using imported compressors used to represent
almost about 50% of our business, 5 years back. Today, that has gone way below 25%. Rest of
it is built almost entirely by our own products, our compressors, our packaging, and this is
scaling up and even getting bigger and better.
So, that is the change that we wanted to see that we become less dependent on imported
compressors. And that is moving well. We ev entually should come to a stage where the
imported compressors, and it is very relevant that imported still continues because these are all API-compliant compressors where even the Chinese still import for critical areas. And there is
no global market to have another Company making it.
So, these are maybe the total world requirement would be about 500 to 700 compressors. So, it
is good that one or two companies make it and we all consume it. But our dependence on that business, we would like to see it go down to less than 20%. We have almost got it down to
about, to get it down to 25% th is year, we will take it down further over the period of time.
That is, all the rest is all being built

by us in India.
Priyank Chheda: So, would that get reflected in terms of improved gross margin and EBITDA margin
structurally? I am not asking for a year or two. Structurally, how do we see, as we get into

more in-house manufacturing of compressors and the whole of the packages, where would we settle down in terms of margins or value addition that we do?

K. Srinivasan: I think Ramesh has been explaining it well. See, in the first immediate phase of growth, our margin targets are to take it between 18% to 20% and stay around that, but to scale up in terms of volume and take market share. We don't want, see, it is a trade-off. If you do too aggressive margin targeting, then you would ensure that your scale up is slower and then you are able to indigenize much lower. So, we have to keep that in mind. So, we are targeting 20-20. Top line growth around 20% CAGR, margin EBITDA around 20%.
Priyank Chheda: And one last question on the screw compressors, wherein our market share is slightly lesser versus the available TAM. And I know that there are 3 sub-segments within that, which is oil, oil-free, portable. So, how are we positioning in each of these segments , if you can explain, wherein how do we, what are the actions that we are taking to scale up the market share within each of the segments?
K. Srinivasan: So, you are kind when you say our market share is low. We are almost insignificant. The two large players in India probably dominate this industry. We have under 5% or even less. So, we have a full range. We don't have the oil-free. We have the oil-flooded screws. We are not very big in the portables that is used in mining, water well. We are largely in the industrial area and in specialty screw compressors.
We did launch the ARiA range of the low-cost compressors. It didn't scale up as much as we expected it. We probably will relaunch it during the year with some changes in the way we have been putting it to the market. And we will try and build this business. There are quite a few other modifications and relaunches coming up in the screw space.
It is a huge opportunity. But with all the technology and investments that we have made over the last 5 years, we have not met our own internal aspirational targets in this space. We will try and do better going forward.
Priyank Chheda: Sorry, if I can squeeze in one more question. On the refrigeration segment, and I reconcile that this market size would be somewhere around near , near $1 billion, which is divided between industrial and commercial. We have Khione packages. We have launched new Tyche compressors also.
So, in terms of available product gaps or available products, are we addressing all of the market and now only execution that has to be done or there are more such new products that we need to fill in terms of addressing the market?
K. Srinivasan: The refrigeration compressor business as a whole, not just the compressor, including the packages and the whole refrigeration system per se is a much bigger market. It includes 3 buckets. It is the industrial, the commercial and the comfort.
The biggest piece, obviously, is comfort. Co mfort alone would import into India about 1.4 crore compressors every year. And that is what is all under the white line goods, the air

conditioning, the refrigerators and the whole lot of things that we do, and we are not in that space at all.
We are primarily in industrial and in gettin g into parts of the commercial refrigeration. Commercial, we just have got now launched the Khione about 2 years back. We are now getting bigger with the Tyche la unch, which is a semi-hermetic.
Again, to start with, semi-hermetic, we are launching only the recip. We have to come up with a semi-hermetic screw. We had to come up with a semi-hermetic centrifugal. So, I think we have still got a long, long way to go before we can take the market.
The only good thing about this is almost entirely everything is imported. Not one compressor in this space is made in India today. Both in dustrial, commercial and comfort, everything is imported. So, this is a virgin space for us to s cale up and grow. We are building it up slowly.
Moderator : Thank you. The next question is from the line of Mihir Manohar from Carnelian Capital. Please go ahead.
Mihir Manohar: Sir, I wanted to understand you mentioned second quarter, you expect to have Rs. 500 crores kind of revenue. So, does it mean that there is a large package which you did not, I mean, which is sitting in inventory and you expect that to get shipped or that to go out of factory in second quarter? Is there any spillover from 1Q to 2Q?
K. Srinivasan: See, it is not just one or two packages. A whole lot of things are happening. Some are moving out, some are continuing to be worked on. Some deliveries are still to be coming in. So, I think it is not just one package story. We have estimated that we should do around Rs. 500 crores in the second quarter. Order booking, we still have a lot. That is why I said, we are still keeping a bigger number for the third and

fourth quarter.
Mihir Manohar: What would be the mix of products versus projects, let's say, for order book, which is there as of now, Rs. 1,725 crores? And when I say order book one year back, roughly Rs. 1,680 crores. So, what is the product's proportion as of now ve rsus what was the, let's say, one year back?
K. Srinivasan: The product this year, we said we will go, when I say product, it includes service and spares as well. Packages, the large packages as what we call as projects, I keep it separate. We were 60-40 the other way. We hopefully should get to a 70-30 at least anywhere between 65 or 70-30 in favor of the equipment and whatever we call as the non-project orders.
Mihir Manohar: So, as of now, it is 65%. Last year, it was 60%.
K. Srinivasan: Yes, yes. We are trying to get bigger in that. Li ke I told in the beginning, we are trying to take it up to 80% over the next 1 or 2 years.

Mihir Manohar: Because last quarter, one of the arguments for the lower order book and for us despite Rs. 2,000 crores revenue was that our product's proportion was a higher number and that is where we were expecting Rs. 2,000 crores of revenue in FY '26.
K. Srinivasan: I am not sure I heard you well. Can you please repeat it?
Mihir Manohar: Yes, sure. So, I mean the argument was that our products as a proportion is going up and that is where our order book reported number, which is th ere, that is getting mo re short cy cle versus the earlier number being more of a long cycle.
K. Srinivasan: Absolutely. So, in the transition phase, you will see that our order book doesn't look as big as it used to be earlier because they are running at much shorter cycles, but this will also catch up. We will normalize it in the next 1 or 2 quarte rs because then you will still see the growth. When we started the quarter, we were sitting with an order book of Rs. 1,725 crores. At the beginning of this quarter, we started with Rs. 1,625 crores. So, that is about 6% higher than this year, we are at Rs. 1,725 crores, as on 1st of July, right. So, we really want it, but we need to get it up even higher. Then only we wi ll be able to execute bigger numbers.
Mihir Manohar: In the order book, what are the number of booster compressors and number of mother compressors?
K. Srinivasan: That is a tough question. I won't know the exact numbers. All I know is that we have both booster and mother stations. Last year, combined, we did about 200 plus. This year, we are hoping to do at least 250 plus. Let's see.
Mihir Manohar: And 80% would be booster in this?
K. Srinivasan: I wouldn't have that as a nu

m ber. How much it will be, 60% to 70% boosters, even less.
Ramesh Birajdar: Less than that.
K. Srinivasan: Less than that. So, you take it for the moment as 50-50.
Mihir Manohar: Sorry, sir.
K. Srinivasan: Take it as 50-50 for the moment. I may be wrong a little bit out of line with this. The total number is roughly about 200 is what we did. And I think we did about 50-50.
Mihir Manohar: And just last question was on the employee cost. So, when I see sequentially Q-o-Q, our employee costs have gone up from Rs. 45 crores to Rs. 49 crores. Is there any wage hike or the number of employees have gone up?

Ramesh Birajdar: Yes. This employee merit increase or the correction we did from the 1st April and additional manpower where we are targeting to achieve the sales, aspiration sales of Rs. 2,000 crores. And with that reference, we hired the additional manpower and overall the increment percentage is in the range of 10% and the rest is on account of additional manpower.
Moderator : Thank you. The next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory. Please go ahead.
CA Garvit Goyal: Sir, my first question is on Q2 itself. You mentioned Rs. 500 crore target that we are looking at in Q2. What is the number of operating profit margin you mentioned?
K. Srinivasan: I think on the margins, I think Ramesh has been saying our margin targets would remain within the range of 18% to 20%. So, let's keep it there. We will have up and down a little bit, one quarter going up to 21%, 22%, one quarter staying at 19%, but we will stay within this range for the moment.
CA Garvit Goyal: That is for full year, right?
K. Srinivasan: Yes.
CA Garvit Goyal: 18% to 20%.
K. Srinivasan: Same.
CA Garvit Goyal: And sir, in your annual report, we are ment ioning like this Rs. 2,000 crore targets as a medium-term target. So, given the challenges in Q1, do you foresee these issues continuing?

And should we expect any revisions to earlier guidance going ahead?
K. Srinivasan: See, we have talked about this in the beginning as well. This year 's target was to get to the Rs. 2,000 crore mark. We are still confident that we should get to it or as near of that as possible.
See, we said we should get even 18% gr owth, we will be very near this number.
We are targeting a CAGR growth of about 20% for a reasonably long period of time, and that is what we are working. The market gives us the kind of opportunity. So, like we keep saying 20-20, top line growth of 20% and a margin of about 20%, EBITDA margin.
CA Garvit Goyal: And in last con call, you highlighted like some sector-specific slowdown in oil and gas and biogas. So, how do you see, do you see any sign of recovery in these sectors as well?
K. Srinivasan: Oil and gas, I explained quite a bit. Oil part of it is a little uncertain due to the various changes happening across the globe. Gas part seems to be the way out for many economies to quickly get the energy needs met. So, gas is happening across the world, and we see more opportunities for us in the gas space. The whole sector, as for us, we said it has hit the real

bottom in the 1st Quarter, which should only get better from going forward. That is as far as the oil and gas sector is concerned.
The second question you asked on the biogas side. Biogas is still a lot of excitement and talk about it and projects and hundreds of quotes going out every day, every week, at least, and some finalization also happening. But actual numb er of gas projects that are getting installed and where we are putting in our compressors and commissioning th em, there is still very few.
And that is what is worrying us. It will take time.
CA Garvit Goyal: And what about the hydrogen space, sir?
K. Srinivasan: Hydrogen space is an opposite of it. In the same,

there also we have a lot of interest, projects, finalization and some commissioning has also happened. We have to deliver some more projects yet. Our compressors come from PDC of USA in this case, but packages are built here.
Here, the challenge for industry is the use case is still a little undefined. People have hydrogen available, and they don't know how to use it. There is only 2 proven process to use, hydrogen either in the diesel refining or in the hydrogenation process for vegetable oil, etc., Vanaspati and all that stuff. So, there is a use case challenge.
In the case of biogas, there is no use case challe nge. It is opposite, generation challenge. How do you generate biogas from the biowaste? So, we have two opposite challenges in both this and the sum total is, it is brin ging down the actual execution.
CA Garvit Goyal: And lastly, on the order inflow situation. So, what kind of situation are you seeing based on the current conversation with your end customers? And going by that, I am not asking for the precise number, but what is the ballpark number for closing order book do we target by the end of this year?
K. Srinivasan: This is the most difficult question to answer because, like I keep saying, the kind of quotes going out, the kind of discussion happening, this is, nothing has come down. Everybody is still talking about orders. Everybody is talking of ev en issuing letter of intent, everything. We can talk about it only when it gets into a final firm order with advance.
So, it is still somethin g which is very fluid. 1st Quarter has been not good at all. Like I said, many things which were all hanging around didn't actually get consummated into a firm order with an advance. So, consequently , we will not take it as an order. So, there are challenges that are there in this space because of all the uncertainty. Hopefully, it will clear up in the next quarter or so.
Moderator : Thank you. The next question is from the line of Rohan from Envision Capital. Please go ahead.

Rohan: So, sir, sorry, I am hopping back on the same oil-free screw compressor point again. So, just wanted to understand when we relaunch and when we try to recalibrate our strategy. So, what would be we doing differently this time to successfully penetrate this category? One.
And second, sir, how big is the addressable market that we can, in a medium term, in 3 to 5 years, we can probably get into in this segment? So, th is was the first part. And second, sir, just on the order book. So, last 2 quarters, you have seen order book slightly muted. So, just your take on that.
K. Srinivasan: So, the question you asked on oil-free screw compressor. We have not launched so far an oil-free compressor. We are working on this, but we have to look at a way to address this market with a variant which is quite different from what is available in the Indian market today.
Indian market, we have what is called today as oil-free or all with water and some of them are water jacketed. So, we will have to see what we will come up with this. We have not launched

a product for the oil-free market.
But if you talk of screw compressor as a whole, this I have explained in the beginning, we are still a very small player. We have several new moves that are coming up. We have a very good product.
I mean, you all know that when we had this big COVID crisis, we are the only Company that could deliver almost about 700 plus compressors in such a short period that we could deliver 0.5 million liters of oxygen per hour across 15 st ates in this country to keep the COVID crisis under control.
So, we have the capability. We ha ve the product. But there are challenges in the market in terms of competitiveness with the large number of players, particularly two very strong entrenched players. So, we will address this in creasingly with several st rategic m

oves. We will talk about it as we go forward.
Now as far as the order book, what you said, we have already explained that, yes, there has been a real bottom end when we talk of the last quarter when the order booking was really at the lowest point. Largely, this is coming out of the oil and gas sector. We believe it has bottomed out, and we should start seeing this going up from Q2 onwards. The proof actually is when I put out my Q2 numbers and say this is the order we have booked. So, you have to bear with us for a quarter, and then we will be able to explain it even better.
Moderator : Thank you. The next question is from the line of Rucheeta Kadge from iWealth. Please go ahead.

Rucheeta Kadge: Sir, my question is pertaining to the refrigeration segment. So, since you have spoken about the Howden compressors wherein we are facing some kind of supply chain issue, so how much percentage of our order book currently has these kind of compressors?
K. Srinivasan: I explained the total packages, which is both Howden and Ariel, which is really what comes for the gas systems combined, is roughly about 25% to 30% for the total turnover. Howden would be about half and Ariel would be about half.
Rucheeta Kadge: And by when would th is issue settle down?
K. Srinivasan: That is a real tough one because like I said, see, it is not a question of just these names that I mentioned. There are other competitors of mine who do have their parent companies in Europe, and they are getting compressors from there. And we are also helping a couple of them to package and even those compressors are not coming.
So, this supply chain issue in Europe is not spec ific to Howden. It is with everybody. And that is coming out of the way their old entire supply chain in Europe is being re-oriented, I would say, because they are struggling with their own supply chain. Quite a few of them were getting passed out of Eastern Europe, maybe from Russia and all of them are now struggling. They also have challenges with China, etc. So, there is a rebalancing or a reinvention of the supply chain in Europe, and that is hurting all of them.
Rucheeta Kadge: So, sir, if this does not de-escalate, how much do you expect like whatever targets that we have for the year, how much can that get impacted by?
K. Srinivasan: So, this is a relatively easier question. So, I will answer this better. See, what we have done in the meanwhile, like I explained, this also gives us an opportunity to try and convince some of our customers to use the Khione compressors wherever it is possible.
So, we are trying to put Khione compressors in smaller packages at least to start with. And that will take away some of the un certainty coming out of any supply chain disruption. We still target to keep to the numbers that we have set up in the beginning of the year. We don't expect to be away from those numbers very much.
Moderator : Thank you. The next question is from the line of Balasubramanian from Arihant Capital Limited. Please go ahead.
Balasubramanian: Sir, Tyche is the only semi-hermetic compressor made in India. How do we look at pricing power between us and German and Chinese imports?
K. Srinivasan: Tyche competes against European compressors because there is no Chinese imports of any significance in this space. This is largely served by compressors imported from Europe. They today currently have sales offices in India. They import them in large numbers.

You can go through the HS code s, you will know the name of these companies, and they are selling them to the assemblers or whoever it is in India. Tych e would be a package builder. Tyche would be going head on against this, and we expect to scale up very quickly.
Balasubramanian: Sir, on that refrigeration compressor side, how does the integration of

Systems & Components
(India) Private Limited, how does it enhance Kirloskar's capabilities in pharma and chemical side? And are there any synergies in margins or customer acquisition side?

K. Srinivasan: So, Systems & Components (India) Private Limited actually package smaller refrigeration packages for chemical, pharma and other industry. They use compressors other than Kirloskar compressors. They take compressors from Chinese, Japanese and others and package it. We are not stopped, but we will gradually replace those compressors with Kirloskar compressors, Khione and other things. So, that is how we see an opportunity to enter the packaging market, which is currently not serviced by us at all. So, that is what Systems and Components' role is going to be.

The 1st Quarter has been brutal. They lost money simply because they completed a hydrocarbon project for which in our system, as soon as a package is shipped and the order is invoiced, we booked the entire LD as a cost immediately, though we had a chance of recovering some of it later, and we have done the same with them as well. So, they have taken a hit in the 1st Quarter in terms of number. Hope to get better going forward.

Balasubramanian: Yes, sir. Sir, especially on fertilizer and chemi cal side, we have seen a larger demand for large reciprocating compressors. Is there any cyc lical or structural demand in this sector?

K. Srinivasan: You would have been reading there is a disruption in the fertilizer industry of significance availability, etcetera. The ammonia terminals have all come in and our compressor refrigeration packages are all more or less deliver ed. There are a few that are going out still. So, there is a certain amount of uncertainty around this industry as well in terms of execution. There is no intent, less intent in terms of packages or project s, but the execution is still a little bit out of gear. Hopefully, we should have all of them running during the year.

Moderator : Thank you. The next question is from the line of Harshil Shethia from Singularity AMC. Please go ahead.

Harshil Shethia: Sir, can you explain a bit more in detail the commercial refrigeration segment for Tyche and how many, you obviously told that it is curre ntly totally imported. What is the pricing difference between our compressor and our European compressor as of today also?

K. Srinivasan: So, the commercial refrigeration space is anything that is used in, let's say, in the restaurants, in the display cabinets, in the reefers, in ice boxe s, ice rooms, a whole lot of things are all seen

as commercial refrigeration space. They start from something like as small as a 15 kilowatt small compressor going up to about 100-kilowatt compressor. Most of them are actually in the box itself. They are a very small thing that you can connect up and the ice plant or the builders of these rooms buy these compressors and do all the other things themselves. That is why it is still largely served by imports. These compressors all are imported by the sales offices of the European companies and they distribute it to the whatever, ice room builders or safety box builders, etc., in India.

The compressor alone, about 2,000 of them are sold in a year. The packages are a much bigger. So, the compressor business could be about Rs. 500 crores. That is what I said. Ticket size could be anywhere from Rs. 3 lakhs to about Rs. 10 lakhs, Rs. 12 lakhs.

Harshil Shethia: And so how premium would be the competitor's price? Th e European guys would be?

K. Srinivasan: No, I can't really give you a business strategy in terms of how we want to price it because it is still WIP. But definitely, we will price it to start with at least much more competitively compared to imports.

Harshil Shethia: And so, is it margin accretive from day one basis?

K. Srinivasan: See, we explained that whenever we launch a new product, initially, the margins would not be where we would like it to be. But on average, as business modeling, we will get it to the range between 18% to 20%.

Moderator : Thank you. The next question is from the line of Eshwar Arumugam from ithought PMS. Please go ahead.

Eshwar Arumugam: So, most of the questions I had were answered. So, one of the questions I have is in CNG station installations, the commentary in the last few quarters from us has been that the other station installations have been not as much as daughter stations. But this quarter, since we are saying that 50-50, is there any change in how CGDs are approaching station installations? Like are they seeing lesser lifetime cost with mother station installations or something like that?

K. Srinivasan: No, I think I should explain this better now. The number of moth er stations being installed is significantly lower than the daughter stations. The boosters, as we call the daughter station, the Calana in our brand, is a very, very small part of our business. But for the general market, we don't participate in all the boos ter activities. We take a few. We don't take a lot. We only concentrate more on taking the mother stations.

So, our sale could be around 50-50, but that is not an indication of what is actually being allotted or installed by the oil and gas marketing companies. They would sell maybe 80% would be boosters and only about 20% could be the mother stations.

Eshwar Arumugam: Sir, do you see them moving more towards mother stations? Once the daughter station gets completed, will they be converted into mother stations, maybe like 3, 4 years down the line?

K. Srinivasan: I can give you the reality. I can give you my wish . So, the reality is I don' t think it is going to happen for quite some time because all of them have a geographic area coverage mandates given, and they would all find the shortcut of simply putting daughter stations to comply with the coverage.

My wish is always that since it is a really su boptimal solution, it doesn't make money for us. It doesn't make money for the oil companies. It doesn't make money for anybody. Eventually, the pipelines would come and with that, the mother stations will come. So, that is my wish and prayer, but the reality, obviously, is not there yet.

Eshwar Arumugam: And another question I had is one of our domestic competitors from Tamil Nadu, they have also launched a variant to compete against the Chinese imports like we have launched Aria. Have you evaluated that product? And how does that product compare with ours? What is our right to win in this particular segment?

K. Srinivasan: In the Chinese, if you want to go after the 30,000-odd compressors that come from China, the buyer actually is a guy who looks at the ticket size. It has to be the lowest priced, and that is what he looks at when he buys it. But having bought it, he then expect that it should be as good as any of the other good compressors that the brand builds, be it my colleagues from South or us as Kirloskar. So there, there is always this expectation differentiation that will come up.

At the time of buying, it has to be competitiv e against the Chinese. At the time of usage and service, they expect it to be another Kirloskar compressor. So, this is the challenge that we are facing. That is why I said we will have to re launch this with a bette r understanding of the expectation as well as the pricing. This is the challenge that all of us will face.

Moderator : Thank you. The next question is from the line of Devesh Kasliwal from Antique Stock Broking. Please go ahead.

Devesh Kasliwal: So, just wanted to ask on the total addressable market currently after the past 2 years and the launch of all the 3 new variants of products that came through. So, like, obviously, for the gas packages, it will b

e almost the same. But for air and refrigeration, how much of the addressable market has increased? And what is the current size for us?

K. Srinivasan: It’s a bit of a difficult question. I will have to answer it in multiple gues ses. The air compressor business in India alone is anywhere between Rs. 5, 000 crore to Rs. 7,000 crore at least. So, that is the air compressor part.

The refrigeration compressor compression systems combined, if I include only industrial and commercial, could be anywhere up to Rs. 4,000 cr ores or Rs. 4,000 crores to Rs. 5,000 crores. I have left out the comfort.

In the gas compressor compression systems, yes, there are nobody buys compressors alone. You have to buy the whole system . That is a business. It coul d be anywhere good year, bad year because it is usually driven by CAPEX, could be anywhere between Rs. 3,000 crores to Rs. 5,000 crores. This includes the AMCs. This includes the upkeep and service because in the gas stations, India has approximately about 8,000 CNG stations could be mother, daughter stations. And all of them, almost all of them run on what is called as an operating and maintenance contracts. So, that includes the sale and service.

So, we are in a fairly good industry. I mean, we are in an industry which has got a lot of headroom for Indian companies to invest and grow.

Devesh Kasliwal: And the incremental part compared to 2 years back with Khione, Aria, Tezcatlipoca as well as the new variant that you have launched right now?

K. Srinivasan: We continue to, like I keep saying as we file about 40-odd IPRs every year, part of it is process, part of it is newer products and designs. So, you will have more and more launches coming in. It is not that it is going to end with these 4 or 5. There are a lot more coming in. The addressable market is about this, and we will have to address most of it which are currently being met by imports by manufacturers in India.

Devesh Kasliwal: Sir, I will frame it in a different way. So, what is the targeted rate at which our addressable market is growing with the launch of new equipments?

K. Srinivasan: So, that is a little easy one. So, we will targ et to grow 20% CAGR for quite some time because that is the headroom that we are creating with these new launches every year.

Devesh Kasliwal: 20%, okay. Thank you so much for this clarity.

Moderator : Thank you. The next question is from the line of Manish Goyal from Thinqwise Wealth Managers LLP. Please go ahead.
Manish Goyal: Sir, I would just like to continue from the pr evious participation. So, like in refrigeration segment, you mentioned the market size is Rs. 4,000 crores to Rs. 5,000 crores. So, with

launch of Khione compressors and moving to compression package and now launching Tyche compressors and with acquisition of Systems & Components (India) Private Limited, so would it be like we will be able to address the large part of the market or still there are product gaps which we need to fill up, if you can gi ve us that perspective, number one.
And number two, now with so much of focus on refrigeration, can it become the largest revenue contributor in probably next couple of years?
K. Srinivasan: So, I will answer the last question first. We gave a split between air, refrigeration and gas for the last year-and-a-half of 20-40-40. That means we did scale up our refrigeration and scale down our gas. That is what we are saying for this year as well. But this may change again. You see, like I keep saying, I believe gas has bottomed out. So, if you start suddenly seeing more gas getting organized, then again, the ga s will go back to 45 and refrigeration would become maybe 35 at that stage. So, this would be dynamic. So, I would leave it broadly there. I wouldn't change it.
Now as far

as what part of it we will address with these compressors, this is just one small part.
There are several more compressors required. Even in the semi-hermetic, we will have to come with a lot many versions. We will ha ve to have this scroll, we will have to have this screw, we
will have to have the centrifugal. So, there is a lot more work to do on addressing multiple niches.
So of course, you have to have a compressor for the reefers or the refrigerated trucks. That is another model that we have to make. So, it is not that you have one product, and it will address everything. So, there is a continuous requirement to keep coming up with newer versions, newer products to address all the market. And that is what the Company is working on.
Manish Goyal: And sir, like can we also address opportunity for defense ships as we have seen a lot of ordering has happened in recent past and in a few years back, we have supplied some refrigeration packages?
K. Srinivasan: I will address this. We are supplying refrigeration, which we call it as HVAC in the case of defense, heating, ve ntilating and air conditioning systems. We won't get into details of what all is there in this because there is a certain level of secrecy. They are not just refrigeration systems. There are other involved in this. We are supplying for the Navy.
We also have some systems that it is not refrigeration, but it is more on the air side for the Air Force and Army. So, I will leave it at that. I don't want to get too much into detail, but the whole defense-related business is very important and small for us.
Manish Goyal: And sir, on the backward integration, like at Nashik, we have probably set up forging plant, now recently castings, and we have also been doing fabrication and now launched motors. So,

how do you see like in the next couple of years, how much can it probably meet the internal requirement and probably what kind of cost savings we can see, sir?
K. Srinivasan: So, I will explain it in 2 parts. First, a small correction. The motor plant is not in Nashik. That is at Saswad. So, now what are we doing in terms of backward integration of manufacturing? The first phase of manufacturing has been alwa ys to set up unique manufacturing capabilities.
These are not very large capacities, capabilities that will allow us to produce competitive and unique products for our requirement.
For example, in a casting, we have been making castings within KPCL as well as the group for more than 40 years. But the lost foam casting, specifically for machine tools is a unique thing that we have set up. So, it is a smaller plant to start with, prove the concept and scale up to meet our requirement and eventually also to supply our competitors and others. That is the way we go.
So, all our investments of new capability creating in terms of backward integration are to start with for our requirement to improve our cost competitiveness, offer something unique to our customers and eventually try and scale it up and make it unique for our competitors as well, offer it to everybody. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for today. I would now like to hand the conference over to the management for closing comments.
K. Srinivasan: So, let me thank all of you who participated. I know, like I said in the beginning that this is not a quarter that was in line with ou r expectation. But having said it, I must also say that in terms

of the effort and work that is going on, it still continues to give us the confidence that we will try and get to as near the number as we have started the year with. And going forward, things can only get better.

We are not seeing any structural change or anything that is happening that will impact us in any serious manner, either for the year or for the long term. So, with that reassuranc

e, I would like to say, hope to see you all again next quarter with better numbers and smiling faces. Thank you all for participating.

Ramesh Birajdar: Thank you.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Oct 2025

Kirloskar Pneumatic Company Limited
A Kirloskar Group Company
Regd. Office: Plot No. 1, Hadapsar Industrial Estate, Hadapsar,
Pune, Maharashtra 411013
Tel: +91 (20) 26727000
Fax: +91 (20) 26870297
Email: sec@kirloskar.com | Website: www.kirloskarpneumatic.com
CIN: L29120PN1974PLC110307
Ref.: SEC&LEG/297
November 3, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai 400 001
Scrip Code – 505283 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra-Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol: KIRLPNU

Dear Sir / Madam,

Sub.: Transcript of the Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of earlier communication vide letter SEC&LEG/283 dated October 18, 2025; we inform that the Conference Call for Investors and Analysts was held on Tuesday, October 28, 2025 at 4:00 p.m. (IST) to discuss on the Unaudited Financial Results of the Company for the quarter ended September 30, 2025.

The Transcript of the Conference Call is enclosed and is available on the website of the Company viz. www.kirloskarpneumatic.com

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Kirloskar Pneumatic Company Limited

Jitendra R. Shah
Company Secretary
Membership No. 17243

"Kirloskar Pneumatic Company Limited
Q2 FY '26 Post Earning Conference Call"
October 28, 2025

MANAGEMENT : MR. K. SRINIVASAN – MANAGING DIRECTOR,
-KIRLOSKAR PNEUMATIC COMPANY LIMITED
M R. RAMESH BIRAJDAR – CHIEF FINANCIAL OFFICER,
-KIRLOSKAR PNEUMATIC COMPANY LIMITED
M R. JITENDRA SHAH – COMPANY SECRETARY ,
-KIRLOSKAR PNEUMATIC COMPANY LIMITED

MODERATOR : MR. AMIT SHAH – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Pneumatic Company Limited Q2 FY'26 Post Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, Mr. Shah.

Amit Shah: Thank you Rina. Good afternoon, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to Q2 FY '26 post earnings conference call of Kirloskar Pneumatic Company Limited. To discuss the result, we have the senior management team of the company represented by Mr. K. Srinivasan, Managing Director of the company; and Mr. Ramesh Birajdar, Chief Financial Officer of the company. I would request Mr. Srinivasan to give us the opening remarks, post which we can open the floor for Q&A. Over to you, sir.

K. Srinivasan: Thank you, Amit, and good evening to all of you. Let me say greetings for the Diwali festival season. May the festival of life bring us all a brighter and clearer future. Thank you all for joining the call today. I know there has been a significant level of disappointment, and I think we have a strong reason to explain what we have done and how we are going to do better going forward.

I have with me Mr. Ramesh Birajdar, the Chief Financial Officer, who will be able to explain the numbers. And of course, I have Mr. Jitendra Shah, the Company Secretary. Before we proceed with the business updates, can I request Jitendra to read out the disclaimer statement, please.

Jitendra Shah: Thank you, sir, and good evening to all. The presentation uploaded on the website of the company and discussion on the financial results during the earnings call may contain statements relating to future business developments and economic performance that could constitute forward-looking statements.

While these forward-looking statements represent the company's judgments and future expectations, a number of factors could cause actual developments and results to differ materially from expectations. The company undertakes no obligation to publicly revise any forward-looking statements to reflect future events or circumstances.

Further, investors are requested to exercise their own judgment in assessing various risks associated with the company and also the effectiveness of the measures which taken by the company in tackling this as indicated during the discussion. Thank you.

K. Srinivasan: Thanks, Jitendra. So let me proceed with the business update. We had a quarter that was challenging on all fronts in order booking, in sales as well as in execution, making it a rather poor H1. For the first time in many years, our order booking, sales and profits were lower than the corresponding period of the previous year. Sales in H1 was at INR665 crores as against

INR706 crores of the previous year. Most of the execution challenges came from package to be shipped both in refrigeration as well as packages for the CNG stations.

Domestic market was muted with various uncertainties causing delay in project clearance and approvals. Export sales at INR31 crores was also lower than the INR43 crores of the previous year H1. Order booking was most impacted due to the underlying uncertainty and churn, particularly in the oil and gas space, and this left us with an order book of INR1,667 crores as on 1st October as compared to INR1,624 crores on 1st April '25, significantly below our plan. The mitigating factor

in all this has been the finalization of a couple of large orders, which will utilize our unique manufacturing capabilities that we had recently set up. We will book these orders in Q3. We also expect that some of the delayed decisions will now be cleared, giving us the much-needed order bank for the next year.

We gainfully utilized this period of uncertainty to commercialize many of our IPs. The Tezcatlipoca centrifugal compressor has quickly established itself as the product to be in this space, having crossed the 100 mark. We now have an order of 115 compressors this year and of which we have done about 88 of them so far. We still have 27 to go.

The Janus D range of specialty motors and our new screw compressor as well as the Tyche semi-hermetic compressors have both had successful launch. We should see them scale up in the next quarter. Our subsidiary company, Systems & Components (India) Private Limited, where we have 55.26% holding, too had a muted quarter. Sales is about INR9 crores, and they became profitable for the first time in many quarters. We expect them to grow from here with increased market presence and support from the parent.

The net working capital was at INR202 crores. This is significantly lower than the INR316 crores the same period last year. This is on the back of strong receivable management and significant advances from the customers. Capex spent was at about INR28 crores. We expect to have a total capex spend of INR90 crores during the year. Free cash generation from operations in H1 was INR143 crores.

Now let's discuss the result by product lines. The Air Compressor business had two bright spots. The Tezcatlipoca centrifugal compressors as well as the reciprocating compressors for CO2, which is co-generated in the ethanol industry. There was a general slowdown in the finalization of orders across industries, except cement and metal. With our new Janus D based screw compressors coming to the market, we expect to take market share in the next couple of quarters.

Refrigeration Compressor and Systems. The Refrigeration Compression segment was also running at two speeds. The large projects were running slow, plagued by uncertainty, while the food and consumption-driven business was booming. Here, our Khione packages were the star, winning orders across pharma, dairy, fisheries, concrete, casting, etc.

The ammonia reciprocating compressor continue to rule the cold chain and ice plant space. The Tyche semi-hermetic compressor was a new kid of the block, immediately taking market

share from imports. We expect this to scale up rapidly and take most of the 1,000-plus compressors that are currently being imported from Europe.

In a significant move, the Board cleared filing an application under the production-linked incentive scheme for entering the commercial air conditioning space with our unique Zephyros C system. The commercial air conditioning market in India is over INR5,000 crores, and we expect to address a significant share of this with our efficient and economic solution. This will be a completely indigenous product. Once approved, we will commission this project in 18 months.

Gas Compression systems. The oil and gas sector globally has been going through a period of unpredictability that has come from multiple reasons, technological changes, energy transition as well as the geopolitical uncertainty. As a company, we have learned to work with all this. We offer upstream, midstream and downstream compression packages, CNG distribution systems, biogas packages, hydrogen packages, etcetera. Yet with all this, both order intake and execution remained a challenge in H1.

We continue to get orders for packages, CNG stations and booster station, but clearly, this has been slowing down quarter-on-quarter for nearly two years now. We don't see this improving in the next qu

arters either. The only redeeming feature in this space has been the pickup of export orders for CNG packages to the MENA region.

Both biogas and hydrogen are still to scale up to any significant value. Export has never been a part of our strategy to grow in this phase of our growth. Consequently, we are not impacted by all the churn in this space. We expect to have about the same export of last year, that's about INR124 crores.

The tie-up with PDC Inc. in offering comprehensive solution for hydrogen and other difficult to handle gases has helped us to win a couple of packages. With changing priorities in the U.S., India and Asia seem to be a more attractive market for hydrogen packages, and we expect to see more activity here. The O&M service business continues to grow with the installed base growing. However, we did take a hit of INR2 crores as write-offs on account of bad debts in this quarter.

Outlook for H2 F'26. The industrial activity in India has slowed down in several sectors, and it does impact both the demand as well as sentiments. Capex spend, except in few government-led sectors is still very hesitant. Yet in all this, there are some clear areas of investment and growth, domestic consumption as well as a secular trend of localization of supply chain.

The two strategic choices that we made a couple of years back stand us in good step. One, focus on domestic market and look to export only after we pick up size and two, manufacture in-house as much as we can using technology as a differentiator. We have finalized a couple of large orders based on our manufacturing capabilities. With the new launches and this manufacturing capability led business, we expect to more than catch up in H2. We will deliver a strong double-digit growth this year, and we will do even better in F'27.

The commercialization of various IPs like the Zephyros C and entering the large commercial air conditioning market should ensure that our aspirational growth targets will be met. Now I will request Ramesh Birajdar, the CFO, to take you through the financial aspects first. Thank you. Ramesh?

Ramesh Birajdar: Thank you. Good evening, everyone. I trust you must have reviewed the Q2 and H1 FY '26 financial results, which are published promptly on the BSE and NSE website following our Board meeting. A comprehensive presentation detailing these results is also available on company's website. For your convenience, I would like to provide summary of our performance for the second quarter, as well as the first half of fiscal year '26.

Sales of Q2 FY '26 were higher, compared to Q1 sales of current year. Sales at INR378 crores, it has registered a growth of 37%, compared to Q1 sales of INR272 crores, and compared to Q2 FY '25 sales of INR431 crores. The H1 FY '26 the sales were INR650 crores, compared to INR706 crores of H1 FY '25.

Other income for Q2 FY '25 was at INR6.8 crores, which is almost alike INR6.2 crores in Q2 FY '25. While other income for H1 FY '26 at INR15 crores, which is higher than H1 of FY '25, which is INR10.6 crores.

Material cost Q2 FY '26 was at 52.1%, compared to 51% in the corresponding quarter of the previous year. For H1 FY '26 and H1 FY '25 remains the same. This is due to better product mix. Package sales of our air conditioning and refrigeration division in Q2 FY '25, the split between the packages, which is around 33% and the product of 67% orders contributed to maintain the material cost at a reasonable level and we expect material cost to remain same in the remaining period of the year.

ERE increased to the extent of increase of manpower and impact of salary revision from April '25. During the year, deserving employees were granted increments aligned with the prevailing industry trend. As a result, the H1 cost for FY '26 stands at INR97.4 crores, compared to INR87 crores in corresponding pe

riod of FY '25.

There is no interest cost relating to any borrowing either for Q2 or H1. As a result, the company is a debt free company. I would like to state that company has a net cash and cash equivalent position of INR424 crores as on 1st October '25. During H1 FY '26, the company incurred capex of approximately INR29 crores and paid a dividend of almost INR42 crores.

No big change in depreciation. It is aligned with the asset addition.

Regarding other expenses, we have observed a mix of both fixed and variable costs. There has not been any significant variation in the level of expenditure during the current quarter compared to the previous one. The strategic investment made by the company in installing solar systems at all our locations is now yielding the benefits. It is evident as the power cost have remained consistent despite increase in the activity at our Nashik location and Plant 2 in Saswad.

EBITDA at 17% in Q2, which is up from 15.7% in Q1 of FY ‘26. For H1 FY ‘26 EBITDA is INR109 crores at 16.4%, compared to 20% in H1 FY ‘25. PBT of INR57 crores at the rate of 14.8% for Q2 FY ‘26 against INR92 crores in Q2 FY ‘25 at the rate of 21%. PBT of INR94 crores for H1 while EBITDA of INR128 crores in H1 FY '25. Higher profit in H1 FY '25 was despite of some large package in Q2 FY ‘25. Consequently, PAT is showing a similar trend in Q2 and H1. PAT that is profit after tax in both Q2 and H1 with the PAT reduced from INR94 crores in H1 FY '25 to INR71 crores in H1 FY '26.

Company issued 17,700 equity shares in H1 under its employee stock option program. Previous year 68,200. Consequently, paid-up share capital increased marginally, as compared to the beginning of the year.

Basic EPS for H1 FY '26 is at INR10.98 as against INR14.50 per share in FY '25. With over 91% of revenues coming from our Compression segment, it remains the only reportable segments, and the segment profitability in Q2 is at 20.3% and in H1 at 19.5% as against 25.6% in Q2 FY '25 and 23.1% in H1 FY '25.

Company has an order board of over INR1,667 crores as against INR1,624 crores at the beginning of the year. Capital employed in the compression business reduced by INR78 crores reaching to INR258 crores at the end of H1 FY '26, compared to INR333 crores at the start of the year.

We have regrouped, rearranged the financials wherever it is necessary. We have published the consolidated income statement which now includes the newly acquired company system and component. Comparable financial details will be available only after completion of full year in the reporting cycle. Now this forum is open for discussion with our esteemed investors. Amit?

Moderator: Anyone out there? We cannot hear you. Mr. Amit Shah?

Amit Shah: Rina, we can open the floor.

Ramesh Birajdar: Open the forum for discussion, Q&A?

Moderator: Okay. The first question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda: Yes. Hi, sir. Sir, just on the business scenario versus the 23rd July, when we had a call for the

last quarter, you called out for INR500 crores of sales in Q2. In fact, if you see the business environment has improved since then. What would be the key factors that you would want to point out for the performance, which has been way below than your own internal targets?
K. Srinivasan: Yes. Thanks for this question because I think this is an important question to answer. We have three reasons why we think the business has not performed to the level it should have. One, there has been a structural change that is happening in the process gas business. Particularly in the gas distribution side, we seem to have lost market share in terms of the CNG packages and the boosters.

We seem to have not got enough clearances and we always thought that because o

f the site is
not getting ready, I think, it's more than that. And that's the reason also when I said that we did take a hit of whatever old payment that it didn't make, because I believe there is a clear down trading in this sector where they have all gone down to cheaper products and they are acceptable to them. So first is there is a sectorial change and there we have to look at how we can make ourselves more competitive. That's the first one. That is our poor call judgment of what is happening in the market.
The second one is there is definitely a hesitancy in terms of giving clearances. I gave an example of Tezcatlipoca. We had an order for 115, about 27 are still under manufacture, which means really we're not getting enough clearances or drawing approvals to even complete the packaging. 80 have been delivered and out of that, only 46 have been commissioned.
The rest of the 42 are just lying at site without even commissioning, which means -- while we say the business environment is better, not really showing up in terms of project execution. Even where you push and deliver to them, the projects are not getting started. So they're all standing at site.
So overall, there is definitely a slowdown in project execution. That's the second one. The third one is new projects are projects is where bulk of the changes or lack of clearance is happening. If you look at general engineering, consumption-driven space, where we look at, let's say, air compressors, the demand is reasonably okay.
So the general consumption-driven things, there is some activity going on, nothing big has changed. That seems to be happening. Here, our market share as it is very low 5%. And there, we seem to have getting orders. It's not that there is no orders there. So that seems to be running okay.
But a clear big difference I would say is, one, process gas system not doing as well for us, so there's a loss of market share. Two, we definitely have a slowdown particularly in project execution. That is probably hurting us more than what it would hurt others who are driven by consumption driven.
Priyank Chheda: Very clear. And for this, maybe the suggestion has been floated around is the three segments which we report, which is ref, air and gas. If you start giving out the quarterly revenues right upfront in the presentation, it would answer a lot of -- such one of the few turning points that you are trying to highlight. Thank you for that.
My second question is on the new launches, I think we have high hopes on Tezcatlipoca and Khione packages. So would you want to just highlight on in terms of how has been the sales over the last six months on these new launches and when you highlighted on the Tezcatlipoca where 42 are lying at your site, would it be fair to say that.
K. Srinivasan: Not at our site, that's the customer site.
Priyank Chheda: Okay. So but the revenue has been booked for 80, right, out of 115?

K. Srinivasan: Everything that is built and shipped out, the revenue is booked. 88 have been shipped out and that's been booked.
Priyank Chheda: Okay. Got it. So the question was on overall the new launches and their performance over the last six months?
K. Srinivasan: Yes. So like I said, the Tezcatlipoca clearly is the winner, probably the industry standard now. People have accepted it as the product to meet. So we can only see as projects happen more frequently and more projects get cleared, this will scale up. We talked of first saying that this is a market of about INR300 crores or so. I believe it can be even bigger and more and more market share will come from this product.
There is only at the moment, four grains that we make. We make 2,100, 3,500, 500 and 7,000. We don't address the full range of centrifugal. We will try and increase that during the next batch of product. So that's broadly what we do want Tezcatlip

oca. Khione has got well
established across all the industries. We talked of pharma, dairy, fishery and all these are picking up. So Khione packages also will continue to grow. We expect to do at least about 50 packages this year.

Priyank Chheda: Got it. And one last question before I come back in the queue. The order book for the last quarter, last year, September is somehow, I think, has got restated to INR1,624 crores versus last year, it was INR1,780 crores. So maybe a clarification on that. And sir, on your side, would you like to revise the guidance for FY '26 and beyond? Maybe there are interim jobs, but would you want to restate that starting FY '27 or starting next quarter, how should we think of the performance versus the original guidance that you would have been -- you are giving us?

K. Srinivasan: Yes. So as far as the guidance is concerned, as far as this year is concerned, we will get to very near a 15% plus growth for the full year. You will see in between Q3, maybe the growth is even higher because we had last year a poor Q3. But then for the full year, we have taken definitely above 15% growth on top line and correspondingly because the business ratios have not changed. So the profits will also grow by and large about 25%, 30% based on what we will do the same.

Priyank Chheda: And on the order book, which is got reinstated in the balance sheet?

K. Srinivasan: Order book has not got reinstated.

Ramesh Birajdar Order book INR1,624 crores is the correct, which is at the beginning of the year. So INR1,624 crores to INR1,667 crores, this is the 6 months of the period what I given to you in the presentation. So INR1,624 is correct, which is starting, that is the opening order book as on 1st April 2025.

K. Srinivasan: But your concern on order booking overall still remains. See, I must clarify that while we are giving you the total orders on hand compared to last year. We expected to book significantly larger number of orders in Q2 compared to what we actually did. We are not happy with our current position and we expect some larger orders to be finalized in Q3. As I speak, I know

that there are some big orders that we have finalized, but it's not in my hand. So I will still not talk about it till it’s done.

Priyank Chheda: Thank you.

Moderator: Thank you. The next question is from the line of Rishabh Shah from BugleRock PMS. Please go ahead.

Rishabh Shah: Hi, thank you for the opportunity. Sir, my question is in the previous years, we have guided that our exports will be in the range of 15% to 20%, but we haven't crossed a bit 10% for many years. So just wanted to know what gaps were left from our side that we couldn't achieve our targets and any process in place to fill those gaps so that we can reach our target?

K. Srinivasan: Mr. Shah, I think in the last at least four, five years of all our calls, you will see we have been saying export is not our focus area. We will try and be even a global company operating primarily out of India and Indian market in this phase of our growth and we will talk of export being important once we come to a significant size and scale.

We always said that export will never go beyond double-digit. It's just single digit, it will be around 7%, 8%, and that's where we are. So I think there could be some mistakes in understanding. So I'll repeat again, export is not a strategy for us at the moment. There are only a few markets that we export to and that is largely the MENA region and Southeast Asia. The best export we did was INR177 crores. Last year, it was INR124 crores. We have always been saying that we'll do about the same this year as well.

Rishabh Shah: Okay. All right. Next question is what percentage of revenues come from the aftermarket sales since it is a very high-margin business? So are we taking any steps to further increase aftermarket as a perc

entage of sales?

K. Srinivasan: Sorry. But here again, I'll clarify. We've been saying in several calls, aftermarket margins and original product margin for us is almost about the same. We don't do any very special pricing on spares, etcetera, compared to other competitors who predominantly sell import-dependent capital goods. Consequently, they have to make their margin only on spares and service. Our margins are about the same on both. The second thing is we said sales and service combined is about 15% of our total turnover, and that broadly remains the same. That has not changed either.

Rishabh Shah: Okay. And next question is on we have said that the refrigeration side of business is 100% all imports and it is a INR3,000 crores market. So any steps on that side to gain maximum market share because INR3,000 crores only for refrigeration is a huge market for Kirloskar Pneumatic?

K. Srinivasan: So let me again clarify the refrigeration and air conditioning as a segment what we report is today predominantly refrigeration. We do very little or almost no air conditioning at all.

Almost all of it is refrigeration business. The segment that we say where the refrigeration and air conditioning business consists of broadly industrial refrigeration, commercial refrigeration and comfort refrigeration or air condition.

Now we have not been in the last one, which is the comfort space, which is where air conditioning predominantly falls. The Indian market for air conditioning is roughly INR25,000 crores. It has got three parts. It's got the domestic air conditioning. It has got the commercial air conditioning, which is open circuit. And then there is a commercial air conditioning, which is run by what is called as variable refrigerant flow systems, which is what we see as the split air conditioners, etcetera.

Today, we are, for the first time, proposing to enter the air conditioning market, which we have never entered before. And we are offering the Zephyros C system for this space. And we are doing it by a unique process. So, we have still not announced it, so I would like to stay with that. The patent has been filed, but let the PLI get approved.

A unique process by which our Zephyros C would offer zero global warming potential and zero ozone depleting potential. This will be one of the most efficient systems. We have several patents around it and this will address roughly about INR5,000 crores of the INR25,000 crores market.

Rishabh Shah: Okay. So just last question in terms of cost structure. How different would be our cost structure as compared to our competitor, let's say, Atlas Copco?

K. Srinivasan: That's a very difficult question to answer because we compete with the company you mentioned in many sectors. In the air compressor business, our actual cost structure-wise, we should be much cheaper than them because they still import at least the key parts of the air compressors from abroad. If you look at the centri we make 100% here and they would import a significant part again. So, I would say that if you look at purely on cost structure, we should be significantly cheap.

Rishabh Shah: Okay. Fine sir. Thank you. I will get back in the queue.

Moderator: Thank you very much. The next question is from the line of Abhijeet Singh from Systematix. Please go ahead.

Abhijeet Singh: Sir, first question is on the centrifugal compressors. So, sir, if I didn't hear it wrongly, the market right now in India is about INR300 crores. And I would like to understand, first of all, why do I use the centrifugal compressor versus the old traditional technologies of reciprocating and screw and which particular sector this market consists of majorly? And let's say, in the next five years, do we see this market expanding substantially? That's my first question?

K. Srinivasan: Okay. So just as a quick clarification. Centrifuga

l compressor is used in all applications where you need large volume of air which is free from oil. So, this is a dry clean air where it is used in large volume. Industries that use it, pharma, metal production then you look at the tyre industry, carbon black. So quite a few of them, textile spinning industry, a whole lot of them use large volumes of clean air without oil.

So, this is a very, very popular machine. It is used extensively where you need very large volume of air. In many cases, like as you start becoming bigger and bigger, companies will go more towards centrifugal than the other ones because the lifetime cost of running this is

significantly cheaper than either the screw or the reciprocating compressor. So, this is the way you will go if you can afford it. So that's the kind of a requirement that we are talking of.

Now the Indian market, I believe, is now more like INR500 crore, it's not INR300 crores, it should be more going up. We are a late entrant. There have been several other suppliers who have been importing and selling this in India. They have a local presence, but most of the compressors come from abroad. Ours is a completely indigenously designed patented built product in India.

It probably has the lowest cost of ownership among all the products available in India. Like any other new capital goods, it takes time for people to be convinced. They don't just get convinced by looking at it or seeing it or even trying it out. They will buy it, use it for some time, see its reliability, see its maintenance cost and see how well it runs. We have crossed that 10% threshold. Now there is a faster conversion. We win more orders now than we did 1 year back. We expect to become something like a dominant player in this in the next year or so.

Abhijeet Singh: Right, sir. And sir this INR500 crores that you're talking about is the overall demand in India, including the imported and the produced within the country?

K. Srinivasan: Yes. Almost everything is imported, except what we make.

Abhijeet Singh: Okay. So, we are the only player manufacturing this in India?
K. Srinivasan: Complete manufacture only us, rest of them import either most of it or a significant part of it.
Abhijeet Singh: Right. So, my question was to understand that the related penetration, let's say, in India, the market is INR500 crores, that would be less than 10% of the overall market or less than 5%, including all air, gas, refrigeration. So, if you compare the penetration of this product centrifugal technology in India versus some of the advanced manufacturing countries like China, Germany, etcetera. So, is there a significant scope to increase this penetration just in the next five years?
K. Srinivasan: Hard question to answer. General question is, if you ask me over a period of time, this will go towards at least 20% to 25% of the market. There are still smaller areas where other compressors will be used. There will be specific areas where you need higher pressures, where you still be reciprocating compressors. So, there are some application-specific needs where the other ones will get used. This at best can go to about 20%, 25% of the market.
Abhijeet Singh: Understood. Sir, second thing is on the air conditioning segment that we've entered into. Could you please talk about the product like INR5,000 crores market TAM out of the INR25,000 crores overall air conditioner market. So, what is the specific focus area here? And how do we see this market to grow going forward?
K. Srinivasan: See, the air conditioning market in India is growing. I gave you the current market, as you see from the reports. We are entering only a niche in this. We are entering the commercial air conditioning space, which is cooled from packages, larger packages and where you have cooled water piped and then air handling systems within the premise

s.

So, this is a range of product. It is not the full air conditioning where you would have a variable refrigerant flow system, you could have so many other ways of doing it. We are only addressing a segment of the INR25,000 crores market, where we believe we have a unique offering, which probably would be the lowest cost of ownership, lowest cost of operation and 100% indigenous India made.
Abhijeet Singh: And this is like a new segment for us completely. We haven't had this in the revenue coming from in the previous year?
K. Srinivasan: That's right.
Abhijeet Singh: All right. Sir thanks a lot for all the answers. I will come back into the queue.
Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.
Amit Anwani: Hi, thanks for taking my question. First question on the commercial AC where we are venturing into. More clarity, if you could provide on the INR5,000 crores market? What is the competition? Any -- is this established market and how we want to venture into that and second thing is it domestic import, how we would like to penetrate? Is it distribution-led, tender based?
And third part would be what are the user use cases, user industries? Whether this will be for the commercial buildings or industrial? Some more color, if you would that would help. And finally, on the 18 months project timeline, would you require more capex, more investment on the products? So some more fine print on this would help?
K. Srinivasan: Okay. So, the first thing is Zephyros C is a KPCL, several patents around this offering that we have. We are careful about the actual design until it is fully launched. It's not commercially launched. We have still a couple of more patents to file. We have filed the PLI application for setting up a large-scale plant.
In the meanwhile, with our existing plant, we have made a couple of Zephyros, which have been put to use in our own, let's say -- within our control areas, within our control to test out its efficacy, test out its various parameters, etcetera. And so, we are quite hopeful and eager that we will be able to place it in the market in two speeds.
First is with or without PLI, our own manufacturing can take it up to a particular level, at least on a stage of doing a few hundred packages and that's the first one we will do. Parallelly filing a PLI is to take it to a much larger scale where we can go for a few thousands at a time. So it's a much bigger project when we do that. So both will happen simultaneously and that's also the way we are planning it.
As far as the market itself is concerned if you go to any report or record on air conditioning, the Indian market for air conditioning if you go by segment, it's split between domestic and commercial and then industrial. So air conditioning alone. And if you look at it about 55% is domestic, we are not addressing it. Then there is about a 35% is commercial which is what we

are planning to address and then there is remaining industrial part, which we are not again addressing.
Now in the commercial space there are three products which are currently available, two or three products. One is what is called as the split air conditioner and then we have the variable refrigerant flow type and then there is cool air circulating system, etcetera. Our product is positioned to be among the most efficient in this space for medium-sized operation. If you're running a small mall, you're running a large wedding hall, or a restaurant, or smaller spaces, this will probably be the most efficient, most economic refrigeration air conditioning system. Now this is an entry-level decision. Now, as we enter, as we perfect it, as we develop more variants, we will look at what other adjacencies that we can address, bu

t that's too early for us
to talk. Our estimate initially is we are focusing on about a INR5,000 crores opportunity and we're trying to place a product which will be technically superior, offering a lower cost of ownership, both in terms of capex, as well as opex.
Amit Anwani: Sure. So by any chance, we'll be working this offering this product in data centers also?
K. Srinivasan: At the moment in the first phase, no. Data center, I would put it in terms of more critical application-specific. Maybe in the second phase, we may try, but at the moment, no.
Amit Anwani: Understood.
K. Srinivasan: If you ask me, an extreme case where this can work beautifully would be if you're looking at eventually India moves into district cooling kind of air conditioning requirement, a version of it updated would probably be the best one to run for district cooling.
Amit Anwani: Right. Second question, sir, for the gas process and systems, where you highlighted that we lost market share also on the CNG side. Would you comfortable to share the volumes number? I think in the peak, we did about INR220 crores, INR240 crores revenue from CNG side.
K. Srinivasan: We have come down by 50%.
Amit Anwani: Sorry.
K. Srinivasan: We have come down by 50%.
Amit Anwani: Okay. By revenue, and by volumes also?
K. Srinivasan: Yes.
Amit Anwani: And when you say that we are losing, is it losing the market share? Is it because of the pricing? What -- obviously, the volumes are coming down since market is coming down. But what is the reason for losing the market share?
K. Srinivasan: So initially, our explanation was that people are not placing orders, they're not lifting extra. We thought it's largely because the sites are not ready and they're not getting clearance, etcetera. We realized that it was not in the orders. Clearly, we are not competitive enough in the current

scenario, which means the newer entrants are offering much, much lower overall price, which includes the equipment price and the five-year operation and maintenance contract combined, because there were -- these tenders are given out based on the initial quote, as well as the five-year O&M, operating and maintenance.
Where they seem to be doing things that we would hesitate is that they offer an operating and maintenance price, which is quite unviable. It doesn't work. And how they manage within that is an -- it's an Indian ingenuity at best I can talk of. And clearly, that's not what we will do. So, what we have to find a way to handle this, is we come with a superior technical solution, which will allow us to still be competitive. There is some more work to be done around this product and the way it is positioned. So structurally, we are not competitive in this space at this moment.
Amit Anwani: Right. And sir, finally, on the guidance. So now the ask rate would be more than INR1,200 crores revenue for the H2 and versus more than INR900 crores last year. So almost 30%, 33% plus, which we want to achieve in H2. And the kind of commentary which I understood there has been challenges in 2Q and we are expecting challenges in some areas to continue. So what gives us confidence? And in which areas we are confident that the revenue will come back very strongly so that we are able to do more than INR1,200 crores revenue in H2?
K. Srinivasan: Okay. So, more than INR1,200 crores, let me take it quarter-by-quarter. We have a clear target for Q3, which should be half of what you mentioned. And at the moment, I have packages and large orders under execution, which should get me that number. So by January, I think, we will see that the rest of the balance number will be not so big.
Amit Anwani: Right. And sir, on margins -- operating margins was -- will be able to maintain 17.8% operating margin we did in FY '25 and we were guiding there would be some improvement. Now seeing H1,

are we expecting full-year margins to be similar to last year or lesser than that
or better than that?
Ramesh Birajdar: No. In the last year, FY '25, Q2 was abnormal operating profit or operating margin because of the dispatch of the large packages. And in the Q2 FY '25 in the earnings call, we said this is the abnormal profit we got it because of the dispatch of large packages. But directionally, what we indicated to our investors that between 18% to 20% margin from our core business will be maintained. And we are still confident that we'll maintain the operating margin for our core business between 18% to 20%. That is sure.
Amit Anwani: Sure, sir. Lastly, if I can squeeze, if you can provide the breakup of revenue between air, gas and refrigeration for H1 and what was the growth -- Y-o-Y growth in each of the segment?
K. Srinivasan: Yes. We used to say that gas is roughly used to 45% came down to 40%. It's probably now down to about 30%, 35%. The refrigeration is about 35% plus and the rest is about 20%, at least air compressors and others. So what really...
Amit Anwani: In the H1.

K. Srinivasan: Yes. That's what has happened. So the gas has come down and that has been taken up by refrigeration and a little bit with the others. Now our bigger challenge is going to be after we finish the year, we will have to see the others, which is about 9%, can go higher than 10%, which means that's what we said we're going to utilize a little bit of our manufacturing capability to execute projects. We have orders in that space and that should give us some extra revenue. We're picking up some big orders in that space as well.
So we will see a shift reduction in gas space, more or less same or improving in the air conditioning space and improving further next year with the Zephyros C project as it comes in step-by-step. Air would remain at about 20% and there will be others which would probably go beyond 10%, which will include a lot of the manufacture that we are doing now. That's the way it's going to be.
Margins overall guidance remains. We will be at about what we said, around 18% to 20%, going towards 20%. That will not change. If you see actually the numbers in the first quarter, we did take an LD booking of about -- almost about INR14 crores in the first six months, which is unusually high because all the projects that we completed, we completed the last shipment in the first quarter or second quarter, we booked the entire LD.
Now this money doesn't go away completely. They all keep coming back after a lot of discussion and negotiation over the next couple of years. It goes on to a big battle and then you get back half of it or so. So this half year, now margins don't look at it. You will see overall margins will balance out by end of the year.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital.
Sahil Sanghvi: Yes. So I just want to clarify the split that you have given in gas, you said 30%, refrigeration 35% and air would be 25%. Is that correct? It doesn't add up to...
K. Srinivasan: No. About 20%. And like I said, the others is now scaling up.
Sahil Sanghvi: Okay. So others is what exactly, sorry?
K. Srinivasan: Okay. Others historically had a little bit of the gears and transmission that we used to make.
Sahil Sanghvi: Okay.
K. Srinivasan: Because this predominantly repurposed to meet our internal requirements of centrifugal, but still we make some transmission gears, etcetera, loose gears, that's growing. Plus we are putting our manufacturing facilities that we have set up for doing work for others.
Sahil Sanghvi: Got it.
K. Srinivasan: And that seems to be -- that's why when I say we're picking up some big orders, most of them seem to be coming on this, which is short cycle. I'm executing not a project, but I'm doing some manufacturing for others, and that

seems to be picking up much faster than anybody
expected. With all this I did put it out in my first opening comment; the two things that we said

do more internal manufacturing and look for exports on a significant way after some time. So the second one is doing very well, more manufacturing.
Sahil Sanghvi: Got it. Got it. My second question is more of to understand the challenges in the refrigeration side, because in the starting comment of yours, you said that, we have challenges in both refrigeration and gas packages. So if you can elaborate a little bit more on what are the challenges on the refrigeration side and how do we aim to manage those? I mean last quarter, we -- you did comment on some of the Khione packages also not picking up or the issues with the Howden compressors. So if you can just highlight on the challenges over there and what we'll do to resolve them?

K. Srinivasan: As far as refrigeration packages are concerned, large packages which use Howden compressors, Howden compressors are available. That's not an issue now. But these packages, most of them get commissioned very near the shores, around the sea coast, both east and west coast. Most of my large customers have been hugely delaying hesitance in taking these large packages and they are running at least between three months to six months behind. As these packages go out, the bidding will happen. So there's no manufacturing issue. Their site work is still going on and I expect that the site work will get completed and our packages will go.
Sahil Sanghvi: Got it.
K. Srinivasan: Khione packages are selling well. I don't know whether I shared in one of my presentations. We have now proven solid examples and establishments with dairies, with fisheries. Fisheries in spite of whatever is happening on export front, we're still picking up this. Dairies are picking up, food processing industries, people who make potato -- French fries and all this, a lot of them are picking up. So Khione is selling well.
Sahil Sanghvi: Right. And last question would be, just to understand the kind of pickup that we have done on Tezcatlipoca, can you give us the number of the units sold in, say, last year and the previous year, I mean, just to give some relative understanding.
K. Srinivasan: So the first year, there was hardly anything, 10 or 12 or 15. I don't even have the exact number. So we never crossed triple digits till this year. So this is really the biggest number that we hit.
Sahil Sanghvi: Got it. And last year would be what, 40-50 or more than that?
K. Srinivasan: Even less, 35-40.
Sahil Sanghvi: Okay. Got it. Thank you so much for the opportunity and all the best.
Moderator: The next question is from the line of Kunal Sheth from B&K 361. Please go ahead.
Kunal Sheth: My question -- first question is relating to the gas compressors. We mentioned that we have lost some market share there. So what is the kind of price gap that we currently have with the newer players who are currently eating into the market share?
K. Srinivasan: Kunal, I have a question. What is this 361?

Kunal Sheth: Sir, this is we've been taken over by 360 Wealth Management. So we are now a 361 company.
K. Srinivasan: Okay. Now I'll answer your question. So thank you for answering my question. So Kunal, it's like this. And why we sort of missed this also comes from the same reason. When you look at the package price to package price, let's say, a CNG gas station with a motor or an engine that we deliver to the online stations where there is gas pipeline. The package price is not too much of a difference that we see, particularly in the boosters and others.
The big difference come when tenders are being commissioned or given out, they include along with it a five year O&M contract. Now peo

ple are putting out prices for this five year
O&M contract, but it's completely unmanageable. You can't run a O&M at that price. So obviously, you have to be very clever in a very negative way to manage in that kind of pricing. So we are not sure how they do it. We have some anecdotal references how they're doing it, etcetera. And clearly, that's not what we would do.
So we have to find a way to deal in this business in a better way. Now that's the reason why we are neither getting clearance for commissioning nor are we getting new orders. Now while this is happening, we also wanted to revalidate our product efficacy. Is our product good or we have to do something deeper in the product itself?
We had in the first 6 months, significant shipment. I mean, whatever INR33 crores, INR35 crores we ship, a large part of it all went as CNG packages to the MENA region. And they have -- some of them have been commissioned and they're working well. So it's not that we have a bad product. We have a business case that needs to be reworked and better, let's say, understanding has to come, and we'll see how to handle this.
Kunal Sheth: Got it, sir. But sir, would you believe that with -- so current guidance that we have given for the next two quarters or the current year is assuming the current market share, right, in the gas packages?
K. Srinivasan: Yes, yes. So I have fully digested now. There's no more holding back on the gas. Gas is more than compensated by what you will see coming up on both refrigeration and other manufacturing. We have fully digested the gas market share, and we are not taking anything outstanding out of it. January, we will see that the numbers are there.
Kunal Sheth: Sure. And sir, my second question is relating to the new segment that we are getting into refrigeration. So… why… yes, air conditioning. So early days, but any sense on what can be the size of this business, say, three years down the line, if everything goes as per plan?
K. Srinivasan: So I'll go back to the same thing we said when Tezcatlipoca we did. It's a new engineered patented design. We are doing things which others have not done. Even today, India imports almost all its compressors. It doesn't matter who, foreign companies, Indian companies, all the air conditioning and home refrigeration compressors are still imported. There are some people

who are trying to build it, but almost even today, almost all of them are imported.
We are going to put an Indian made compressor with an Indian refrigerator into a complete green package, which will be the lowest cost to own and operate. Now we are opening new

spaces. Now our view is that we should first get this in, sell for the first six months. The market size is at least INR5,000 crores. If we crack it and get a 10% market share, then this is another Tezcatlipoca. You can't stop it. Everybody will jump into this, and then it's a whole new game altogether.
So I would talk more about it after we crack this market. But I believe we have an absolute winner with us. And when we see our own product working and wherever we are testing, we just evolves me.
Kunal Sheth: Sure, sir. Thank you so much and best of luck.
Moderator: Thank you. The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: Thank you for the opportunity. A couple of questions. So first, the new segment that we are entering, could you elaborate more on the competitive landscape in terms of who are the existing players who are supplying these products? And what would be our moat in order to displace them and win the new orders?
And then secondly, I think in the presentation, we have mentioned that we have won an order for the first time in the hydrogen segment. So if you could elaborate more in terms of the opportunity and when do we expect this segment to scale up i

n terms of revenues?
K. Srinivasan: Okay. I'll take the second one first. We have put out quotations of almost more than INR1,000 crore for various hydrogen packages. The two orders that we've won gives us a lot of positive energy simply because for the first time, we are going to have an end-to-end. That means they will just take water and electricity, produce hydrogen, bottle it and put it into the vehicle, which will have -- most of these vehicles will all be with the fuel cell. They will convert this hydrogen back to electricity and run the mobility.
Now this is a joint project with the oil companies. They're going to own it and run it. The fact that they start this and they work with us allows us to be a critical part in this value chain. As this value chain grows, it may not become the biggest mode of transportation, but this will be a mode of transportation at least for the heavy vehicles, buses, trains, etcetera. We would get embedded into this value chain. So we are very happy with this, and we are happy to work and set these two stations up.
So let's see hydrogen is even today largely a subsidy-driven business. So we'll have to wait and watch in terms of priority, how much people would drive this with the current scheme of things. But we are in this value chain. So that's the first as far as hydrogen is concerned.
Now the second question you asked is on the air conditioning. See, air conditioning, you know all the big names. I mean there are foreign companies. There are two large Indian companies. Most of them have a play in the commercial air conditioning space. All of them are extremely well entrenched. But all of them have a few common things. Almost all of them import their compressor, number one.

Number two, all of them use refrigerant, which has a very large number of either ozone depleting number or a global warming number. So I'm putting out a refrigerant, which is 0 in both. So it is the greenest of refrigerants possible.
So we have several advantages. We are, at the moment, still not clear or made up our mind on the path that we will take. We may decide initially to do the product, do the installation, do everything. But later, we may still partner with somebody. We may only do the product and allow others to do the installation and the site work, maintenance, etcetera, or do a mix of both.
So let this evolve. We will do it in two steps. First step, get the product as acceptable and established in the market, then we will scale up on the marketing side. Does it answer your question, please?
Khush Nahar: Yes, sir. Thank you.
Moderator: Thank you. The next question is from the line of Eshwar from ithought PMS. Please go ahead.
Eshwar: Thank you for taking my question. The question was, what are our capex plan for the coming three years? What is the current utilization levels in our various verticals and the peak level we can achieve with the current capacity?
K. Srinivasan: Okay. This is a question that we have tried to answer several times. I'll try again. See, we spend on an average about between INR70 crores to INR100 crores on capex. This includes

capacity increase and largely capability building. For the last 2, 3 years, most of our capex has gone into creating in-house manufacturing capability that are unique, which allows us to have a cost position which is competitive as well as to bring in the entire value chain within the company to the largest extent possible.
We will continue to travel on this. As far as the PLI scheme is concerned, we have filed for an application to put up a fairly large capacity to make Zephyros C. That is a PLI program. We don't know after we negotiate and agree, then we will decide. That will involve a significantly larger capex than our usual capex.
As far as capacity utilization is concerned, we say that we are about running at about 70%. We

definitely have capacity to get the next year's growth always. That's how we plan. The capacity utilization should be at about 70%. So there is headroom for the next year's growth.
Eshwar: Understood, sir. Understood. Got it. And next question I had was last quarter we had some supply chain issues because of our partner in the EU, so which impacted our order intake and finalization. So, we also said that we would slowly be mitigating this through, you know, introducing our Khione compressors, in the smaller packages and subsequently scale them up to larger ones. Like, how has that turned out, sir? Have we even won any orders in the Khione series so far?
K. Srinivasan: So, like I mentioned, the Khione is taken off. We are building packages now at the lower end and customers are extremely happy with its performance as well as its reliability. Now,

Howden has itself come back in a better shape than what they were after the transaction that happened at their end.
They have been delivering products, but they're still again in the midst of another transaction because their parent is being again bought by another company, etcetera. So, the longer-term stability would mean a certain level of development by us, which we will continue to look at and work on.
Eshwar: Understood. Understood, sir. And my final question, sir, the compressor which you mentioned, the refrigeration compressor for which we have applied the PLI scheme for.
Moderator: Sorry to interrupt, Mr. Eshwar.
Eshwar: Yes.
Moderator: We have to proceed ahead.
Eshwar: Just let me just squeeze this last question. So, I just wanted to understand what stage?
Moderator: The next question is from the line of Abhilasha Sathana from Quantum. Please go ahead.
Abhilasha Sathana: Yes. Thank you for taking my question. Most of the questions are answered. Just on the order inflow. You said that there have been a few orders which have got, you know, delayed and you expect them to get through in Q3. So what is the visibility on that? So what are you estimating when you feel that the orders will come through because we are also seeing some structural challenges in terms of the some of the industries as you are highlighting.
This is my first question. And going forward, when you are guiding for FY '27, in that guidance are you also taking this commercial refrigeration product which you are awaiting the clearance and the commercialization?
K. Srinivasan: Okay. So with your permission, Abhilasha, I will quickly answer Eshwar's last one because I don't want them to feel disappointed.
Abhilasha Sathana: Yes, sure.
K. Srinivasan: So what he asked for the air conditioning business, the Zephyros C as a product is an established product for another area. We are repurposing it for air conditioning purpose. We have patents around it. And we have now done the full configuration of the package and we are now running test within our premises. So, this is an established thing. It's not in the air. So that's as far as Eshwar is concerned. Abhilasha, to your question. First question, you mentioned is on…
Ramesh Birajdar: Order booking.
K. Srinivasan: Order booking, we have some big orders that are coming in. We have finalized all the negotiation and they have cleared it and they have to just sign and give it. They are saying we will do it after Diwali. I don't physically have the order in my hand, but I believe it's been

done. So once that comes, we will have enough orders to feel reasonably confident about the next year's number. We are looking at next year.
Whatever orders we need for this year, we are almost there. We know what we're doing for the rest of the two quarters and we by and large have the orders with us. The routine orders what

we call test and service is an ongoing thing. So, we

are clearly having an order visibility for the
year-end number. We are looking at how it is going to pan out for the next year, and we have
orders.
Moderator: Sorry to interrupt, your voice is getting bit crack.
K. Srinivasan: Is it? Okay. Can you hear me now?
Moderator: Yes, sir. We can.
K. Srinivasan: Okay.
Moderator: Just distant yourself from the mic a little bit.
K. Srinivasan: Okay. Okay. So, the question is answered. Abhilasha, can you hear me?
Abhilasha Sathana: Yes, yes.
Moderator: Yes, sir. We can hear you now.
Abhilasha Sathana: Okay, go ahead.
Abhilasha Sathana: Okay, sir. So, that was my question. Yes. Thanks.
Moderator: Mr. Abhilasha?
Abhilasha Sathana: So, I am done with my question. Yes.
Moderator: Okay. Thank you. The next question is from the line of Balasubramanian from Arihant Capital.
Please go ahead.
Balasubramanian: Good evening, sir. Thank you so much for the opportunity. Sir, my first question, I think we
are launching A-800 compressor frame like very soon. I just want to understand, what are the
specific market and customer segment for this frame compressor? And how does it
complement the existing A-2100 - A-7000 - 2100 to 7000 range compressors.
And, sir, my second question is what are the structural delays from European suppliers which
is impacting the refrigeration package finalization? And is there any active program to dual
source or indigenise these critical imported components to derisk project timeline?
K. Srinivasan: Okay. On the first question, the A-800 is almost done. We're still now running trials inside the
factory and we will probably start selling the first product. Wherever dry screws are now used,
be it in pharmaceutical industries, food processing industries, some amount in the power

stations, etcetera, wherever dry screws are used, they can be much more comfortably replaced
with the A-800. It's a small centrifugal compressor, 800 denotes CFM, cubic feet per meter of
air. So this is a small machine, very efficient, dry air by definition and it's ideal for in the place
of a dry screw.
Cost will be pretty much comparable, but the operating cost will be significantly lower. It is a
range that doesn't exist in India so far. And so we are trying to replace an imported product,
which is a dry screw. Once we launch the product and scale up, then we'll talk about what all
market it can take. We believe it should be about at least 100 -- 100 numbers in a year. So
that's as far as A-800. Now the second question that you asked is on -- sorry, what was your
question, Bala, the second one?
Balasubramanian: The difference between the A-800.
K. Srinivasan: Okay. Sorry?
Ramesh Birajdar: Difference between A-800, 3500, 7000?
K. Srinivasan: Yes. So that's only the CFM. So, A-800 is only 800 CFM. The other ones are much larger.
Balasubramanian: What are the structural delays from European suppliers?
K. Srinivasan: Okay. So the European suppliers, sorry, I wrote it down. Okay. Howden supply, we explained
already that is now behind. They are now better off. They are supplying reasonably on time. So
we seem to be okay. At the lower end, we have already placed the Khione packages that are
running well, and so that will continue to scale up and grow. So we are addressing it quietly.
See, partnerships are to take us through both good and bad times. We cannot respond or react
by quarter. So we will do things in a nice way.
Balasubramanian: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Dhavan Shah from AlfAccurate Advisors.
Please go ahead.
Dhavan Shah: Yes. Thanks for the opportunity. Sir, so my question -- I have just one question, and that is on
the order inflow side. You mentioned that there are some large orders which are going to come
in the third quarter. Can you share the size of those orders? I mean it could be in the project
si

de of the business. But what could be the potential size of one order? And how many orders
are you expecting incrementally in Q3, because we are running at roughly INR300 crores kind
of the order inflow run rate since last three quarters.
K. Srinivasan: Yes. So, we have been running very much behind our plan for order booking, particularly
considering what are the targets that we have for sales for next year. So we are deeply worried.

What we expect in Q3 is we should book orders significantly above INR500 crores, INR600
crores. So that's our target.

There are a couple of big orders, which is about half the size of the total years, so the INR600 crores that we talk of, that we have seem to have finalized. We have not got the orders on hand. Let's have it on hand. We'll talk about it. So, the visibility for us this quarter is important that we get at least about INR600 crores plus of orders, and we expect we'll do that.

Dhavan Shah: Understood, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to management for closing comments.

K. Srinivasan: Yes. So, to all of you for patiently hearing us out, I know it's a complex business, and we probably disappointed all of you in this quarter. We hope that we will have strong numbers when we come the new year, January.

Most of all the uncertainty that comes out of both geopolitical changes and structural changes in our business has been digested. We have several new happening that's good and happening as far as we are concerned. And hopefully, we will have a strong H2 to complete the year in a positive note. Thank you very much.

Management: Thank you.

Moderator: On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

Kirloskar Pneumatic Company Limited
A Kirloskar Group Company
Regd. Office: Plot No. 1, Hadapsar Industrial Estate, Hadapsar,
Pune, Maharashtra 411013
Tel: +91 (20) 26727000
Fax: +91 (20) 26870297 Email: sec@kirloskar.com | Website: www.kirloskarpneumatic.com
CIN: L29120PN1974PLC110307
Ref.: SEC&LEG/375
January 29, 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001
Scrip Code – 505283 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra-Kurla Complex, Bandra (E), Mumbai 400 051.
NSE Symbol: KIRLPNU
Dear Sir / Madam,
Sub.: Transcript of the Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obli gations and Disclosure Requirements) Regulations, 2015 and in continuation of earlier communication vide letter SEC&LEG/354 dated January 19, 2026 ; we inform that the Conference Call for Investors and Analysts was held on Friday, January 23, 2026 at 4:00 p.m. (IST) to discuss on the Unaudited Financial Results of the Company for the quarter ended December 31, 2025.

The Transcript of the Conference Call is enclosed and is available on the website of the Company viz. www.kirloskarpneumatic.com

You are requested to take the same on record.

Thanking you,
Yours faithfully, For Kirloskar Pneumatic Company Limited

Jitendra R. Shah
Company Secretary
Membership No. 17243

"Kirloskar Pneumatic Company Limited
Q3 FY '26 Earning Conference Call"
January 23, 2026

MANAGEMENT : MR. K. SRINIVASAN – MANAGING DIRECTOR – KIRLOSKAR PNEUMATIC COMPANY LIMITED
M R. RAMESH BIRAJDAR – CHIEF FINANCIAL OFFICER – KIRLOSKAR PNEUMATIC COMPANY LIMITED
M R. JITENDRA SHAH – COMPANY SECRETARY – KIRLOSKAR PNEUMATIC COMPANY LIMITED

MODERATOR : MR. AMIT SHAH – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kirloskar Pneumatic Company Limited Q3 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded.

I now hand over the conference to Mr. Amit Shah from Antique Stock Broking Limited. Thank you, and over to you, sir.

Amit Shah: Thank you, Pari. Good evening, everyone. On behalf of Antique Stock Broking Limited, I welcome you all to Q3 FY '26 post earnings call of Kirloskar Pneumatic Company Limited. To discuss the results, we have the senior management team of the company, represented by Mr. K. Srinivasan, Managing Director of the company and Mr. Ramesh Birajdar, CFO of the Company.

I would hand over the call to Mr. K. Srinivasan for his opening remarks, post which we can open the floor for Q&A. Over to you, sir.

K. Srinivasan: Thank you, Amit. Good evening to you all. Let me start by wishing you all a very Happy New Year. May the New Year bring peace, prosperity and a lot of happiness all around. Thank you for joining this call today. I have with me Mr. Ramesh Birajdar, the Chief Financial Officer; and Mr. Jitendra Shah, the Company Secretary. Before proceeding with the business update, I would request Jitendra our Company Secretary to read out the disclaimer statement please. Jitendra?

Jitendra Shah: Yes. Thank you, sir. Good evening to all and wish you Happy New Year. The presentation uploaded on the website of the company and discussion on the financial results during the earnings call may contain statements relating to future business developments and economic performance that could constitute forward-looking statements.

While these forward-looking statements represent the company's judgment and future expectations, a number of factors could cause actual developments and results to differ materially from expectations. The company undertakes no obligation to publicly revise any forward-looking statements to reflect future events or circumstances.

Further, investors are requested to exercise their own judgment in assessing various risks associated with the company and also the effectiveness of the measures, which taken by the company in tackling them as indicated during the discussions. Thank you.

K. Srinivasan: Thank you, Jitendra. Let me now proceed with the business updates. Q3, as always, is a short quarter. We had a solid order bank for execution and the plants were running flat to catch up on our sales target. While we internally met most of our manufacturing targets, we could not get this to translate into sales as some of the larger packages were not cleared for dispatch.

This meant a lower sale and a higher inventory. The customers have promised to look these packages in Q4, and we are in active discussion with them as we speak. And hopefully, they should all go by February.

Order booking picked up. As on 1st January '26, we have an orders on hand of INR1,939 crores, which is about INR60 crores higher than the same period last year. But there is one big difference. Last year, we had nearly INR600 crores of large package orders in this. This year, however, we have no large package orders in the INR1,939 crores. This would mean that the sales next year quarter-on-quarter will be far smoother than we ever had.

Sales YTD was INR1,054 crores as against INR1,046 crores, pretty much flat, almost about 2% higher. With the packages ready for shipment, we expect to close the year with a sales between INR1,800 crores t

o INR1,850 crores, nearly double-digit growth. YTD PBT was INR172 crores is nearly the same as last year, about INR175 crores. PBT for the year should end at least between 20% to 25% higher than the previous year.

Order inflow has picked up and will certainly support strong growth next year. We continue to create new IPs. The recognition of this is the fact that KPCL was awarded as one of the top 30 IP-driven corporates in India by CII along with large industries. As on 31/12/2025, we have filed 106 IPs and a significant number of them have also been taken up for commercialization. The net working capital was at INR276 crores.

This is lower than the INR288 crores in the same period last year. This is behind the back of strong receivable management and significant advances from the customers. Inventories, as I mentioned, is still a challenge, and we hope this will translate into sales during the next month. capex spend was INR54 crores. We expect a total capex spend of about INR90 crores for the year. Free cash generation from operations YTD FY '26 was INR45 crores. This is after the capex and the dividend.

Let's now discuss the result of our product lines. The air compressor business had a steady quarter, both in new order intake and in sales. The Tezcatlipoca centrifugal compressor continued to shine. We have invested in a couple of new CNC machines from Japan and Germany to double the capacity in this line to meet the growing demand. The additional capacity will be available from Q1 next year.

Refrigeration compressors and systems. The Refrigeration Compression segment completed the manufacture of the large projects during the quarter. We also commissioned two Zephyros plants as a technology demonstrator, and these plants have been commissioned within our plant to see their performance. Learnings will be used to fine-tune the product for bulk manufacture under the PLI program. We expect to have this clearance during this quarter.

Order intake from cold chains, ice plants, dairies, etc., continue to be strong. The Khione package sales has picked up, and it has stabilized across various application areas. Sales of the Tyche semi-hermetic compressor has commenced and it's scaling up.

The process gas compression system. The oil and gas sector seems to be finally getting out of a state of somnolence. We now see some movement in terms of order finalization. As you know, the whole of last year, there's practically no big orders being finalized in this space. The global uncertainty has impacted this seriously. However, finalizations are slowly picking up, not only in packages, but also in the CNG package orders as well as in the boosters.

The installation as of now is the lowest in the last 5 years. We hope to see something better happening going forward. The silver lining in this space has been the significant activity level in the MENA region for the CNG packages, and we hope to benefit from this. We have already installed a couple of orders in this space. We have also picked up a couple of orders for the hydrogen and biogas space, and we expect to complete execution of this in the Q1.

The O&M business continues to do well with a growing installed base, albeit at a lower than planned. But overall, Process Gas segment will remain flat for the year. Export order booking was on plan. We should be doing a sale of about INR140 crores this year compared to INR124 crores in the previous year. Most of the exports have been for process gas business and a significant part of it is into the MENA region.

Outlook FY '26. The global economy is in a precarious state and makes planning exercise a challenging one. We expect to close the year with a sales of about INR1,800 crores to INR1,850 crores and a PBT of about INR345 crores to INR360 crores, a growth of about 12% to 14% on the top line and about 20% plus on the

bottom line. While this is below our run rate
of the last 5 years, we expect that we will get back to our targeted growth rate of 20% on the top line and an EBIT margin of 20% going forward.

KPCL's focus on building sustainable competitive advantage in our offerings based on strong value chain integration, in-house manufacture driven by unique IPs and a sharp focus on targeted markets will ensure the predictable and profitable growth path even with choppy market conditions.

A committed and highly engaged workforce is a bedrock on which our growth aspirations are built. This was once again reinforced by our winning the Golden Peacock Award for HR Excellence during 2025. I would now request Ramesh Birajdar, CFO, to take you through the financials. Ramesh?

Ramesh Birajdar: Yes. Thank you. Good evening, and wishing you very Happy New Year.Q3 FY '26 financial results have been officially released on the BSE and NSE website following our recent Board meeting. For your convenience, we have also posted a detailed investor presentation on the company's website, which highlights the current performance trends and key business updates.

To assist those who may not have had the opportunity to view results, I'm sharing a summary of Q3 FY '26 outcomes.

Sales for the Q3 FY '26 were INR403.5 crores against INR340 crores of Q3 FY '25. Sales for the Q3 also showed a growth by 18.5% over previous year's Q3 FY '25. Other income for 9 months improved by 28% to INR21.1 crores compared to INR16.5 crores in the previous year.

Total income YTD ended December '25 was at INR1,074.7 crores compared to INR1,062.5 crores in the previous year.

The raw material to sales ratio for the Q3 FY '26 was better by 3.7% compared to Q3 FY '25. In terms of percentage, it was 48.1% in Q3 FY '26 against 51.80% in Q3 FY '25. However, YTD percentage of raw material to sales has improved by 1.4% in 9 months of FY '26 due to better product mix, selection of the orders and improvement in service business margins.

Staff cost, that is employee-related expenses stands at INR50 crores in Q3 FY '26, that is

13.7% of total income against INR44 crores in Q3 FY '25, that is 12.40% of total income. This increase reflects annual increments, commencement of operations at our Nashik forging plant and new foundry at Nashik, additional hirings for new products at our Saswad plant.
Company has maintained the status as a debt-free company and we, the company still has a net cash position of INR395 crores as on 1st January 2026. Depreciation for the both 9 months period for the current year and the previous year is almost same, INR22.80 crores in 9 months of FY '26 against INR22 crores in the 9 months of previous year.
Other expenses are mix of fixed and variable costs and are at INR 212 crores in 9 months of FY '26 against INR202.80 crores in the previous year. Increase in these expenses are on account of traveling, enhanced level of service business and expanding activities in our Nashik as well as in Saswad plant.
The year-to-date performance for the first 9 months of the current year shows EBITDA margin at the same level, reaching 18.2% of the total income to INR196 crores in FY '26 compared to 18.6% of total income to INR198 crores in the previous year. In the ongoing fiscal year, year-to-date profit before tax, YTD PBT has reached INR172.7 crores, constituting 16.1% of total income against 16.6% to INR175.9 crores in FY '25.
Net profit after tax for the initial 9 months of current fiscal year is INR114.5 crores, that is 10.7% of total income. In comparison to the previous year, INR130.4 crores, that is 12.3% of total income. The company has issued 42,200 equity shares during the period ending on December 31, 2025 under its Employee Stock Option program, while 93,600 equity share issued in the previous year during the same period.
As a result, the paid-up sh

are capital was increased marginally. Year-to-date earnings per share for the current year is INR17.63 compared to INR20.12 in the previous fiscal year. Exceptional item in the income statement, the implementation of new labor code, which become effective on November 21, 2025.
Based on our current assessment, the estimated gratuity provision has increased by INR18.3 crores. The amount is an estimate and may vary by end of FY '26. We are currently awaiting clearer guidance and further regulatory directions to finalize the specific requirement and impact on our year ending reporting.
In line with our dividend policy, the Board of Directors has approved an interim dividend at the rate of 175% on the face value of INR2 per share, that is INR3.50 per share dividend to be

paid as per the regular practice. With about 92% of the revenue coming from the Compression segment, it remains the only reportable segment.
The segment earned a profit of at the rate of 21.6% in the current quarter, while in the previous year, it was 21.80%. The Compression segment is consistently sustaining within the range of 18% to 20%. As of January 1, 2026, the company holds an order book of INR1,939 crores, marking at 19% growth compared to INR1,624 crores at the beginning of the year.
Segment asset experienced INR50 crores increase compared to the previous year, primarily due to increase in inventory in order to arrive at the capital employed for the segment, current liabilities were reduced. As you are aware that company acquired Systems & Components (India) Private Limited situated at village Patgaon, near Murbad, Maharashtra. Comparable details for the consolidated business will be provided after completion of 1 full reporting cycle.Now this forum is open for the questions from esteemed investors.
Moderator: The first question is from the line of Balasubramanian from Arihant Capital.
Balasubramanian: Sir, commercial refrigeration side, especially across AC systems, the market size nearly INR5,000 crores for Commercial Chilled Water segment. I think we have a patented zero GWP refrigerant technologies. How will this differ from standard refrigerants used by Voltas or Blue Star? And how do you look at in this market, what kind of market share we are targeting, sir?
K. Srinivasan: Okay. Bala, thanks for your question. See, I will explain our Zephyros concept. Zephyro uses ammonia as a refrigerant. As you all know, there are only two natural refrigerants, which has got zero ozone depleting potential and 0 carbon warming global warming. So, we are using ammonia as a refrigerant. This is quite different from what most other companies use.
Most other companies use refrigerants like R134a, R-32a, etc. All of them have even the best one, the newest one is R-32A, which has got zero ozone depletion potential, but its global warming potential is 765 and above. So the earlier ones are all 2,600 and above. So, these are all, let's say, global formulation.
The manufacturers in India pay them a license and make them. They cost on an average between INR2,000 to INR2,500 a kilo. Their COP, the efficiency of refrigeration is much, much lower compared to an ammonia system. That's why we believe ours is not only environmentally friendly, but also far more economical for using.

Now the two questions why this has not been used all along. There are two reasons. There is one, ammonia tends to react with copper. Consequently, if you use ammonia as a refrigerant, then you cannot run it on a semi-hermetic compressor. Semi-hermetic compressor, the refrigerant itself cools the copper winding in the motor.

Our patent is around the process by which we use ammonia, but still are able to achieve what is called as a quasi or a semi-hermetic system by which an alternate material is used to cool the motor windings. So consequently, we get the benefit of ammoni

a, but also get the benefit of

being a near semi-hermetic motor. That's a system that we have developed. That is where all our IPs are on.

The second disadvantage, which ammonia was thought to have is saying that ammonia's use can be seen as in low concentrations, not toxic, but very high concentration toxic. So we generally don't bring ammonia into the homes. If you look at all your window air conditioners, which is all there in your offices, etc., they are all what is called as, variable refrigerant flow compression system, where the refrigerant itself comes into the rooms.

In our case, we don't use refrigerant coming into the room, it is only chilled water. So, we have mitigated the disadvantages and enhanced and utilized the advantages of ammonia as a Zephyros system. Our IPs are around this space. This will allow us to offer a system which is not only environmentally friendly, economically cheaper and much more efficient to run and use. The market size, like you said, can be anywhere up to INR5,000 crores.

We will increasingly take market share. In any of these systems, first is, it has to be established and comfortably used in a critical number of applications. And after that, it scales up very rapidly. We are working on a PLI scheme to get the volumes to be produced. Currently, we can make with our existing facility, a reasonable number, which is what we will do to deliver a few in the market. And as the PLI scheme is approved, we'll really scale up and get volumes. That's a long answer for a good small question.

Balasubramanian: Sir, I think customer site delays have impacted installations for nearly 3 to 6 months for especially large refrigeration packages. How is the situation currently improving? And sir, secondly, I think we can -- if we are making AC system, whether we have the capacity to make 20, 30 CFM for RAC compressors. I think right now, we are in the progress of A800 frame 800 CFM. Is there any scope to develop in future?

K. Srinivasan: Okay. So, in the centrifugal compressor, the Tezcatlipoca, we currently start with 2,100 frame and go up to 7,000 frame. The actual CFM it can deliver can be as high as 8,000-plus. But on the lower end, we try and stay nearer to the 2,000 range, but we have a new frame that's coming up, A800 like you said, it is already proposed done. It has been running in our factory for alpha testing.

We'll probably launch it in the market before first quarter. That will cover then starting from maybe 600 CFM onwards. So, this will be the smallest centrifugal compressor available in the Indian market. It will replace a significant number of dry screw compressors as well. So, this will be a breakthrough, and we hope to have it in the market in the first quarter.

Balasubramanian: Okay, sir. So, I think you have missed like I think the whole industry is importing RAC compressors, whether we can able to develop those capabilities. I think that's a very small compressors, 20, 30 CFMs?

K. Srinivasan: Okay. So, at the moment, our range of Zephyros starts from 15 TR. You were talking of very small compressors like 20, 30 CFM compressors. We do not make them for refrigeration. But for air conditioning, we are in the midst of developing a small CFM compressor. It can be

very, very small. And this is being done for oxygen. That product will be available in the market from the first quarter. We have not announced it yet, so it will come and then we'll announce it.

Moderator: The next question is from the line of Sameer from Ambit Capital.

Sameer: So, if I back out the orders inflow numbers on the backlog and sales, it comes out to be around INR679 crores, which is like almost more than 50% of Y-o-Y, and probably the highest in many quarters. I just wanted to check whether this number is right. And this gro

wth is broad-

based or any particular market or product you want to highlight? And do you have any target for orders for FY '26?

K. Srinivasan: Okay. See, the orders have not come from; I mean, the big orders have not come from the traditional areas. Like I said during the opening comment itself, we generally get large package orders both in refrigeration and gas.

This just did not happen during the entire calendar year '25, last quarter of last financial year as well as the first 3 quarters. We hope to see some order finalization in large packages from traditional markets only from January. We have seen a few coming in, mainly from the oil sector, but we expect more.

The bulk of our orders that we have taken this time are not bulk, a significant part of the orders that we have taken this time are from non-traditional areas, which utilize our manufacturing capacities and capabilities. And that would probably drive growth during the first 2, 3 quarters.

Sameer: Okay. Thank you. And the second one is you talked about the 20% growth in margins is probably the midterm target. Do you see any green shoots to feel confident about, let's say, for FY '27 or FY '28?

K. Srinivasan: You're talking about EBIT margin?

Sameer: Yes. 20% growth you talked about, right?

K. Srinivasan: Yes. So, the 20% top line growth, see today if you look at for the first 4, 5 years, last 4, 5 years, we have been at a growth rate of CAGR roughly 19%. This year we're going to be lower. We're going to be probably be 10% to 12%. We expect to come back to a 20% growth rate from the next year onwards on the top line.

Sameer: Okay. Thank you. That was all from my side.

Moderator: Thank you. The next question is from the line of Niraj from White Pine Investment Management. Please go ahead.

Niraj: Sir, just wanted to know color on the orders from the Middle East. Can you tell us how the clients are thinking because we have heard about delays in the orders in the Middle East side and our large value of orders might be delayed or might be coming from that side as well. So color on that side of the end market would be useful?

K. Srinivasan: Yes. So the export business for KPCL itself is only going to be about INR140 crores this year. Last year, it was about INR124 crores. So for us, as a percentage, it has never been beyond. It has never even crossed double digit. Most of this order, I keep saying is from MENA region. They're not exactly Middle East. Some of it would be North Africa.

And we do not do very large distribution of them. It is a few package orders. You are 100% right when you say there is a huge delay in orders, particularly from oil and gas sector from West Asia. That is true. We don't have any orders from them. Most of it is for us from the MENA region.

Niraj: Okay. got it, sir. And any guidance on the revenues for this year?

K. Srinivasan: I think we said so it will be INR1,800 crores plus.

Moderator: The next question is from the line of Kunal Sheth from BK 360 One.

Kunal Sheth: Sir, I just wanted to get more light on in view of our completion of tenure, Mr. Aman has been appointed as the MD. So, any particular reason for -- we're not opting for extension as well as what would be the pathway going ahead as far as the leadership is concerned?

K. Srinivasan: So I think this would be probably one of the better managed organized succession that the companies are going through. My tenure here was primarily to ensure a smooth succession.

And as you know, I came out of retirement. I was retired already in Carborundum. So, I came in here post-retirement with a particular mandate of developing the next generation of leadership. And it was only for a period of 3 years, and I actually stayed on for 2 more years. So it's been near 5 years.

And I think it has been one of those very nice succession planning. Every bit of it has been done toge

ther. It was cannot be more structured, more organized, and I think this will be one of the nicest transfers that happened. And he would do far better, far quicker and far nicer than anything that I have ever done. So, I think I'm extremely happy about the way it has developed and you people will all see how it goes as we go forward.

Kunal Sheth: Sir, but if you can talk more about how involved was Aman for all these years, how in the business? And if you can talk a little bit about the second tire leadership structure, what kind of leadership in terms of second tire have been developed? What is the structure like?

K. Srinivasan: Yes. So Kunal, I had mentioned in my last part of my opening comment on the enablers, which makes us confident about the outlook. The primary enabler, 2 measures I'll give us. One is our employee engagement scores is industry standard. It's even higher than industry standard. We have a score of 86 when manufacturing industry is about 82 or 83. So it's better than industry standards. My attrition rates are below 10. My IP filing of 106 is averaging more than 40 per year.

So, in terms of employee engagement, employee productivity, employee measurement, these are all engagement scores coming out of a whole lot of people, all the say 900-odd people in the company pulling together and getting into a very productive phase of growth and development. So this is coming out extremely well.

And Aman has been intensely part of all of this. So, he brings in a freshness of thought, he's been championing all the newer things that we are trying to put out. And that it has allowed him to work on different spaces. He's been reporting to the first-line reporters. He's been learning from the line. And that has been a good development. Yes, he is from the investor family, from the promoter family, but he has gone through the rigors of being trained to take on this role.

Having said it, we have also supported him with a whole lot of leadership team around. It's not going to be Aman alone sitting there and fighting the battle. There's a whole lot of team out there. There are 200 engineers and manufacturing specialists, design specialists, marketing teams and of course, the whole financial, legal, secretarial support teams as well.

So, I think it's a collective team with a fine young leader who will come in to take it forward from here. Like I said, I'm very pleased and happy the way the whole thing has developed. When you people, any of you have a chance to come and visit, you will yourself go around and see whether it makes sense to you or not.

Kunal Sheth: Sure, sir. And best of luck for the future year, sir and thank you for the valuable contribution.

K. Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Khush from Electrum PMS. Please go ahead.

Khush: So, a couple of questions. So first, since you are maintaining the guidance of around INR1,800 crores to INR1,850 crores of revenue. So could you elaborate more on what are the reasons because this would result in around 35% growth for the quarter. So the reason for this is basically the inventory like you mentioned, which has not been picked up from the factory? Or is it some large orders that we expect to execute in Q4?

And apart from that, secondly, on the employee expense cost, should we assume that this combined expense of INR69 crores, INR70 crores is the new quarterly run rate because of the change in the law? And post that also, we are confident on maintaining around 19%, 20% EBITDA margin going ahead?

K. Srinivasan: Okay. First thing first, the employee cost will remain between 10% to 12% of sales. That will not change. What has changed with whatever is visible at the moment with the new labor code, the Maharashtra State thing has to be notified yet are 2 parts. One is there is a change in the gratuity that w

ill impact and there will be a change on leave encashment and the value of leave encashment that will impact.

Our measure of both on a forward basis will be about 0.8% to 1% of the total. So it's not very big. In terms of value, we are talking of less than INR2 crores a year. So that's not going to be significant. We will handle it. We can manage it multiple ways with a slightly lower increment or whatever it is.

There will be a onetime top-up of gratuity. There could be a onetime encashment of leave that would have to be done. And these are already notified. We have already calculated this onetime top-up to be about INR18.3 crores on gratuity. The onetime leave encashment could be about a crore. So these are the only onetime impacts. There is no grandfathering allowed. So we are expected to pay for all that is on the book even during the date of transfer as of 21st November 2025.

So that is the only thing, but I don't think that's going to go without some kind of a challenge. So let there be some clarity because this is all for the past period that we are talking of this INR18.3 crores plus another maybe a crore from leave. So that is something that we will have to see.

Even assuming this has to be taken, the tax, etc., will come up only when you have to top up the contribution. And we may top it up not in one go. We may even decide to top it over 1, 2, 3 years. So there is enough time on this. Short answer for the employee cost is this is important for the employees, but not significant for the company to make any material impact on the profitability. So that's a detailed explanation on that.

The second question you asked is on the third quarter. See, third quarter, if we had dispatched the packages that are ready, it is primarily to 2 customers really. And these are large, large customers. I don't want to mention their name because they're also in private sector. So if it in the site has been ready and if they have taken it, the sale in the quarter would have gone up by more than INR150 crores. So to that extent, I'm not going to make it in the last quarter.

So the last quarter is going to be as of manufacturing dispatch, a very routine, normal fourth quarter like we would have in any other year. So there's nothing big that's going to happen. It's going to be a routine, normal fourth quarter for us in this case, and we will get the numbers what we have planned.
Khush: Right, sir. And sir, just one last question on the gross margin. I think this quarter, we have seen around 52%, which is around 400 bps change compared to last year Q3. So what were the major reasons? And will this be the new sustainable gross margins?
Ramesh Birajdar: Last year, December, the quarter 3, the percentage for the raw material, it is 51.8% against it is 48.1% for this quarter. So what I am saying that it is again the developing the manufacturing capability that is giving the benefit plus selection of the orders and getting the business only when we are able to maintain the profitability between 18% to 20%.
And most of this, it is a O&M business where we purposefully took a target to reduce the cost, and which is working very well for this quarter. And going forward, this will a little bit improve because we are developing our manufacturing capability. And this manufacturing capability to bringing raw material at the lowest price or the price which we want to build our sales for the compressor. So both put together, roughly we are expecting to reduce 1% to 2% further going forward.

Khush: Right, sir. Sir, just the last follow-up on that. So how much would be the service revenue for 9 months?
K. Srinivasan: Okay. See, I think service as we don't split it. We generally keep it at 15% of our top line sales because if you get detail without get in

to a quarter-by-quarter too much of variation. We bundle it up and give a number of 15%.
Khush: Okay. All right. Thank you.
Moderator: Thank you. The next question is from the line of Ajinkya from KRIIS Portfolio. Please go ahead.
Ajinkya: My question is regarding the Zephyros product. So I wanted to understand like we will be supplying only the compressor or in the package, we are going to supply the controls and other things as well. And what will be our sharing value terms per TR of the capex?
K. Srinivasan: You are talking of the Zephyros project?
Ajinkya: Yes.
K. Srinivasan: Okay. So for Zephyros, the way we are currently thinking is a significant part of the initial sale will be that we make the Zephyros package and also have to do the installation related things, which is really the air handling systems, the controls, putting it in place. Maybe the first 100, 200 packages.
Later, our interest would be to focus only on making the Zephyros packages, allowing the installation-related activity, which means the air handling units, site work, piping, etc., to be done by a local installer or currently, whoever is doing it. So we won't really get into that space. But for them to have the confidence, we initially maybe the first 100 installations we will do assets.
Ajinkya: What will be our share in the capex, like the per TR, how much we are targeting?
K. Srinivasan: Okay. Maybe market price of depending on, let's say, if you're looking at the 35, 40 TR air conditioning space, they are now calculating around anywhere between INR35,000 to INR40,000 per TR. And we would take about 2/3 of it, 1/3 will be with the installer.
Ajinkya: Okay. And like you said, like we will be targeting our capacities at about 15 TR. So as far as I understand, ammonia-based systems require a higher capex as compared to the traditional ones. So how it becomes economically competitive with the existing products? Like am I getting something wrong here like how is the economics for that?
K. Srinivasan: Your question is correct. See, the ammonia-based systems costing more is the accepted practice. With our IP, we expect to break that belief that we can make an ammonia-based system and at a price point comparable or cheaper than the current other machines. So that is where most of the IP and the manufacturing.

Ramesh you did it saying that unless we make most of the manufacturing in-house. Today, you look at most of the air conditioning company manufacturers, they are an integrator. They get most things from different people. Almost all of them get their compressors imported. Many parts are made by different people in India or outside and they integrate it.
We would be an exclusive in-house manufacturer of most or almost all of the parts. That's why the PLI scheme. That will allow us a scale and cost advantage, which is quite different from

what the current people are doing. We expect to make a fundamental change in the cost structure of this industry by doing all these assets.
Ajinkya: Yes. Okay. And the last question is, so have we worked on the replacing of the copper pipes with the steel pipes and the toxicity issues by ourselves or we onboarded some technology partner? Because what I can see in the international market, the bigger player like GEA, J&D Hall have done such products, but those are for like bigger applications like airports, huge malls. So you are targeting smaller systems, how we did that?
K. Srinivasan: Okay. So you got it right when you said the large systems are all in airports. The airports and other places have systems where most of it is where cool air is transferred. They also have water pipeline systems available. We are making several products that will finally be a part of the package. I don't want to get into details of what we are replacing with because there are several projects that are running wi

thin the company and several IPs are being filed on the input material.
So as you all know that today, the only thing that is growing faster than silver is copper. So you got to be careful about what copper we want to use where. And so there are several IPs that we are working around with, and we will talk about it once we are established in these states.
Ajinkya: Okay. And the last question is like if we get the PLI benefit, what will be the size of the capex for like the benefit from the government, any ballpark?
K. Srinivasan: Yes. So the PLI application, what we have filed entails that we have to commit a capex of around INR300 crores, but this includes the capex that we have already committed over the last 2 years. So that means for this specific project area, which includes input material, raw material all combined. So we may have to make an additional capex of about INR200 crores, which we will do in the next year, 1.5 years. And we have to deliver sales of at least 5 times, which we are very comfortable about doing. Ramesh, are we okay?
Ramesh Birajdar: Yes.
Ajinkya: Yes, that helps. Yes. Thank you, Srini sir and Ramesh sir.
Moderator: Thank you. The next question is from the line of Nipun Sharma from VLS Finance Limited. Please go ahead.
Nipun Sharma: So, my first question would be in two parts. The first part being that, if I can recall that you said in your second quarter con call that there was a situation of general slowdown in the

finalization of orders across industries for air compressors. And for the Refrigeration segment, you said that large projects were running slow. So, I mean, I know you said this in your opening remarks that the orders are picking up. But I really wanted to know the situation as of now.
And the second being that you said that overall, the delays in the approvals or the slowdowns in the project executions were one of the main reasons in quarter 2 that the business was affected. So how is the situation as of now? And are there any chances for it to occur again in the future?
K. Srinivasan: Okay. So let me talk about the comments of Q2 and what we have done in Q3. Air conditioning is still running slow. General capex commitment across most segments is slow. That has not changed. What we meant in particular was the whole of the year '25, that is calendar year '25, no major project orders in the oil and gas sector, in the petrochemical sector was finalized. And that is what has created a shortage of large package orders. So, this is what really happened.
This is probably just -- I'm seeing the brief of some change coming. Somebody else also asked a question about Middle East. Yes, even Middle East orders were not finalized. Nothing was happening or whatever was finalized also is getting cancelled. This condition of the economy has not changed dramatically. Like we said in Q2, there are segments or spaces where it's doing well, which is largely consumption driven.
If you look at the cold chain, the ice plant, the food processing units, the diaries, they continue to invest, they are doing well. There are pockets of chemical primarily going with the pharmaceutical and other spaces that are still continuing to invest. So these are the areas where our refrigeration air conditioning packages still small ones are coming in, and we are delivering it.
Similarly true with some hydrogen packages, some biogas packages. These are sporadic. The kind of pace at which we were expecting and at least putting out quotes for orders are just not happening, and that's true even today.
The orders that we have picked up to cover up, which is really giving us the hope and confidence of doing numbers next year comes from non-traditional businesses for KPCL, which is why I said these are not from the compression area, but parts and components of

another industry, which we are able to make i

n our manufacturing capability. That is what is driving our confidence and growth for the next year. We hope that the regular traditional orders would also pick up as we go forward.

Nipun Sharma: Okay, sir. Understood.

K. Srinivasan: Yes.

Nipun Sharma: Yes, sir, that is satisfied. So, what you're saying is majorly there are project delays in the gas compressors, I mean, in the oil and gas sector because of the uncertainty?

K. Srinivasan: Absolutely. And oil and gas includes petrochemical. There are some large two packages that didn't go are private sector and they are large petrochemical projects.

Ramesh Birajdar: I don't think you have noted the point of order board as on 1st January is INR1,939 crores, which is the second highest order board in the company's history. And this order board is more of an equipment side and rather than the large package orders. And this gives the confidence that we are getting more business in the future.

Nipun Sharma: Yes, sir. Noted, sir. I actually noticed that. That is why I recall what your comments from the second quarter. That is why I wanted to know the scenario in this air compressor and refrigeration system thing.

Ramesh Birajdar: Right.

K. Srinivasan: Right. Still running slow. Yes.

Nipun Sharma: Okay. So, my second question being that your Gas Compressor segment had been facing headwinds earlier, but now they are starting to get recovering. And you said in your Q2 con call as well that your segment share is gradually decreasing. So is that the plan for the future? Or is there any hope that this compressor will have a revival in the future?

K. Srinivasan: So, let me explain the gas part of it well. The gas package system has got 2 components. The upstream, midstream, downstream are packages and most of them use aerial compressors and we do the packaging. This requires projects. And here, we are not still seeing any great traction either in Middle East or in India.

So, this is still a struggle. But whatever orders are finalized, most of them we win in India. So that's -- once we finalize, we get these orders. Our market share remains very, very high. Middle East, we are among the several major players. So, some orders we get, many we don't get. So that's the way it is on the gas packages.

The second one is the gas distribution business, which is really CNG stations. Now in CNG stations, there are two. There are mother stations with large packages, there are daughter stations with booster compressors. Here, we used to have a fairly dominant position. It was almost a duopoly, at least on the mother stations. This continues to be a partial duopoly. There is a third player now in this. But here, the actual number of packages that have been taken, the CNG stations is actually dramatically declined. It is probably last year was the lowest in the last 5 years. So new gas stations were not being commissioned, new pipelines were not being laid, while PNRGB had put out a target of at least 2,500 installations overall, it did not -- not even 1,000 would have happened.

So, there's been a dramatic reduction in new installations coming up. Even -- we manage about 1,200 packages across India. We found that this was not growing, and it was at the lowest in the last 5 years. On the booster side, we have won among many, many players. Most of them are small players.

They are the ones who can do anything to get orders. Here, we have consciously -- Ramesh has said it, we are not interested in playing this game. We have consciously reduced our exposure in this. Most of the orders that are finalized, except a few, which we took, we were not even there in this business. That has also not gone up. Any big numbers have not gone up. Overall, the gas distribution sector, one did not grow. Actually, it show a treme

ndous degrowth. Our positioning has become more clearer, focused on the main stations and only take boosters selectively, which means our actual sale of gas distribution business is probably at the lowest in the last 3 to 4 years.

We have never been lower than this. The only redeeming feature is the main stations or CNG packages as we call, we have now started getting exports, which are of significant value for us, particularly from the MENA region. That has been a redeeming feature during this year.

Nipun Sharma: Okay, sir. Understood. I have 2 more questions. If that is fine, then...

K. Srinivasan: The moderator will decide, I have no role in this.
Nipun Sharma: Okay. So, what are your FY '26 guidance? I mean, I know you have talked about INR1,800 crores. So, by that, do you expect the fourth quarter revenue to be around INR745 crores?
K. Srinivasan: You have the numbers.
Nipun Sharma: No, I mean that is the expectation because I added the first 3 quarters. And then the fourth quarter, I mean, is that the expectation that it would be around INR745 crores, adding up to a total of INR1,800 crores for FY '26?
K. Srinivasan: We will do INR1,800 crores plus for the year.
Nipun Sharma: Okay. And the EBITDA margin will be stable at 18% to 20%, the guidance?
K. Srinivasan: Yes.
Ramesh Birajdar: Yes.
K. Srinivasan: We have actually given a number itself for PBT.
Nipun Sharma: Okay sir. Okay. Congratulations on good numbers.
K. Srinivasan: Thank you.
Moderator: Thank you. The next question is from the line of Sahil from Monarch Networth Capital. Please go ahead.
K. Srinivasan: Sahil?
Sahil: What you also discussed last. Yes. Am I audible?
K. Srinivasan: Yes. Please go ahead.

Sahil: Yes. So what we also discussed last quarter is that the delivery and the order finalization for Tezcatlipoca also was pretty slow. Correct me if I'm wrong, but what is the scenario around this now?
K. Srinivasan: The overall orders for the gas compressor division is steady. It has not improved from what it was in the last two, three quarters. This is a general flow of capital goods in the economy today. We are getting a significant part of the centrifugal orders that are being placed. So Tezcatlipoca is a product with a clear star, and we're winning a significant part of orders that people are finalizing.
Most large centrifugal users would already have installations from several large multinational companies. And for them to make a choice and shift to Tezcatlipoca is a big difference for them, and it's a good thing for us. We are winning orders, we are executing. But even when you execute and ship these orders, we find that the speed at which they are being put to use, what we call is commissioned and handed over, that is still taking time. That means the overall projects generally are running slow across the economy.
Sahil: Right, sir. Right. I get it. And secondly, sir, on Zephyros, I wanted to understand the profitability or the margins that we make. Would it be very much similarly.
K. Srinivasan: The value which we are seeing, wait for a couple of quarters. Zephyros is today not even commercially launched. So we will have to talk of it a little later when we have put some numbers and then we come with it. We have got our own targets in terms of where we want to engineer, where we want to launch it and the target expectation. Like I said, our overall expectation of a 20% EBIT margin will not change. We will have to find the path to get to that kind of a thing with a commercial product of a large volume. So there will be a path towards it.
Sahil: Right, right. And Tyche, what kind of ramp-up can we expect some time lines or some kind of traction, understanding.
K. Srinivasan: So, I will give the number. India imports about 2,000 semi-hermetic compressors largely from Europe. The Tyche is placed to take this market share, and it

will take the share in about 3-year period because it makes no sense for people to import in Europe what would be available, which is probably the same or better performance in India. So it is a path that you will get there.
Generally, when you launch -- it's a capital goods. Any new product you launch, initially, there is a tentative conversion, then there is a committed conversion, then there is a current, just anything that you make will sell. So there is a 10%, which we say, then we talk in terms of how fast we can ramp up. We are still in the 10%.
Sahil: Got it. Thank you. Thank you and appreciate sir your term and your contribution to the company. All the all the very best, sir.
K. Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Manish from Thinqwise Wealth Managers. Please go ahead.

Manish: Sir, a couple of questions. One, as you mentioned that there are no large packages ordered. So if you can just give us a revenue breakup like how is it for projects and products for the current quarter and for the first 9 months. And if possible, a comparable number, there's a broad percentage number would help. It was the first question, sir?
K. Srinivasan: Okay. So let me put it this way. Let me give you for the full year because 9 months would also again distort because you are going to ship two large packages in fourth quarter. This year, since we are executing orders of the last year, big packages are still there. Like I said, two big packages already ready to be shipped. So this year, we probably have about 40% -- 35% to 40% of package significant size and 50% of the lower equipment.
Manish: Okay.
K. Srinivasan: Next year, it will be flipped around the other way and a large part of it, maybe 65% or 70% would go towards equipment and general items, which are what we call as 12 to 16-week delivery items and only about 30%, 35% would be the packages. So that is a far more smootherquarter-on-quarter, you will find it's much more predictable, much more easy to judge this company.
Manish: Sure. Sure. And on order inflow pipeline, sir, how do we see going forward? And because Q4, we'll see a very -- fairly a good execution of INR750 crores to INR800 crores out of order book of INR1,900-odd crores and probably we're targeting a 20% growth next year. So which implies a very strong order inflow aspirate should be very strong in the very high in the quarter 4.So what should we expect the year-end order book to be? How should we see? And what will drive this order inflow in this particular quarter, sir?
K. Srinivasan: See, this is one of the most difficult period to predict anything. What we see as a trend is the big orders are not getting finalized. There is an uncertainty in the economy, there is centricity about anybody cancome up with a project, which is not going to change.So this is going to be there.
Three sectors, I will only give you statistics. Three sectors out of India have put -- spent most of their capex. Out of INR11.22 lakh crores that was put out as capex last year and also this year's numbers have been announced that it's going to be 11.54, 14% higher than last year. Three sectors have been taking the lion's share and they're spending all their money.
One is defence, second is railways and the third is national highways. They continue to be the three stars that are spending most of the money. Many of our packages are not going to be the large oil and gas or refrigerant packages go to the oil and gas sector or fertilizer. Those have not seen great order flow last year.
That is because they had INR1.56 lakh crores to be spent, and they spent very little of it. Now we see that some waking up is there, some orders are getting cleared in this space now. Similar or capital outlay will come up for this year as well.

Let's see how this goes. We have lived well even in a case where very little of the oil and gas sector has been spending money and we have lived through that year. We expect '26 to be definitely better than that. So we are quite confident with the order backlog we have and the kind of new orders that we're getting, we are quite confident that we will get this 20% plus.
Manish: Sure. And sir, how much would be, say, contribution say, from some of the new products which we have launched in recent past, and we are planning to launch? Like, will we see a meaningful contribution next year as we are targeting double-digit growth?
K. Srinivasan: Two things I would like to clarify. What we call as a new product is product launched in the last year. So every year, something will go in new product and become a established product. So generally, the new products contribution to sales is kept at about 15% and aspirationally 25%, because after that, it becomes an established product.
For example, for me, next year, Tezcatlipoca is no longer a new product. Khione is no longer a new product. So they all have been around for 3 years, then it has crossed the 10% mark, they become a regular product. So you should take it that there will be new launches, new products like Zephyros will be a new product. New product as a percentage of sales will remain in the band between 15% and aspirationally going towards 25%.
Manish: Sure, sir.
K. Srinivasan: This is an international standard that we follow. All companies, if you look at 3M or somewhere, they all define new products as products launched and in the last year. Targeted sales generally for them is 25. We are still beginners in this game. So we take it at 15 going towards 25.
Manish: Sure, sir. And one question on the margin, sir. So I just wanted to clarify. On the EBIT margins, you mentioned 20% or 25% for next year?
Ramesh Birajdar: It is 20.
Manish: 20?

Ramesh Birajdar: Yes, between 20.
Manish: Okay. Okay. And Mr. Srinivasan, I would like to thank you so much for taking the company to new heights and creating large growth opportunities for the company, sir. Really appreciate and wish you all the best, sir. Thank you so much.
K. Srinivasan: Thank you.
Moderator: Thank you. The next question is from the line of Sourabh from Oaklane Capital. Please go ahead.
Sourabh: Just two questions. The first is, could you explain this what exactly this non-traditional order inflows are? Do we used to do similar business in the past? And second, will the margins and working capital, etc., would be similar to our compressor business or it would be different?

K. Srinivasan: Okay. It's an important question, so let me answer it. Why I'm not using the particular sector to which we supply is that we would not like to disclose the sector. We would like to still allow it to because let it repeat before we talk, okay. The product that we manufacture currently are a version of what we would have done before. It's not that it's a completely new product.
In the earlier days, it would have been an integration of parts that would have been procured from different vendors and put together for assembly testing. The current way that we manufacture gives us an advantage, and that's why we're seeing this kind of scale. Otherwise, you won't get this volume.
The current way we manufacture is we do almost everything entirely within the factory, which means we forge, we craft, we machine we do all the other work. There is a heat treatment, there are so many other things, owning, finishing, grinding blah, blah, everything and then we assemble, test the product and deliver.
So in this kind of a complete manufacturing capability is not available with too many people in India. That's the advantage which we have picked up a much significantly different volumes of products. Most of this wo

uld have been earlier coming from parts of the world which are not currently very easily available to everybody. So that has allowed us some advantage. So we are making this, in this form for the first time, but this product itself, we are very familiar with. It's not something that we have never done before. And let us stabilize. See once these things come to a particular shape, it is better to discuss at that stage. I would say that the margins are not going to be any less than the compressor business. Because since we do most of the manufacture, the margin expectation will be in fact higher.
Sourabh: And working capital?
K. Srinivasan: Working capital in any orders of this nature tends to be higher than normal. But for us, since everything is in-house, the quantum of working capital is small, but it takes from cash to cash, it will be a longer cycle. It's almost like a package order. It takes about 8 months to have cash to cash.
Sourabh: Understood. And secondly, I think in this call, we did not talk about the, let's say, percentage growth of three segments. How much air grew, how much refrigeration and how much gas business grew first 9 months, that would be very helpful?
K. Srinivasan: Okay. So now here, I have to take a caveat, but this is a very fast-changing ratio. While the absolute growth numbers for me is relatively more predictable, the split between the four segments, the segments we're going to now talk about really air, refrigeration and air conditioning, which is now getting bolted on really and then the process gas, and now the fourth segment, which is really others, which include a lot of manufacturing driven business.
Now the split is definitely going to change going forward and it will change very rapidly. Once the PLI comes up, the refrigeration, air conditioning numbers will shoot up, the other business today is going to be something which will become a reportable segment from first quarter

onwards. So I would suggest that the traditional number that you have been given will change rapidly, and we'll talk more about it after the first quarter.
Sourabh: In first 9 months, how they did, would it be possible to share?
K. Srinivasan: Yes. So the first full -- not first -- I'll give you the full year. I'll say for the full year, it will be that the top business will be the refrigeration, air conditioning business, passing about 40%; processed gas business between 30% to 35%. The air compressor business is about 20%. The rest is about 5%, 7%, 8%.
Sourabh: Okay. This is helpful. Maybe just very lastly, so this other segment, will it become structural play for us as will we get success because you said...
K. Srinivasan: Let us give you some .I would request all of you see, we are being as transparent as we can. I

would suggest that you give us at least 1 or 2 quarters.
Sourabh: Okay.
K. Srinivasan: Like I said, things are changing the current state of economy and the speed. The only thing you must appreciate is the organization itself is today so imminently flexible with capabilities that we will not be surprised by any change in the market dynamics. So to that extent, we are being far more responsive rather than reactive. We can take things quickly to see that we continue to deliver numbers. But this change is so rapid that I would like to commit something longer term after 1 or 2 quarters. I hope you'll accept that.
Sourabh: Perfect. This is really helpful and really appreciate all the calls and all the insights you gave us over these calls and over all these years. Thank you very much. All the best, sir. Thank you.
K. Srinivasan: Thank you.
Moderator: Thank you. The next question is from the line of Eshwar from ithought PMS. Please go ahead. go ahead.
K. Srinivasan: Hello, Eshwar.
Moderator: Eshwar?
K. Srinivasan: Eshwar, are you there? Okay, take next one, please.
Moderator: Okay. The n

ext question is from the line of Niraj from White Pine Investment Management.
Please go ahead.
Niraj: Just one question on the new products, if you add new products in the last 4 years or so, what would the revenue contribution today for you?
K. Srinivasan: So, I would say roughly about 250 plus 300, somewhere in that range. So roughly about, if you say 300 on INR1,800 would be about 15%.

Ramesh Birajdar: 15%, 20%.
K. Srinivasan: Which is what I keep saying, saying that we are at about 15%. We would love to go take it to about 25%.
Niraj: No, sir. So is what you said for the products for 1-year period. But cumulatively for the last.
K. Srinivasan: New product. Yes, new product is what has developed and designed for the last 3 years.
Niraj: Okay, 3 years.
K. Srinivasan: 3 years. Always new product definition is products developed, launched, sold in the last 3 years, and it is continuously rotating.
Niraj: Got it. And even that does not include the launch of Zephyros, right, at all?
K. Srinivasan: No.
Ramesh Birajdar: No.
K. Srinivasan: Zephyros, only sold as of now, only a few numbers for our trial.
Niraj: And sir last question on the R&D spending? Is there a way to figure out how much R&D money you have spent over the last few years as a percentage of revenues?
K. Srinivasan: Okay. Now this is another tough question, and we just went through it at the Board. So I'll give you a little longer than what you would expect as an answer. See, what is recorded in annual reports, etc., as R&D spend generally is about 1% okay. And there is a reason behind it. I would rather than directly take it as a business spend and spend it because then I am able to absorb my full GST, I'm able to do the trial development and just launch it.
Today, there is no advantage to specifically categorize it as R&D. I don't get any additional depreciation. I don't get anything. So what I talk of as there is a reportable R&D spend, which most Indian companies will talk of 1%, and we can keep margin being low or high, but as a company, KPCL, I look at my design, development, new product, application and R&D combined as what I do towards what is traditionally seen as a research and development activity.
And I think that we are about 3% to 5%. We are not small. We have been filing at least 40 IPs a year. So, I think there is a significant investment. So I would urge people not to read only the reported annual report number, which is more coming out of a reporting requirement.
Niraj: Yes. Got it, sir. Got it. Actually, that's the reason I asked you because it's so much of R&D products, you should be spending a lot of money?
K. Srinivasan: And this is true. The large number of Indian companies. See, this is something which we argue now in several forums. Now, unless there is a real advantage of reporting it as an R&D

expense, people just expense it off as normal. Why should I take it? I'll take a development new product development. I'll just finish it.
Niraj: Understand, sir. Make sense. Got it, sir. Thank you.

K. Srinivasan: Thank you.
Moderator: Thank you. The next question is from the line of Kashyap Javeri from Emkay Investment Management. Please go ahead.
Kashyap Javeri: Yes, sir, sorry to circle back on this. In one of the questions, you mentioned that there were some packages where some of the private sector players could not pick up the deliveries because their own sites were not ready. And you mentioned also a number for about INR150 crores, is that correct? Did I hear that correctly?
K. Srinivasan: Yes, it's a little even more. It's about 180. Yes, go ahead.
Kashyap Javeri: So, I'm just trying to correlate this. If I look at your raw material purchases number for the quarter, and in fact, you also mentioned about the workin

g capital at the end of the quarter,
which, in fact, is lower than like you mentioned versus September quarter also. Ideally that number should have reflected there, right?
K. Srinivasan: See the packages when we talk of.
Kashyap Javeri: Yes.
K. Srinivasan: The two packages that are now ready, not dispatched, I think the work started last year in the third quarter. So material purchase, manufacture, like I said, project orders run anywhere between 8 months to 16 months. This year, this order has run the longest. I think it's run almost 16 months now.
So,you will never be ableto correlate a quarter's purchase of raw material to a quarter's inventory to a quarter's dispatch. So that's why, till we come to a stage where these long cycle items diminish and become a small part of our business, these numbers become almost, let's say, unreadable and understandable, except for the guys who are actually running the business.
Kashyap Javeri: Okay. And this ideally, I mean assuming that there is no untoward circumstances, this would get probably delivered this quarter?
K. Srinivasan: Yes, February.
Kashyap Javeri: Sure. Thank you so much. Yes, that's it for my side. I just needed this clarification.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the conference to the management for closing comments. Thank you, and over to you, sir.
K. Srinivasan: Yes. So, let me start by thanking each and every one of you. I have been with Kirloskar Pneumatic and talking to all of you for over 5 years now. I must thank each and every one of

you for your interest, your kindness, your support, your advice, your enthusiasm and many times telling us the right way forward.
I enjoyed all the interactions. If ever, I have been either too quick in replying or wrong in my replies, my apologies. I really wish all of you well, do well in your life, do well in all your investments, make lots of money, be happy. Thank you for all the support you gave me all these years. My successor is a better person, a smarter person, and I'm sure he will get all your support and KPCL will continue to do well going forward. Thank you all once again.
Ramesh Birajdar: Thank you.
Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2026

Kirloskar Pneumatic Company Limited
A Kirloskar Group Company
Regd. Office: Plot No. 1 , Hadapsar Industrial Estate, Hadapsar,
Pune , Maharashtra 41101 3
Tel: +91 (20) 26727000
Fax: +91 (20) 26870297
Email: sec@kirloskar.com | Website: www. kirloskarpneumatic .com
CIN: L29120PN1974PLC110307
Ref.: SEC&LEG/ 459
April 30 , 2026

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai 400 001
Scrip Code – 505283 National Stock Exchange of India Limited
Exchange Plaza, C - 1, Block G,
Bandra- Kurla Complex, Bandra (E),
Mumbai 400 051.
NSE Symbol : KIRLPNU
Dear Sir / Madam,

Sub.: Transcript of the Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation of earlier communication vide letter SEC&LEG/450 dated April 22, 2026 ; we inform that the Conference Call for Investors and Analys ts was held on Mon day, April 27, 2026 at 4:00 p.m. (IST) to discuss on the a udited Financial Results of the Company for the quarter and year ended March 31, 202 6.

The Transcript of the Conference Call is enclosed and is available on the website of the Company viz. www.kirloskarpneumatic.com

You are requested to take the same on record.

Thanking you,
Yours faithfully,
For Kirloskar Pneumatic Company Limited

Jitendra R. Shah
Company Secretary
Membership No. 17243
Encl: As above

"Kirloskar Pneumatic Company Limited
Q4 FY26 Earning Conference Call"
April 27, 2026

MANAGEMENT : MR. AMAN KIRLOSKAR – MANAGING DIRECTOR –
KIRLOSKAR PNEUMATIC COMPANY LIMITED
M R. RAMESH BIRAJDAR – CHIEF FINANCIAL OFFICER
– KIRLOSKAR PNEUMATIC COMPANY LIMITED
M R. JITENDRA SHAH – COMPANY SECRETARY –
KIRLOSKAR PNEUMATIC COMPANY LIMITED

MODERATOR : MR. DHIRENDRA TIWARI – ANTIQUE STOCK BROKING
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kirloskar Pneumatic Company Limited Q4 FY26 Earnings Conference Call, hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in a listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhirendra Tiwari from Antique Stock Broking Limited. Thank you, and over to you, sir.

Dhirendra Tiwari: Good evening. On behalf of Antique Stock Broking, I welcome you all to 4Q FY26 results conference call. I'm pleased to have with us today Mr. Aman Kirloskar, Managing Director; and Mr. Ramesh, CFO, along with the management team. As you are aware, the company continues to deliver long-term growth. Congratulations to Mr. Aman and team Kirloskar Pneumatic. All the best for the future.

Now I invite Mr. Aman Kirloskar to discuss results, post which we can take the Q&A. Over to you, Aman. Thank you.

Aman Kirloskar: Thank you, Dhirendra. Thank you all for joining the call today. I have with me Mr. Ramesh Birajdar, the Chief Financial Officer of the company; and Mr. Jitendra Shah, the Company Secretary. Before proceeding with the business updates, I kindly ask Mr. Jitendra Shah, our Company Secretary, to read out the disclaimer statement.

Jitendra Shah: Thank you, sir, and good evening to all. The presentation uploaded on the website of the company and discussion on the financial results during the earnings call may contain statements relating to future business development and economic performance that could constitute forward-looking statements.

While these forward-looking statements represent the company's judgments and future expectations, a number of factors could cause actual developments and results to differ materially from expectations. The company undertakes no obligation to publicly revise any forward-looking statements to reflect future events or circumstances.

Further, investors are requested to exercise their own judgment in assessing various risks associated with the company and also the effectiveness of the measures which taken by the company in tackling them as indicated during the discussion. Thank you.

Aman Kirloskar: Thanks, Jitendra. Let me start by wishing all of you a very happy and prosperous new financial year. FY27 has begun, and it is a good moment to reflect on where we have come from and set the context for where we are going. I would like to highlight a few key points of FY26. During the year, we had the highest order booking of more than INR2,000 crores. We declared the highest total income of INR1,786 crores and the highest PBT of INR356 crores.

We developed a couple of new products, including the Zephyros air conditioning package, providing a competitive edge in a new business segment. We also declared the highest dividend of INR12 per share, which is 600% on face value of INR2. During the last financial

year, we made meaningful progress on our long-term goals despite external uncertainties. The domestic market remains strong with significant performance in the food, dairy, chemicals, fertilizers and general engineering sectors. While oil and gas lagged due to slower order finalization, we saw momentum begin to pick up in the last quarter.

Additionally, products such as the Tezcatlipoca centrifugal compressor and the Khione refrigeration compressor continued to gain market share. Coming to innovation, we have made significant progress on development of several cutting-edge compression solutions, represented by our highest ever IP filings of 57 for the

year, taking us to over 128 IPs filed. In recognition of this, KPCL has been awarded a top 30 IP-driven organization by CII. We launched our oil-free air compressor, Hydrino, and we are quite happy to note that we have even booked a few orders for these.

For the year, we also launched our Tyche semi-hermetic compressors, which we have also sold. Our Zephyros air conditioning package will be commercialized in the market in the first quarter of FY27, as we are still doing some fine-tuning to compact the design and reduce the costs. However, the units that we have installed in our Hadapsar office at Saswad factory are running very well. Our enablers remain robust and well aligned with our values and culture. In recognition of our best-in-class HR practices and policies, we were honoured with the HR Excellence Award from the Institute of Directors.

Our PBT last quarter was also significantly elevated. This was made possible by all the enablers we've been working hard on for the last few years. Our in-house capabilities, which allowed us to offset inflation to some extent and resulted in higher margins. We also took a measured approach in markets with lower margins like boosters and screw compressors and did not get into any price wars here. If we could get an order with the margins we wanted, we took it. And if not, we let it go.

Lastly, we focused on less contested spaces based on our own IP and import substitution, which also helped push up margins. While this quarter and year has been good on the margin front, we would like to caution that this year would be a bit of an exception, a margin expectation of 18% to 20% EBITDA would be more sustainable. While we always strive for higher margins, we must also consider the impact on growth and find a balance.

Now coming to our business units. The air compressor division, the year was good for the Tezcatlipoca centrifugal compressors, which continue to take market share. Aside from our key sectors of metals and power plants, we have also managed to get some orders from sectors like pharma, tyre manufacturing and textiles during the last financial year. Our range of reciprocating compressors also did well with orders for gas compressors hitting record highs. Screw compressors were a laggard the last year.

ACD remains to be roughly 18% to 20% of our business. On the refrigeration side, the business delivered a strong performance during the year, achieving record high volumes for our KC/KCX compressor range. Khione sales also continue to pick up and gain more acceptance in the market. We executed several large packages this year, some of which went out in Q4. The business is roughly 40% to 45% of our total business.

Coming to process gas systems. As we had previously mentioned, our decreased dependence on PGS has derisked our reliance on large oil and gas orders in the Middle East. However, our O&M business is expanding. We currently manage over 1,000 CNG stations across India, reflecting an increasing trend in this segment.

While current gas shortages have not yet impacted the CNG market and order booking remains active, we continue to monitor potential future effects. The Gas Systems division performed well this year, and the outlook remains positive. We expect the geopolitical situation in the Middle East to drive demand for domestic exploration and upstream gas projects.

Furthermore, there's a renewed interest in alternative fuels and KPCL is well positioned to capitalize on opportunities across various sectors, including biogas, hydrogen and coal gasification. PGS contributes roughly 35% to 40% of our business.

We have also established a new business unit in the last financial year, which is Precision Engineering division. We have established this division to leverage our manufacturing capacities and capabilities, including forgings, castings and precisio

n machine components at
our Nashik and Hadapsar facilities. Please note that this is a non-reportable segment for FY26. Given the renewed interest in specialized manufactured products, we believe our unique capabilities are well positioned to drive growth. While we have secured several orders in this segment, and we are currently in the execution phase, we would avoid talking too much about this business until we are clear that this is sustainable and not one-time in nature.

Coming to the outlook. Despite the challenges of the past year, including delayed package orders and late finalization of large contracts, we believe we remain well positioned to deliver strong growth ahead. The current geopolitical climate has increased demand for exploration and upstream packages alongside rising interest in alternative fuels like biogas and hydrogen. We offer established solutions for all of these segments.

Furthermore, our core revenue-generating sectors, including oil and gas, food, dairy, chemicals and power are all expected to grow. Our localized supply chain and focus on Make in India import substitutes insulate us from many geopolitical risks and provide a competitive advantage.

We continue to invest in unique in-house manufacturing capabilities that will further strengthen our market position. With our strong order board and a substantial volume of active proposals entering the new financial year, we are confident in achieving our growth objective of 20% plus.

Now I will request Mr. Ramesh Birajdar, CFO, to take you through the financials.

Ramesh Birajdar: Good evening. The presentation outlining key trends observed in Q4 and FY26 results has been uploaded to the Investors section of our company's website. Additionally, following today's Board meeting, the financial results have been duly filed with the BSE and NSE. These disclosures provide comprehensive details on the company's performance. Quickly, I will run through the business results for Q4 and the year ended on 31st March 2026.

Sales for the Q4 FY26 were INR706 crores against INR583 crores of Q4 FY25. Sales for Q4 also showed a growth by 21% over the previous year Q4 FY25. Other income for Q4 is almost same for both years, INR6 crores in FY26 against INR5.7 crores in FY25. Total income for Q4 FY26 was at INR712 crores compared to INR588 crores in the previous year. There is a major reduction in the percentage of raw material to sales for Q4 FY26 compared to Q4 FY25, 50.06% in Q4 FY26 against 56.35% in Q4 FY25.

However, the Y-T-D percentage of raw material to sales has improved by 3.1% in FY26 due to better product mix, better selection of orders, execution of large packages and overall cost-saving efforts on account of backward integration of manufacturing in Nashik as well as in Saswad plant. Staff cost, that is ERE stands at INR53.1 crores in Q4 FY26, that is 7.5% of total income against INR45.5 crores in Q4 FY25, that is 7.7% of total income. Employee-related expenses for the year to date INR200 crores, representing 11.2% of total income as against INR177 crores, that is 10.7% in FY25.

This rise is driven by salary increment and increased headcount. Company has incurred over INR165 crores in the last 2 years, leading to increase in the depreciation to INR31.1 crores in FY26 as against INR28.9 crores in FY25. We continue to invest in capex to support growth and to meet our commitment towards new product development under the PLI scheme. Y-T-D other expenses are a mix of fixed and variable costs and are at INR326 crores in FY26 against INR308 crores in previous year.

Increase in these expenses are mainly surge in execution of large packages, enhanced level of aftersales business, growing O&M business and expanding activities in our Nashik and Saswad plant. The year-to-date performance for the current year shows an improvement in the EBITDA

margin, reaching 21.7% of total income to INR388 crores compared to 19% of total income to INR313 crores in the previous year. The YTD profit before tax has reached INR356 crores, constituting 19.6% of total income against 17% to INR284 crores in the FY25.

Net profit after tax for FY26 is INR258 crores, that is 14.5% of total income. In comparison to previous year, INR211 crores, that is 12.8% of total income. Company has maintained the status as a debt-free company, and I would like to state that company has still net cash position of cash and cash equivalent of about INR460 crores as on 1st April 2026. The Board of Directors has approved subdivision of equity shares of face value of INR2 into face value of INR1, subject to approval by the shareholders.

The company issued 60,800 equity shares during the year FY26. Previous year, 124,300 shares issued under the employee stock option program. As a result, there is marginal increase in the paid-up share capital to INR12.99 crores against last year of INR12.98 crores. Y-T-D earnings per share that is EPS for FY26 has shown growth by 22%, reaching to INR39.80 per share, while INR32.50 per share was earning in the previous year FY25. In line with our dividend policy, the Board of Directors has approved a final dividend at the rate of 425% on the face value of INR2 per share, that is INR8.50 per share.

This is in addition to payment of interim dividend, which is already paid at the rate of 175%, that is INR3.50. So the total dividend for FY26 is 600%, which is highest in the history of the

company. Final dividend is subject to approval by shareholders. With about 93.4% of total income coming from the Compression segment, it remains only reportable segment and segment earned operating profit of 24.9% in FY26, higher than the previous year when it was 21.7%. The Compression segment showed a higher profitability. This is being a one-timer for Q4. However, as indicated from time-to-time, our Compression business margins are sustainable in the range of 18% to 20%.

As of 1st April 2026, the company's unexecuted order board amounting to INR1,863 crores and increased by 15% from INR1,624 crores recorded on April 1st , 2025. Net unallocable assets are including corporate assets and assets of Precision Components business division to the tune of INR834 crores. Exceptional item regarding the implementation of the new labour code that became effective on November 21st, 2025, we have completed our current assessment.

The estimated retirement provision has been reduced by INR4.2 crores in Q4, resulting in total provision of INR14 crores for FY26, which is pertinent to the prior year period, while the impact of FY26 is recorded in ERE cost. Comparative statement of consolidated business for Q4 as well as for the full year are also published.

We are working on reorganizing, restructuring of our subsidiary to get the results expected projected while acquiring the company. This will take some time to get positive results from our subsidiary company. Before I conclude, I would like to place on record my sincere appreciation for our teams across operational, finance, supply chain and sales and marketing, whose relentless focus and disciplined execution continue to drive our performance.

I would also like to extend my appreciation to our Chairman, Mr. Rahul Kirloskar, the Board

members and our investors for their continued trust and support as we work towards building a stronger, more resilient and future-ready organization. I would also like to acknowledge Mr. K. Srinivasan, former Managing Director, for his constant encouragement and for setting the company's mindset to embrace challenges and pursue ambitious growth. Thank you so much for joining today, and we'll now open the floor for questions from our investors.
Moderator: The first question is from the line of Priyank Chheda f

rom Vallum Capital.
Priyank Chheda: Sir, I have just 2 questions. First, on the order book. Would you want to call out the book-to-bill or say, execution cycle which has shortened significantly versus past few years? Just trying to match and map what would be the executable order from the opening order book that we have from as on 1st April. And Ramesh sir, just a clarification in this order book, have we included the Precision Engineering orders? If yes, then would you be able to quantify that?
Ramesh Birajdar: Okay. And second question?
Priyank Chheda: I'll ask the question after this question is answered.
Ramesh Birajdar: This INR1,863 crores order book as on 1st April is inclusive of Precision Components business. And out of this, roughly INR500 crores is executable beyond FY27 and remaining it is executable in this year. And continuously focusing on the Equipment business, where it is a

touch and go, where roughly the INR600 crores to INR700 crores business, we get it during the year, we execute and we dispatch from the sales.
Priyank Chheda: Okay. So which means that out of INR1,860 crores executable order book, INR500 crores order book is beyond 1 year and balance INR1,300 crores is minimum executable within, say, less than 1 year?
Ramesh Birajdar: Yes. This is what a similar trend what we have in last so many years.
Priyank Chheda: Understood. My second question on the products and high hope products that we had a strategy to scale up the revenues. First is Zephyros. What would be our GTM strategy because I understand that FY '27 would be capex year and FY '28 is where the full-fledged sales starts. So if you can just touch upon the sales strategy that we plan to deploy to scale up this and what are our ambitions in terms of scaling up the sales?
And second would be on the centrifugal, Tezcatlipoca compressors. If you can just call out FY '26, how much is the sales units that we have achieved? What are the sales targets for FY '27? And maybe Aman can touch upon just any other products that we should hope to achieve large sales numbers and become and have a larger sales contributions coming from any other new innovations that we are planning to launch? Thank you.
Aman Kirloskar: Yes. Thank you. So I'll start with the Zephyros. So just to reiterate, Zephyros, is a fairly innovative air conditioning package, which uses a green refrigerant and is significantly more efficient than, let's say, traditional chiller systems. Our go-to-market strategy here would really be engaging with all the stakeholders, whether that is consultants, architects, installers. And probably before that, in this financial year, we do have a target for how much we wish to sell. And this would be done largely by interfacing with builders and finding the right target markets for this. So probably the ideal markets as of now with our current range would be smaller machine shops and small restaurants, banquet halls, etc.
There is quite a large potential for Zephyros, and we will slowly build out a channel as we get more volumes. On the Tezcatlipoca, we have about 130 machines in the field, of which 85 have been commissioned. I hope that answers your question.
Priyank Chheda: And any other products which you think should be focused going ahead as a large part of sales...
Ramesh Birajdar: If you remember, Priyank, last many meetings, the indication is we are switching towards the Equipment business where the execution cycle is very shorter period. And our target is to take out something 20% to 25% business coming out of this Equipment business where the execution cycle is very short.
The same trend will continue because Tezcatlipoca, Khione, the Tyche, then again, there is Zephyros, all this is part of Equipment business, we just touch in, we just get the order, exhibit and we dispatch. That focus we are increasing and t

hat increasing focus will sustainable over the period of next few years.

Priyank Chheda: Thank you.
Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital.

Please go ahead.
Balasubramanian: Good evening, sir. Thank you so much for the opportunity. Sir, on the Zephyros side, you have mentioned ideal market, smaller machine shops and restaurant. So I'm trying to understand in this business, I think our current PBEIT is around INR357 crores. We have committed capex of INR320 crores.
And I'm trying to understand whether these are the small, small orders we can get in Zephyros. How do you look at ROCE and payback period of this INR320 crores investment? And whether we can expect substantial contribution from FY '27 or FY '28 onwards?
Ramesh Birajdar: Okay. The INR320 crores is a commitment for the PLI scheme, what we did. And we developed the product. One is Zephyros, that is air conditioning package. And the second is the motor. Again, it is developed. Zephyros 2 packages we already installed. One is in the Saswad canteen and one office in Hadapsar. Both are absolutely running very fine. There is no issue in the air conditioning package. And this Zephyros system is giving another opening for our new business segment.
So far, we are into the Refrigeration business with the KC/KCX and all other products. And now we are entering into the air conditioning and that is comfort. And that business will grow, and that is why we are focusing on that. And for the Zephyros, the backward integration we are doing in the form of Motor, in the form of Heat Exchanger and in the form of Sheet Metal Components.
Some of the activities we planned in the Saswad plant and some of the activities planned in the Nashik plant. And out of the INR320 crores, roughly INR60 crores we already incurred for this and remaining, we are targeting to incur in another 2 years' time. The commercial of this Zephyros will happen in Q1. We have a separate team for this working along with appointment of the dealers, appointment of the team and the Experts, they're already on the Board and the team is working to execute the Zephyros now.
Balasubramanian: Sir, on the payback period on the ROCE side, whether we can expect 25% to 30% kind of margins since it's like small orders…
Aman Kirloskar: In this segment, considering that it is a highly competitive segment, we probably will not be targeting those kind of margins. However, we will try and target very high volumes. These are volumes which KPCL generally has not done. So on the margin side, it may not be as high, but on the volume side, it should make up for it.
Balasubramanian: Okay, sir. Sir, my second question, I think earlier we have mentioned incremental capacity for Tezcatlipoca will be available from Q1, whether all the machines we have installed for this segment? And secondly, what is the current order pipeline for the new A-800 smallest centrifugal frame?

Aman Kirloskar: So in terms of the installed capacity, this has been done and it is now available. The machine has been commissioned as well. Coming to the A-800 frame, I think we still need maybe 1 month or so to really get the product launched. But I think there is quite a bit of demand for a smaller centrifugal. This will be the most efficient offering for an 800 CFM compressor.
Balasubramanian: Sir, my last question on the export sales, INR140 crores. Out of this, how much percentage is coming from MENA regions? Because it's majorly a significant part is from MENA regions for CNC packages. So I'm trying to understand how much percentage comes from in those areas.
And sir, secondly, I just want to confirm that non-traditional orders are leveraging vertical integration like forging machines and example, whether

, I just want to confirm whether it will be reportable segment from Q1 onwards, Q1 FY '27 onwards?
Ramesh Birajdar: For that, you have to wait up to Q1. We'll definitely disclose as and when we achieve. But definitely, there is a good progress on that part. And definitely, it will come under the reportable segment from Q1 onwards. Regarding the export, we are not fully dependent on the MENA region. We are focused on the Southeast Asia. We focus on the African region and MENA region, a little bit less because right now, the situation is different. So otherwise, we focus on different and new niche area for the export.
Aman Kirloskar: Yes. So the MENA region was definitely a fairly large part of our export sale. However, considering the current geopolitical environment, we have shifted our focus to different regions like Southeast Asia and the North Africa part of MENA. We are still in active discussions for several orders in the Middle East.
However, considering the current situation, these are going quite slowly. And I suspect that once the geopolitical situation in the Middle East cools off, we will start to see some rapid movement in this segment.
Balasubramanian: Thank you so much for detailed explanation, sir. All the best.
Aman Kirloskar: Thank you.

Moderator: Thank you. The next question is from the line of Sameer Thakur from Ambit Capital. Please go ahead.
Sameer Thakur: Just to carry on with the previous question. So on this Middle East exposure, can you just get into details of what kind of products you have or whether you have approvals from, let's say, Aramco or Qatar Energy or any certifications, which at the end of the war, whether that can help you to start rebuilding the capacities or sir would that help you?
Aman Kirloskar: Yes. So let me put it like this. So with regards to the geopolitical situation in the Middle East, there is a near-term pressure. As I had mentioned previously, it is difficult to dispatch packages for orders we already have over there. And it is also difficult to book new orders. However, long term, this will order well for us on 2 fronts. One is on the international side, as you rightly

pointed out, there will be a demand for let's say, gas packages going into some of these countries.
And there is also a renewed interest in the domestic market in, let's say, alternative fuels like biogas, coal gasification, hydrogen, etc., on top of a real push, which is quite visible today in the upstream segment of the domestic market. I hope that answers your question.
Sameer Thakur: Yes. That was helpful. And there's one more. Just going to the backlog mix. Is it possible to give a separate mix or by division? I think there is a lot of backlog from the other division from Precision Components. So I was just trying to make sense and what is the margin in this Precision Components? Is that margin dilutive business?
Aman Kirloskar: I was not able to hear. You are asking for the margin of Systems and Components?
Sameer Thakur: No just the backlog mix by separate divisions if that is possible to give? And…
Aman Kirloskar: Yes. So we generally don't…. sorry go ahead.
Sameer Thakur: My sense is the backlog is driven by maybe the other segment which is Precision Components. And I just wanted to take a sense whether this Precision Engineering division - Components division, whether it has lower margin than your core business?
Aman Kirloskar: So we generally don’t give a breakup of segments. However, as we had pointed out last year, we did have to go to non-traditional segments to get orders. In terms of margins, I would say that from a company standpoint, we will be around directionally 18% to 20% as we have guided in the past.
Moderator: The next question is from the line of Amit Anwani from PL Capital.
Amit Anwani: So first question about oil-free compressor you talked ab

out in your opening remarks. Just
wanted to understand, is it a completely new product? And did we got some sales from this? And what is the opportunity? If you could highlight more about this oil-free compressor, which you highlighted?
Aman Kirloskar: Yes, yes, so the compressor, which we are referring to is branded as Hydrino. It is a water-injected screw compressor, largely used in applications in food processing and pharmaceuticals. In terms of -- is there, let's say, a similar category in the market? Yes, there is. We do have some competition who have similar products. However, we have several unique USPs in this product. So one is that we have no oil in this machine at all.
Our competitors may have oil in their bearings, etc. And we are also domestically produced, which means that not only are we generally more cost competitive, but we are also able to offer service and spares to customers much faster than imported machines.
Amit Anwani: And so is this the completely new product launch? Or this was there and now...?
Aman Kirloskar: This is a new product for KPC.

Amit Anwani: Understood. And I wanted to understand, so we have been talking about Tezcatlipoca, Tyche and now Zephyros and I think a few other products like Khione over the past 24 months. Just wanted to understand now since these products have been kind of there in the market, what kind of sustainable growth we are targeting from these products, obviously, category-wise within air, refrigeration and all these new launches which are there in the market.
If we take, let's say, 2, 3 years of perspective, what is our standing currently in terms of market share or revenue for each of these products? And what kind of growth we can look forward in these products?
Aman Kirloskar: Yes. So in our segment, in terms of capital goods, especially compressors, these are really products which are designed to run and they have to prove themselves before they gain broader market acceptance. So it's usually the case where getting the first few orders is hard and then it gets progressively easier from there. All these products you mentioned with the exception of Zephyros are now in the market, and we will start to see we are already growing Tezcatlipoca

quite aggressively, Khione as well, we are seeing good growth.
Tyche, we did launch last year. So we did grow, but it was from 0. And so I think generally, from new products, we target that we should have at least 10% to 15% of sales. And as a company, we want to grow at 20%. These products, depending on how old or how recently they were launched, would grow at a slightly higher pace.
Amit Anwani: Right. Lastly, on the Precision Engineering division, what exactly we are looking as a strategy? So I think you explained about INR500 crores order there and probably it's a short-cycle order. So can we expect F27 also getting order inflows as high as INR500 crores upward again for the Precision Engineering or this is just a one-off case this year?
Aman Kirloskar: Yes. So the reason which we are the reason why we are being quite opaque on this is because we don't really know whether it is sustainable. So I think for that, we'll have to really go forward and see. But certainly, in terms of Precision Engineering, we have many unique capabilities with us, whether that is in forgings, castings, machinings, etc. So there will be a stable demand, but I cannot really foresee whether it will be to the same extent.
Amit Anwani: Right. Finally, in terms of the current geopolitical situation, which you're sensing, anywhere you feel that this could be a key risk in terms of business, whether it is increase in cost or the conversions with the key industries, any sort of challenges because we saw F26, we had different kind of challenges in terms of delays in packages. So anything which in near term, you might feel that coul

d impact the business because of the geopolitics getting stretched for more than 2 months now?
Ramesh Birajdar: The order board last year, beginning, it was INR1,624 crores. And now for the beginning of this year, it is INR1,863 crores, so despite all this situation, uncertainties of geopolitical all uncertainties, still we are higher order board compared to the last year. Regarding the price increase, we always focus on that. And whether it is a short period of the execution, we pass on to our customers, and we don't take into our account. And as far as the large package is

concerned, we already negotiated. We already finalized the order with our vendors. So there is no directly impacting our profitability.
Amit Anwani: Right. So this year, are we also focusing back again on the large packages as a part of inflow? Or now we'll be keeping this lesser package orders and more equipment order as a norm for F27, F28?
Aman Kirloskar: Yes. So as a strategy, we always want more products versus packages simply because it makes the business less lumpy and more predictable. That being said, the demand environment for packages does seem to be higher on the back of let's say, lower orders getting finalized last year. So even though directionally, we do want to have more products versus packages, this year, as of now, we do have quite a few inquiries out there for packages.
Moderator: The next question is from the line of Bhavya Doshi from KRIIS.
Bhavya Doshi: Yes. So, like are we seeing -- like which segments are contributing more to the stronger order inflow, which we have experienced in FY '26? And is there a strong traction in the CNG stations? Like are we again bidding for the mother stations, which saw higher competition earlier?
Aman Kirloskar: Yes. So, in terms of orders for the last financial year, they would broadly be in line with the numbers which I had mentioned in terms of the business contribution. However, this year, we did have good numbers coming from the Precision Engineering division. We generally don't like to give a breakup, but it would largely be ACR and Precision Engineering, then gas, etc. On the CNG, we are actively bidding, and there is a renewed interest, as I was stating earlier, to increase the amount of CNG stations. So there is a push from various customers to close more orders, and we have been actually closing more orders in the CNG space in the last quarter and even carrying on into this year.
Bhavya Doshi: Got it. And as you had mentioned like we are targeting around 10% to 5% - 15% of the sales of the company going ahead from the newly launched products. So given the strong IP filing, which we have done in the last few years, how does the launch pipeline looks like for the new products? And like how is the pathway ahead?
Aman Kirloskar: Yes. So we have a number of products, which we are actively developing. That being said, a lot of them vary in terms of levels of complexity. So, the more complex it is, it generally takes longer with more testing, etc. We also have a couple of products where we are expanding the range. This is something which will definitely come faster.
So it's very difficult for me to commit at this stage what products we will launch this year. I think I already did mention the A-800 which is an extension of our centrifugal range. But we do have quite a few products in the pipeline, which you will start to see some launches in Q1 itself.
Bhavya Doshi: Got it. And one last thing is like how much cost savings does our Zephyros package offer as

compared to the conventional systems for the end users? Just a broader perspective on it.

Aman Kirloskar: Yes. So, the Zephyros package is actually significantly more efficient than a traditional water chilling system. It would be in the

range of let's say, 10% to 15% plus.
Moderator: The next question is from the line of Mihir Manohar from Trust Mutual Fund.
Mihir Manohar: Congratulations to the entire Kirloskar Pneumatic team for great set of numbers. My question was on the CNG and PNG and CGD side. Once again, government is focused because of the disruption which has been there. If you can throw some light as to when does the demand for mother compressor actually kick in? I mean is the laying of large transmission pipelines and gas transmission pipelines necessary for the demand of other compressors to actually kick in? Or is it going to be booster compressor only? Some clarity over here would be helpful.
Ramesh Birajdar: Mihir, we could not hear properly. Will you try again? There is some disturbance from your side. Will you try...
Mihir Manohar: Yes, is it audible now?
Ramesh Birajdar: Yes, yes, it's okay now.
Mihir Manohar: Yes, sure. So first of all, congratulations on a great set of numbers to the entire team, a quite good set of numbers on revenue and backlog both. Mainly wanted to understand on the CGD and PNG side. I mean, government has put a renewed focus over here because of the disruption which has happened.
Now I wanted to understand when does the demand for mother compressor actually kick in? Is laying of large transmission pipelines, gas transmission pipelines necessary for the demand of mother compressors actually to kick in? I mean, is the demand going ahead for the next, let's say, 1 to 2 years now? Government has put a focus again? Will it be mother compressors or will it be booster compressors?
Aman Kirloskar: Okay. So let me try and answer your question. You do need pipelines for mother stations. And generally, the trend that we see is that 70% of new stations, at least 70% are generally daughter stations because these are lower in capex. But the disadvantage with the daughter station is that they are higher in opex because you need a mother station to first compress the gas, fill into a cascade and take it to a place which has a daughter station.
So, there is also a trend of over time, daughter stations being converted into mother stations. There is a certain market where it's very difficult to put pipelines like in a hilly area, etc. So there, that would be a daughter station. I hope that answers your question.
Mihir Manohar: Yes, yes. But I mean with now a full infrastructure rollout going to happen, at least on the framework and the policy, it seems it will result into higher demand for mother compressors or for booster compressors?
Aman Kirloskar: Yes, it will be a higher demand for both. But it would, in the short term, be skewed more towards daughter stations, but long term, a lot of them will start getting converted into mother stations.

Mihir Manohar: Okay. Understood. Sure. Second question was on the good order inflow. I mean, quite good number, INR650 crores broadly over the last 2 quarters. If you can throw some light as to what the value is contributed by the new products, I mean, Tezcatlipoca, Tyche that this new range of compressors that we have introduced. Some color over there? And what number are these new products contributing over the last 2 quarters?
Aman Kirloskar: Yes. So generally, we don't really give such granular information. A lot of these products, which you mentioned are newer products. And as I mentioned earlier, it's usually very difficult to get the first few sales, especially in, let's say, products like Tyche, Hydrino, which were just freshly launched. Tezcatlipoca is certainly higher up in terms of the order value, and it also continues to grow quite quickly. Yes, that's, I think, the most granular that I can go.
Mihir Manohar: Just lastly, a question on the precision engineering side…
Moderator: Sorry to interrupt, Mr. Mihir Manohar. Please rejoin the question queu

e for more questions.
Thank you. The next question is from the line of Bharat Shah from BCS Capital Ideas Limited. Please go ahead.
Bharat Shah: Yes, hi. Well, Aman, I think this is the beginning of new innings with a bang. I think one could not have asked for a better start to the altogether new innings that you are about to play. I have known Srini for more than 25 years and I have seen him to be a very meticulous and very careful planner of the things. So, I definitely believe he would have set up these organizations

on a beautiful format for you to play the innings at a much higher crescendo. Or at least that is what my hope is. So first and foremost, best wishes and congratulations on the lovely note on which the pitch has started.
Aman Kirloskar: Thank you.
Bharat Shah: Yes. And on the growth aspect, you talked about 20% plus on a sustainable basis. So, you mean for the current year or for more like five years and more? Because all along over last few years, I've understood that this growth rate for the company could be upwards of 20%, given the engineering strength we have, given the way the overall manufacturing ecosystem is rapidly evolving and given the fact that in many ways what Kirloskar Pneumatic does is touching so many other industries and their needs and the innovation rate of the new products. So, are we being kind of more modest and conservative or do you think this is the most realistic which we should assume?
Aman Kirloskar: Yes. So, when I had said 20% in the opening comment, it has always been our aspiration to grow the company at 20% plus over a long period of time. That is on top line and bottom line.
Bharat Shah: Okay. And coming to that part, now that we have reached a meaningful scale and size today and the overall manufacturing ecosystem evolution has been rapidly proliferating plus our own innovation rate of the new products, should we be more ambitious than this or in your opinion, I think this is a very realistic and practical and strong number that we are talking about?
Aman Kirloskar: Yes. So in terms of innovation, as I mentioned, we have been recognized as a top 30 IP driven organization. That being said, this is not all we want to be. We have our own internal targets to

grow the amount of IP filings. Some of the products which we are developing today would be cutting edge, not just in India, but in the world. And I think I'm really excited when I look at some of the products under development and I do hope we'll be able to launch a few of these really cutting edge ones this year.
Ramesh Birajdar: Bharat bhai, I will add something relating to this, coming to innovation. We are giving the presentation to FCI for the Zephyros where we are available the PLS scheme approval. And one of the managers there asked us, who's your technology partner for the Zephyros? And we said there is no technology partner. Our team is capable to do the innovation, do the engineering, and we have developed this product our own.
And it was so surprised from them that Indian company is doing such type of innovation and the PLS scheme, which is approved so easily that one Indian company doing so much of innovation and coming with the different products and they appreciated our efforts.
Bharat Shah: I'm absolutely delighted to hear that, absolutely delighted. Just one last small thing if I can raise that. While clearly the margins in the latest quarter, the fourth quarter of the year, gone by at about 26% plus are dramatically high and those can't be sustainable?
But year in entirety at about 21.5% that we have delivered for the entire year of 2025-2026. Isn't this now on a decent top line base with operating leverage and speciality product offerings and the overall growth opportunity? I'm aware that Aman mentioned 18% to 20% is more sustainable margin, but I thought year in entirety 21.5% mar

gin, is that not likely to be
prevalent for a while or you think 18% to 20% only should be a fair guidance?
Aman Kirloskar: Yes, so just to clarify, what I meant is, you know, in a bad quarter, we always say don't judge us quarter to quarter. In the same vein, in a good quarter, please don't judge us quarter to quarter and directly we will be 18% to 20% and if we can, we'll be 21%.
Bharat Shah: Got it. Thank you so much and Aman all the very best.
Aman Kirloskar: Thank you, sir.
Bharat Shah: Thank you, Ramesh bhai.
Ramesh Birajdar: Thank you, Bharat.
Moderator: Thank you. The next question is from the line of Sourabh Arya from Oaklane Capital. Please go ahead.
Sourabh Arya: Yes, congrats on a good set of numbers. See, again, if we see last few calls, you had said, Mr. Srinivas had also mentioned that export would not be really a big driver for us. It does. Things change with, you know, the disruption in the Middle East. So, if you could double click on, you know, your Middle East export opportunity and export opportunity in general? So, first is that maybe, and then maybe I have a related question.

Aman Kirloskar: Yes, so I think export as part of total sale is about 6%. Since one of our major markets, especially for large packages, it is oil and gas. The Middle East is certainly a key market for us. That being said, because it is not a very large part of our total business, it is not that big of a risk for us with the current geopolitical situation. And as I said earlier, I think in the long term, the implications of the geopolitical unrest in the Middle East is probably quite good for KPCL. Okay.

Sourabh Arya: And so, maybe related is, so, when it comes to, you know, these approvals, etc., for these packages, because you already are using compressor of aerial or maybe, you know, how does, and they are, of course, already approved there. So, why, like, so, I want to understand, have we won, you know, package in past in Middle East? If not, why we did not win in past? And what gives us, you know, confidence that, you know, that now we have a bigger opportunity?

Aman Kirloskar: Yes, we have won packages in the past. And we have a couple of active inquiries also going on. What I will say is that, what is more active in the Middle East is more on the gas side. And then on the gas side, there is a number of, you know, a number of approved vendors, a lot of them are from lower cost countries. It makes it a little bit difficult for us to compete when, you know, everything is specified.

So, you have to get the compressor from a certain vendor, you have to get the engine from a certain vendor, heat exchangers from a couple of vendors. So, with everything specified, it becomes very difficult to kind of innovate on the cost side of the gas packages. That being said, you know, we are competitive enough to be able to win and we have won packages from the Middle East in the past.

Sourabh Arya: Okay, this is very helpful. Second, you know, just again a clarification bit on other side, I know we do not want to talk much about it, but still, like the first number Ramesh sir mentioned about INR500 crores order book for next year. So, I want to understand like from an execution cycle perspective what is going into next year. So, Mr. Ramesh did mention that in the past also that has been the case. But still, if one were to see execution cycle of this other segment, is it more than your base business and majority of this INR500 crores which is going into next year belongs to others?

Aman Kirloskar: No, no, I think there is some misunderstanding. As I had mentioned, the total order board, if you go into details, is actually more skewed towards products this year. What that and products generally have a shorter execution cycle. We did get a couple of large package orders which will spill over into the next financial year. B

ut the execution cycle this year for the company should actually reduce.

Sourabh Arya: Okay, and maybe if I can squeeze last. So, like last year also, let us say, you know, our order book was INR1600 crores something, book to bill of around 1. And we were pretty confident that, you know, revenue growth would be 20%. And now again, at the start of this year, book to bill is around 1. And we are pretty confident that we can still do 20% offline growth. What happened last year that it did not come and what gives us confidence that with a similar book to bill, we will actually be again delivering 20%? That would be nice. Thank you very much.

Aman Kirloskar: Yes, so I think the past few years, we've had quite a significant reliance on our gas business. And as we have been calling out, this is a place where we have been having some difficulties in terms of growth. We will be taking some actions this year to increase our competitiveness in the segment.

And I think all the other businesses are doing fairly well. Equipment in particular is growing. And this year with the Precision Engineering Division, really doing a lot of heavy lifting, we believe that we will be back on track to deliver higher than order board sales and reach this 20% plus number which we are committing.

Moderator: The next question is from the line of Divyam Jain from 360 One Capital.

Divyam Jain: Yes. So my question was regarding the gross margin expansion that we've seen, so how much of it would be going to the backward integration efforts and how much of it and if it is attributable to the deferment of orders? I believe it has... How would you attribute the expansion?

Ramesh Birajdar: No, we are not able to understand what exactly you are asking.

Divyam Jain: So we saw 600 groups expansion in the gross margins, I believe in this quarter. How much of it is attributable to the backward integration efforts. And how much of it is because of the deferments that we've seen that you reported in the last quarter?

Ramesh Birajdar: No, the backward integration, what we did in Nasik is coming to Hadapsar for the Air Compressor division as well as for the Transmission division, that is PED now. And roughly the total output from the Nasik is directly coming as an input for our Hadapsar factory as well as some portions going to the Saswad also. So it is exactly we have not calculated how much is going for the Compressor division and how much is for the PED. So we need some time to calculate and come back to you for that sir.

Divyam Jain: Sure. And sir what would be our sustainable gross margins going ahead?

Aman Kirloskar: Yes. So as we have been saying, directionally, we want to be 18% to 20% on an EBITDA

level.
Ramesh Birajdar: Last year, we also achieved the gross margin in the core business. That time we also said that 18% to 20% is sustainable. This quarter also we crossed almost 23% and still we are saying it is 18% to 20% is sustainable for core business, that is Compression business.
Moderator: The next question is from the line of Sahil Sanghvi from Monarch Networth Capital.
Sahil Sanghvi: Yes. Congratulations for a very good set of numbers and congratulations to Mr. Aman Kirloskar for the new designation. My question is more of to understand, I mean, while Aman has already commented on this, but this new ruling that we have got regarding the government's press on the March '26 order for fast-pacing more PNG and CGD lines.

I just wanted to understand what kind of traction are you seeing on ground with this ruling because it says that they want to accelerate pipeline infrastructure development, including faster rollouts of CGD and last-line connectivity for PNG. So, what are you seeing on ground and when can you expect some bit of demand transpiring to our order book

leading to an
improved performance for the gas division?
Aman Kirloskar: Yes. So, as I had mentioned I think we entered this year with an elevated inquiry level in terms of the domestic gas business and we have also been closing some orders in this segment fairly quickly. So, I think on ground there does seem to be quite a bit of things happening. And I would also like to once again mention that there is a lot of interest in alternative fuels, especially biogas where we are seeing a lot of interest at the moment. It has not translated into orders for us yet.
Ramesh Birajdar: You must have also seen the released press release by the ONGC. Roughly, they are targeting to invest something 200 billion in oil and gas. And that investment will come within five to six years. And this 200 billion investment, then they will start investing. Some portion of this will come to us as a support for the compressor to their various projects. So, we are definitely going to get that because the 200 billion investment by oil and gas sector by Government of India is a huge investment. And we are also focusing on that to get that business and to grow our company.
Sahil Sanghvi: Got it. And my last question would be, I understand that we will have a shorter execution cycle for the orders that we have now in our order book. Can you define that period? I mean, would it be six, seven months or would it be much, much lower?
Ramesh Birajdar: Equipment period is between four weeks to something 12 weeks. And roughly the last packages ranging from six, seven months, eight months. But as we are growing, we are being developed the many products like Tezcatlipoca, Khione, Tyche. They are having very short execution cycles. They are not very great eight months, 12 months period. If not the case, we are not focusing on the large package business. What our business we want, we want a top line growth, as well as the bottom line growth, both.
Moderator: Thank you. Due to time constraint, we take that as a last question. I now hand the conference over to Mr. Dhirendra Tiwari for closing comments.
Dhirendra Tiwari: Thank you. Let me take this opportunity to thank the management of Kirloskar Pneumatic for giving us the opportunity to host. Before I close, may I invite Aman to the final comments and then we can close the call.
Aman Kirloskar: Yes. Thank you all for joining the call today. And as Bharat Bhai had mentioned, we – it is a new innings for me and I have been blessed to have a great boss and mentor of Mr. Srinivasan for the past five years. I think we learned a lot. He really taught us how to push boundaries, innovate and really be hungry for growth. So, it is a – we have big shoes to fill and we will do our best to hit our targets of 20% plus growth. Thank you so much.
Dhirendra Tiwari: Thank you. Now, we can close the call, please.

Moderator: Thank you, sir. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.